

**West Des Moines Community School District**

West Des Moines, Iowa

Comprehensive Annual Financial Report

Year Ended June 30, 2017



Comprehensive Annual Financial Report of the

West Des Moines Community School District  
West Des Moines, Iowa

For the Fiscal Year Ended June 30, 2017

Official Issuing Report

Paul Bobek, CPA, Chief Financial Officer

Office Issuing Report

Administrative Services Division



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## **WEST DES MOINES** COMMUNITY SCHOOLS

### **Learning Resource Center**

3550 Mills Civic Parkway • West Des Moines, IA 50265

515-633-5000 • [www.wdmcs.org](http://www.wdmcs.org)

November 9, 2017

The Board of Education and Residents  
West Des Moines Community School District

Ladies and Gentlemen:

The following report is a comprehensive financial record of the District for the fiscal year ended June 30, 2017. The report is a reflection of the conditions which have enabled the West Des Moines Community School District to maintain a favorable financial position despite state and federal budget constraints and the related impact on local school districts across our state.

The shared vision of the District states, "The West Des Moines Community School District will be a caring community of learners that knows and lifts every child. We will inspire joy in learning. Our schools will excel at preparing each student for his or her life journey."

This shared vision provides the foundation of our District's financial planning. Meeting the educational needs of our students despite state and federal budget constraints is no simple task. The educational success of the West Des Moines Community School District is due to many factors including:

An outstanding and effective Board of Education.

A very supportive community with high expectations for outstanding schools.

Supportive parents who have high expectations for their children.

A team of outstanding and dedicated teachers, staff and administrators.

Students who understand the importance of obtaining a quality education.

As you review the information included in this report, please be sure to contact us if you have any questions or suggestions. Our focus is upon the learning needs of all of our students. With your help and support, we will continue to be an excellent system of schools. We can all take pride in the outstanding success of our students as they graduate as learners prepared for life.

Sincerely,

Lisa Remy, Ed.D.  
Superintendent



**WEST DES MOINES**  
**COMMUNITY SCHOOLS**





**Learning Resource Center**

3550 Mills Civic Parkway • West Des Moines, IA 50265

515-633-5000 • [www.wdmcs.org](http://www.wdmcs.org)

November 09, 2017

The Board of Education and Residents  
West Des Moines Community School District

The Comprehensive Annual Financial Report of the West Des Moines Community School District (the District) for the fiscal year ended June 30, 2017 is submitted herewith. The District is an independent entity governed by a seven member board. Responsibility for the accuracy and completeness of the presentation, including all disclosures, rests with the officials of the District's Administrative Services Division. We believe that the data is accurately presented, in all material respects; that the data is presented to fairly set forth the financial position and results of operations of the District as measured by the financial activity of the various funds; and that all necessary disclosures have been included in order to enable the reader to gain the maximum understanding of the District's financial affairs.

The District was required to undergo a single audit in conformity with the provisions of the Single Audit Act Amendments of 1996 and Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Information related to this single audit, including a schedule of expenditures of federal awards, the independent auditor's report on internal control over financial reporting and on compliance and other matters, independent auditor's report on compliance with requirements that could have a direct and material effect on each major program and on internal control over compliance, and a schedule of findings are included in the single audit compliance section of this report.

This report includes all funds of the West Des Moines Community School District. The District provides a full range of programs and services including instructional; administrative; transportation; food service; maintenance of sites and facilities; custodial; clerical; extra, co-curricular and athletic activities; and community education.

Management is responsible for preparing a Management's discussion and Analysis. This discussion follows the independent auditor's report and provides an assessment of the District's finances for 2017.

### **Profile of the Government**

In Iowa, school districts operate with local control and have fiscal independence from other government entities. The District operates in compliance with the accounting principles generally accepted in the United States of America (GAAP) and currently prepares its financial statements per the Governmental Accounting Standards Board (GASB) Statement No. 34.

The West Des Moines Community School District serves more than 58,000 people who live in the western portion of Polk County-West Des Moines, Clive, parts of Urbandale and Windsor Heights and nearby rural areas. Covering 36.6 square miles, the District has grown up around a former railroad center, Valley Junction, and the



farmland north and south of the Raccoon River. The District experienced rapid growth up until the fall of 1975 when enrollment reached 6,726 students. Enrollment gradually declined to 5,825 students in the fall of 1982, but increased annually (except for September 1999) through September 2002, to 8,776 students. Enrollment declined more than 200 students during fiscal years 2004 and 2005. The District's enrollment projections estimate slightly declining enrollments averaging approximately 64 students for each of the next three years. In October 2017, the District's Official Enrollment decreased by 51 students. However, total students served increased by 8 to 8,925 students primarily due to open enrolled in students.

The District operates thirteen schools, a maintenance/transportation/warehouse facility, a stadium and the Learning Resource Center (administrative offices). Phenix Elementary School was closed starting in fiscal year 2014-15 as part of the District's budget reductions and subsequently sold during the year. During 2015-16, the District sold the Old Walnut Creek Campus at appraised value. All current real property is used for instructional or support services. The West Des Moines Community School District provides a comprehensive Pre K-12 educational program and an extensive Community Education program.

### **Economic Condition and Outlook**

The District is located in the central part of the state, within the larger Des Moines metropolitan area and ranks as one of the top growth areas of the state. The economic condition and outlook of the District have remained strong during the past ten years, following several years of very high economic growth and steady enrollment growth. This growth has had a positive effect on employment and the District's tax base. The District's tax base increased at an average annual rate of approximately 3.66% over the past 15 years. In fiscal year 2017, the District experienced an increase in valuation of 7.03%, reversing the last two years decreases of 1.03% and 1.84%.

The tax base is expected to grow more slowly in the next five years.

Retail sales, building permits and population increases in the western suburbs have generally exceeded that of any other location in the metropolitan area or in the state of Iowa. Growth in the Des Moines area suburbs is expected to exceed the state average. A large percentage of these increases are occurring outside the District's boundaries.

In recent years, the state of Iowa faced an economic downturn that severely hampered its ability to fund schools at the same level as in prior years. After two consecutive years of 4.5% declines in the state's net receipts, in 2011, the state's net receipts increased by 5.8%. In light of these challenging economic times, the District has publicly discussed operating budget concerns looking ahead to the next five years. In May 2014, the Board approved a plan to reduce \$2.7 million in General Fund Budget in the 2014-15 fiscal year including the closing of Phenix Elementary School. The Board of Education continues to implement the District's long range facilities plan, which was approved in March 2010. In addition, the Board has directed the Administration to review this plan so that additional Revenue Bonds are not necessary to finance the plan and the Administration has since presented a plan to make \$12.3 million in scope reductions to this plan.

The 2016-17 school year included many stories of success. The shared vision and five guiding principles continue to be the foundation for curriculum development, integration of technology, community involvement and the learning process.

The shared vision is carefully considered in all District efforts: "The West Des Moines Community School District will be a caring community of learners that knows and lifts every child. We will inspire joy in learning. Our schools will excel at preparing each student for his or her life journey."

Renovation and remodeling slowed significantly for the District in 2016-17. During 2015-16, the Board approved contracts to renovate Tiger Field at Valley High School and to put a classroom addition and other renovations at Jordan Creek Elementary School.

The Stretching Minds program continued serving many elementary and junior high students during the summer. The program targets students most likely to benefit from additional opportunities in reading, mathematics and community learning.

### **Athletic Report for 2016-17 School Year**

It was another tremendous year in sports for the Valley High School in sports. The Tigers notched their seventh Des Moines Register All-Sports Trophy putting up 89 points, ten more than second place Iowa City West. Fifteen different Valley teams placed in the top eight at their state tournaments, with three taking home state championships, and three others finishing runner up.

Just over a 1000 students participating in sports and they continued to lead in the classroom as well with a combined grade point average of 3.16.

Breakdown of how teams did on the state level.

| <b>Sport</b>                  | <b>State Finish</b> | <b>Valley Pts</b> |
|-------------------------------|---------------------|-------------------|
| Girls Cross Country           | ---                 | 0                 |
| Boys Cross Country            | 4th                 | 5                 |
| <b>Boys Golf</b>              | <b>1st</b>          | 10                |
| Football                      | Top 8               | 2.5               |
| Girls Swimming                | 8th                 | 1                 |
| Volleyball                    | Top 4               | 5.5               |
| Wrestling                     | 3rd                 | 6                 |
| Boys Basketball               | 2nd                 | 8                 |
| <b>Girls Basketball</b>       | <b>1st</b>          | 10                |
| Boys Swimming                 | 8th                 | 1                 |
| Boys Bowling                  | ---                 | 0                 |
| Girls Bowling                 | ---                 | 0                 |
| <b>Boys Track &amp; Field</b> | <b>1st</b>          | 10                |
| Girls Track & Field           | ---                 | 0                 |
| Girls Tennis                  | ---                 | 0                 |
| Boys Tennis                   | 3rd                 | 6                 |
| Girls Golf                    | 5th                 | 4                 |
| Boys Soccer                   | 2nd                 | 8                 |
| Girls Soccer                  | 2nd                 | 8                 |
| Softball                      | 5th                 | 4                 |
| Baseball                      | ---                 | 0                 |
| <b>TOTAL</b>                  |                     | <b>89</b>         |



Valley High School continues to be represented by students, coaches, teachers and families dedicated to high expectations and the pursuit of excellence. Commitment to academics, sportsmanship and leadership by students continues to be the highlight for the Valley Athletic Department.

### **Other Financial Information**

Management of the District is responsible for establishing and maintaining internal controls designed to ensure that its assets are protected from loss, theft or misuse and to ensure that adequate data are compiled to allow for the preparation of the basic financial statements in accordance with accounting principles generally accepted in the United States of America (GAAP). The internal controls are designed to provide reasonable, but not absolute, assurances that these objectives are met. The concept of reasonable recognizes that the cost of a control should not exceed the benefits likely to be derived. The valuation of costs and benefits requires estimates and judgments by management.

Single Audit. As a recipient of federal, state and county financial assistance, the District is responsible for ensuring that adequate internal controls are in place to ensure compliance with applicable laws and regulations related to those programs. The internal control procedures are subject to periodic evaluation by management and external auditors.

As a part of the District's audit, tests are made to determine the adequacy of the internal control over financial reporting and its compliance with applicable laws and regulations, including those related to major federal award programs. The results of the District's audit for the fiscal year ended June 30, 2017 noted no material weaknesses in the internal controls over financial reporting or for compliance issues.

Budgetary Controls. In addition, the District maintains budgetary controls. The objective of these budgetary controls is to ensure compliance with legal provisions embodied in the annual appropriated budget approved by the Board of Education. Activities of the General Fund, special revenue funds, Debt Service Fund, and enterprise funds are included in the annual appropriated budget by program. Project length financial plans are adopted for the capital projects funds and budgeted accordingly on an annual basis. The level of budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is established by the functional level for all funds combined rather than at the individual fund level. The District also maintains an encumbrance accounting system as one technique of accomplishing budgetary control. Encumbered amounts lapse at the fiscal year's end. However, encumbrances generally are re-appropriated as part of the following year's budget.

As demonstrated by the statements and schedules included in the financial section of this report, the District continues to meet its responsibility for sound financial management.

In the 2014-15 fiscal year, the District implemented budgetary reductions totaling \$2.7 million. The District has again initiated a budgetary process to reduce up to \$850,000 for the 2016-17 fiscal year given the District's 134 student decrease in Official Enrollment, which generates 2016-17 funding. In the spring of 2016, the District refunded its 2010 and 2011 Capital Loan Notes resulting in a net savings of approximately \$1.9 million over the remaining five years maturity. This Notes are paid from the District's Physical Plant and Equipment Levy Fund, PPEL, and this Fund will realize the \$1.9 million savings over the next five years.

The District's General Fund's categorical program's carryover balances increased by \$282,167 to a total carryover amount of \$4,087,212 at June 30, 2017. This carryover amount is reflected in both the General Fund's Fund Balance and Unspent Balances as of June 30, 2017.



During the 2016-17 fiscal year, the Iowa Legislature discussed the possibility of creating a statewide health insurance plan for all state and local government employees. During these discussions, it was rumored that if the statewide plan were implemented, those governmental entities who operate self insurance plans through an Enterprise Fund, would be required to turn over to the state the Enterprise Fund's Fund Balance. On July 1, 2016 the District's Health Insurance Fund's Fund Balance was \$19 million. In an effort to protect the District's taxpayers, the Board ceased the employer's contribution to the Health Insurance Fund starting on or about January 1, 2017, which amounted to approximately \$5 million for the remaining fiscal year. This had the effect of decreasing the General Fund's health insurance expenditures by approximately \$5 million and decreasing the Health Insurance Fund's revenues by \$5 million. This is not anticipated to be an annual event.

On September 12, 2017, subsequent to year end, the taxpayers, with an 82% approval, voted to extend the Voted Physical Plant and Equipment Levy (VPPEL) for another ten year period starting with fiscal year ending June 30, 2022. In 2017, the VPPEL generated \$6.1 million.

**Basis of Presentation.** The charts and accounts used by the District have been prepared in conformity with GAAP as prescribed by the Governmental Accounting Standards Board and Audits of State and Local Governmental Units issued by the American Institute of Certified Public Accountants. In addition, the District's accounting records conform with the Uniform Accounting System for Iowa Schools, Chapter 11 of the Code of Iowa and Area Educational Agencies issued by the Department of Education, state of Iowa. The chart of accounts manual is updated annually and the District is in full compliance with these requirements.

**Relevant Financial Policies.** Since the funding formula is pupil driven, an increase in total spending authority occurs by increasing the number of pupils or by increasing the cost per pupil. The cost per pupil is determined by the legislature in setting the amount of Supplemental State Aid, formerly known as allowable growth, each year. Under the law, the legislature has 30 days after receiving the governor's budget recommendation to set the state percent of growth for the year following the budget year. To illustrate, the 2011 legislature set the FY13 state percent of growth. The Supplemental State Aid becomes increasingly important because as a District, if we are faced with declining enrollment in a given year, the amount of Supplemental State Aid often will dictate budget reductions that will take place.

### **Awards and Acknowledgements**

**Independent Audits.** The accounting firm of Bohnsack & Frommelt LLP performed the annual audit. In addition to meeting requirements set forth in state statutes, the audit was designed to meet the requirements of federal Single Audit Act Amendments of 1996 and related Uniform Guidance. The auditor's report on the basic financial statements, required supplementary information, combining and individual fund statements and other schedules are included in the financial section of this report.

**Awards.** The Government Finance Officers Association of the United States and Canada (GFOA) awarded a Certificate of Achievement for Excellence in Financial Reporting to the West Des Moines Community School District for its comprehensive annual financial report for the fiscal year ended June 30, 2016. The Certificate of Achievement is the highest form of recognition for excellence in state and local financial reporting.

In order to be presented this award, the District must publish an easily readable and efficiently organized comprehensive annual financial report. This report must satisfy both GAAP and applicable legal requirements. A Certificate of Achievement is valid for a period of one year only. The West Des Moines Community School District has received a Certificate of Achievement for twenty-seven consecutive years.

The School District has also received the Certificate of Excellence in Financial Reporting from the Association of School Business Officials (ASBO) for thirty consecutive years. Upon recommendation of the Association's Panel and Review, which has judged that the report substantially conforms to principles and standards of ASBO's

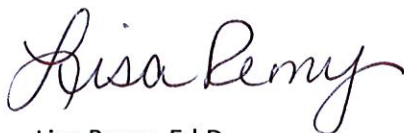
Certificate of Excellence Program, we are submitting this report to ASBO to determine its eligibility for another certificate.

A certificate from both associations is valid for a period of one year. We believe that our current comprehensive annual financial report continues to meet the program requirements of GFOA and ASBO and we are submitting it to both associations to determine its eligibility for another certificate.

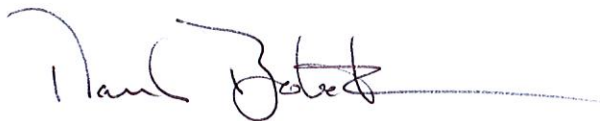
**Acknowledgement**

The preparation of this report on a timely basis could not have been accomplished without the efficient and dedicated efforts of the accounting staff and our auditors, Bohnsack & Frommelt LLP. We would like to express our appreciation to all staff members who assisted and contributed to this report. Also, appreciation is expressed for the interest and support of the Board of Education in conducting the financial operations of the District in a most responsible and progressive manner.

Respectively submitted,

A handwritten signature in cursive script, reading "Lisa Remy".

Lisa Remy, Ed.D.  
Superintendent

A handwritten signature in cursive script, reading "Paul Bobek".

Paul Bobek, CPA  
Chief Financial Officer

**West Des Moines Community School District**

**Board of Education**

**Year Ended June 30, 2017**

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|                    | <b>Title</b>   | <b>Term/Contract<br/>Expires</b> |
|--------------------|----------------|----------------------------------|
| Tali Greenspon     | President      | September 2017                   |
| Melinda Dunnwald   | Vice President | September 2019                   |
| Elizabeth Brennan  | Board Member   | September 2017                   |
| David J. Brown     | Board Member   | September 2019                   |
| Liz Cox            | Board Member   | September 2019                   |
| Jill Caton Johnson | Board Member   | September 2019                   |
| Dr. Vicky Poole    | Board Member   | September 2017                   |

## West Des Moines Community School District

### District Administration

Year Ended June 30, 2017

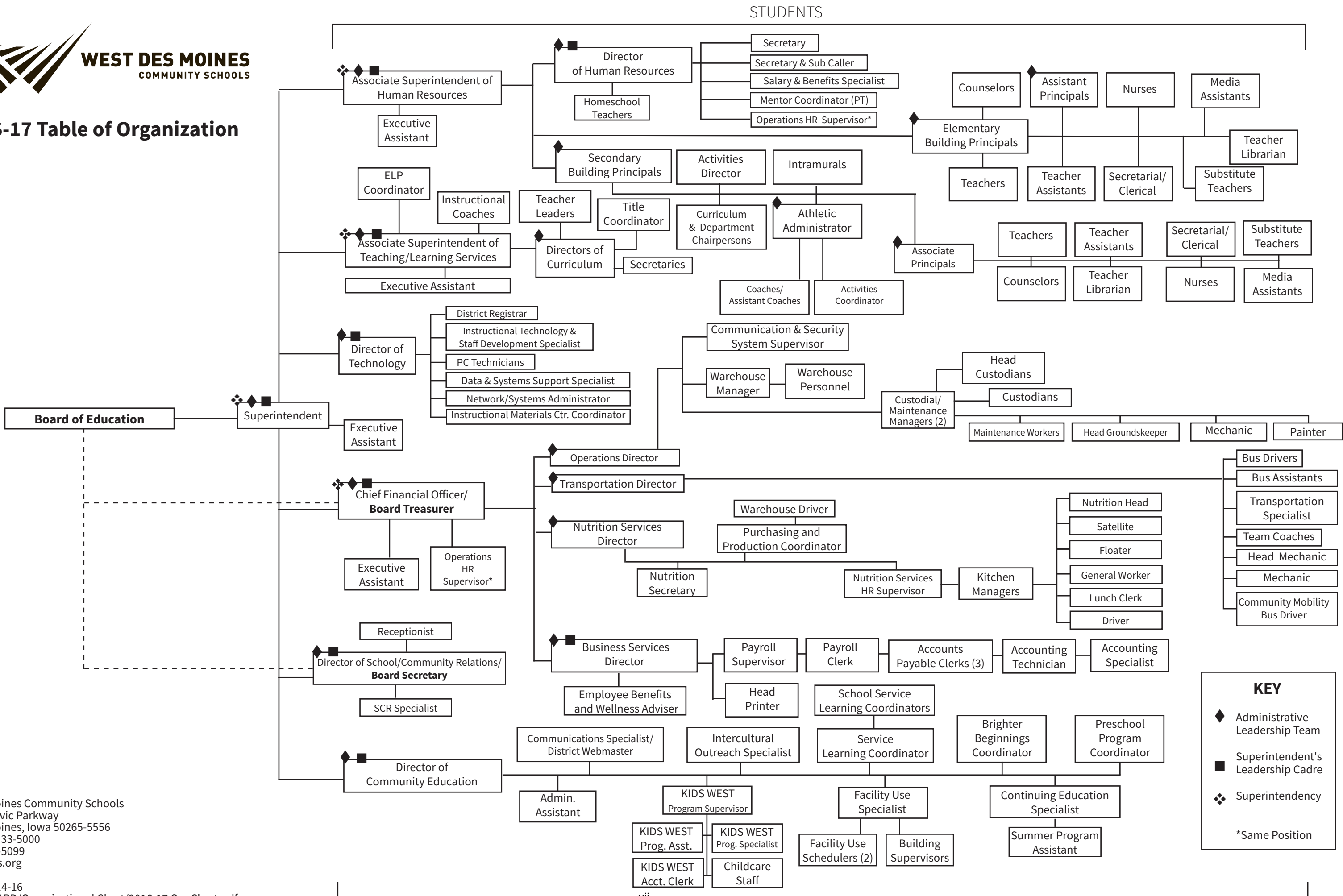
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|                       |                                                                        |
|-----------------------|------------------------------------------------------------------------|
| Dr. Lisa Remy         | Superintendent                                                         |
| Dr. Laurene Lanich    | Associate Superintendent of Teaching and Learning                      |
| Carol Seid            | Associate Superintendent of Human Resources                            |
| Janelle Green         | Director of Human Resources                                            |
| Paul Bobek, C.P.A.    | Chief Financial Officer                                                |
| Donna Beerman         | Director of Business Services                                          |
| Christine Maduro      | Director of Operations                                                 |
| Shane Scott           | Director of Curriculum and Instruction                                 |
| Steph Wilson          | Director of Curriculum and Instruction                                 |
| Shahna Janssen        | Director of Community Education                                        |
| Willow Dye            | Director of Nutrition Services                                         |
| Elaine Watkins-Miller | Director of School/Community Relations                                 |
| Brian Abeling         | Director of Technology                                                 |
| Kerry Ketcham         | Director of Special Education                                          |
| Tim Miller            | Valley High School Principal                                           |
| David Perrigo         | Valley High School Associate Principal                                 |
| Brad Rose             | Valley High School Athletic Administrator                              |
| David Maxwell         | Valley High School Associate Principal                                 |
| Erica Whittle         | Valley High School Associate Principal                                 |
| Shane Christensen     | Indian Hills Junior High Principal                                     |
| Zac Sinram            | Indian Hills Junior High Assistant Principal                           |
| Eric Boyle            | Stilwell Jr. High Principal                                            |
| Brady Weber           | Stilwell Junior High Assistant Principal                               |
| Dr. Robert Davis      | Crossroads Park Elementary School Principal                            |
| Andrea Bocook         | Clive Learning Academy                                                 |
| John Villotti         | Crestview School of Inquiry                                            |
| Brandon Pierce        | Fairmeadows Elementary School Principal                                |
| Mitch Kuhnert         | Valley Southwoods Freshman High School Principal                       |
| Bryan Stearns         | Valley Southwoods Freshman High School Associate Principal/Team Leader |
| Barbara Goetschel     | Valley Southwoods Freshman High School Associate Principal/Team Leader |
| George Panosh         | Western Hills Elementary School Principal                              |
| Paul Wenger           | Jordan Creek Elementary School Principal                               |
| Nathan Ballagh        | Westridge Elementary School Principal                                  |
| Dr. Kim Davis         | Walnut Creek Campus Principal                                          |





2016-17 Table of Organization





Government Finance Officers Association

**Certificate of  
Achievement  
for Excellence  
in Financial  
Reporting**

Presented to

**West Des Moines  
Community School District  
Iowa**

For its Comprehensive Annual  
Financial Report  
for the Fiscal Year Ended

**June 30, 2016**

A handwritten signature in black ink, reading "Jeffrey R. Emen". The signature is fluid and cursive.

Executive Director/CEO



ASSOCIATION OF  
SCHOOL BUSINESS OFFICIALS  
INTERNATIONAL

**The Certificate of Excellence in Financial Reporting  
is presented to**

**West Des Moines Community School District**

**for its Comprehensive Annual Financial Report (CAFR)  
for the Fiscal Year Ended June 30, 2016.**

The CAFR has been reviewed and met or exceeded  
ASBO International's Certificate of Excellence standards.



**Anthony N. Dragona, Ed.D., RSBA**  
President

**John D. Musso, CAE, RSBA**  
Executive Director



**WEST DES MOINES**  
**COMMUNITY SCHOOLS**





## **Independent Auditor's Report**

To the Board of Education  
West Des Moines Community School District  
West Des Moines, Iowa

### **Report on the Financial Statements**

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the West Des Moines Community School District, as of and for the year ended June 30, 2017, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

### ***Management's Responsibility for the Financial Statements***

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

### ***Auditor's Responsibility***

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

## **Opinions**

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the West Des Moines Community School District, as of June 30, 2017, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

## **Other Matters**

### *Required Supplementary Information*

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, schedules of funding progress, budgetary comparison information, schedule of the proportionate share of the net pension liability, and schedule of district contributions on pages 4-12 and 53-60 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

### *Other Information*

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The combining and individual nonmajor fund financial statements and schedule of expenditures of federal awards, as required by Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, and the other information, including the introductory and statistical sections are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The supplementary information of the combining and individual nonmajor fund financial statements and schedule of expenditures of federal awards are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information of the combining and individual nonmajor fund financial statements and schedule of expenditures of federal awards is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The introductory and statistical sections have not been subjected to the auditing procedures applied in the audit of the basic financial statements, and accordingly, we do not express an opinion or provide any assurance on it.

### **Other Reporting Required by *Government Auditing Standards***

In accordance with *Government Auditing Standards*, we have also issued our report dated November 9, 2017 on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

*Bohnsack & Frommelt LLP*

Moline, Illinois  
November 9, 2017



**WEST DES MOINES**  
**COMMUNITY SCHOOLS**

## **West Des Moines Community School District**

### **Management's Discussion and Analysis Year Ended June 30, 2017**

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It is an honor to present to you the financial picture of West Des Moines Community School District. We offer readers of the District's financial statements this narrative overview and analysis of the financial activities of the West Des Moines Community School District for the fiscal year ended June 30, 2017. We encourage readers to consider the information presented here in conjunction with additional information that we have furnished in our letter of transmittal.

#### **FINANCIAL HIGHLIGHTS**

The District showed an increase in net position of \$3,910,632 and \$8,029,472 during the years ended June 30, 2017 and 2016, respectively.

Total revenues for the fiscal year ended June 30, 2017 and 2016 of \$138,297,080 and \$133,722,350 were comprised of general revenues in the amount of \$103,664,575 and \$97,698,758 and program revenues totaling \$34,632,505 and \$36,023,592, respectively.

As of June 30, 2017, the District's governmental funds reported combined ending fund balances of \$59,851,804 an increase of \$4,615,520 in comparison to 2016. As of June 30, 2016, the District's governmental funds reported combined ending fund balances of \$55,236,284, an increase of \$3,923,870 in comparison with 2015.

As of June 30, 2017, unassigned fund balance of the General Fund was \$17,584,460 or 17.4 percent of total General Fund expenditures. As of June 30, 2016, unassigned fund balance of the General Fund was \$11,844,251 or 11.6 percent of total General Fund expenditures.

The West Des Moines Community School District's total bonded long-term debt decreased by \$6,628,456 during the fiscal year 2017 and decreased by \$7,346,290 during fiscal year ended June 30, 2016. The 2017 decrease was due to scheduled principal payments. The 2016 decrease was due to current refunding the Series 2010 and 2011 capital loan notes.

#### **OVERVIEW OF FINANCIAL STATEMENTS**

This discussion and analysis is intended to serve as an introduction to the West Des Moines Community School District's basic financial statements. The District's basic financial statements comprise three components: 1) government-wide financial statements, 2) fund financial statements and 3) notes to the basic financial statements. This report also contains other information in addition to the basic financial statements themselves.

**Government-wide financial statements.** The government-wide financial statements are designed to provide readers with a broad overview of West Des Moines Community School District's finances in a manner similar to a private-sector business.

The statement of net position presents information on all of West Des Moines Community School District's assets, deferred outflows of resources and liabilities and deferred inflows of resources, with the difference reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the District is improving or deteriorating.

The statement of activities presents information showing how the District's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (e.g., uncollected taxes and earned but unused vacation leave).



## West Des Moines Community School District

### Management's Discussion and Analysis Year Ended June 30, 2017

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Both of the government-wide financial statements reflect functions of West Des Moines Community School District that are principally supported by taxes and intergovernmental revenues (governmental activities). The governmental activities of the District include instruction, support services, noninstructional programs, other and interest on long-term debt. Business-type activities are those that the District charges a fee to help cover the costs, such as School Nutrition and Community Education.

The government-wide financial statements include only West Des Moines Community School District. There are no other organizations or agencies whose financial statements should be combined and presented with the financial statements of the District.

**Fund financial statements.** A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The West Des Moines Community School District, like other state and local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the District can be divided into three categories: governmental funds, proprietary funds and fiduciary funds.

**Governmental funds.** Governmental funds are used to account for essentially the same functions reported as governmental activities in the government-wide financial statements. However, unlike the government-wide financial statements, governmental fund financial statements focus on near-term inflows and outflows of spendable resources, as well as on balances of spendable resources available at the end of the fiscal year. Such information may be useful in evaluating the government's near-term financial requirements.

Because the focus of governmental fund is narrower than that of the government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the government's near-term financing decisions. Both the governmental fund balance sheet and the governmental fund statement of revenues, expenditures and changes in fund balances provide a reconciliation to facilitate this comparison between governmental funds and governmental activities.

The West Des Moines Community School District maintains six individual governmental funds. Information is presented separately in the governmental fund balance sheet and in the governmental fund statement of revenues, expenditures and changes in fund balances for the General Fund, Management Fund, Capital Projects Fund, and Debt Service Fund which are considered to be major funds. Data from the other governmental funds are combined into a single, aggregated presentation. Individual fund data for each of these nonmajor governmental funds is provided in the form of combining statements elsewhere in this report. The basic governmental fund financial statements can be found on pages 17 through 20 of this report.

**Proprietary funds.** The District maintains two types of proprietary funds: enterprise and internal service. Enterprise funds are used to report the same functions presented as business-type activities in the government-wide financial statements. The District maintains two enterprise funds. Internal service funds are used to report the same functions presented as governmental activities in the government-wide financial statements. The District maintains one internal service fund to account for the premium and claim payments for the self-insured health insurance and dental insurance plans for District's employees. Internal service funds are an accounting device used to accumulate and allocate costs internally among the District's various functions. Because the service provided by the District predominately benefits governmental, rather than business-type functions, it has been included within governmental activities in the government-wide financial statements.

The basic proprietary fund financial statements can be found on pages 21 through 26 of this report.

## West Des Moines Community School District

### Management's Discussion and Analysis Year Ended June 30, 2017

**Fiduciary funds.** Fiduciary funds are used to account for resources held for the benefit of parties outside the government. Fiduciary funds are not reflected in the government-wide financial statements because the resources of those funds are not available to support the West Des Moines Community School District's own programs. The fiduciary fund of the District is an agency fund. Agency funds are custodial in nature and do not involve measurement of results of operation.

The basic fiduciary fund financial statement can be found on page 27 of this report.

**Notes to financial statements.** The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements.

**Other information.** In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information concerning the West Des Moines Community School District's budgetary comparison, funding progress for the retiree health plan and schedule of proportionate share of the net pension liability and schedule of contributions. Required supplementary information can be found on pages 53 through 60 of this report.

The combining statements referred to earlier in connection with nonmajor governmental funds are presented immediately following the required supplementary information.

### GOVERNMENT-WIDE FINANCIAL ANALYSIS

As noted earlier, net position may serve over time as a useful indicator of a government's financial position. The District's total net position has increased from a year ago from \$176,739,348 to \$180,649,980.

Table 1 - Net Position

|                                                                      | Governmental Activities |                       | Business-Type Activities |                     | Total District        |                       |
|----------------------------------------------------------------------|-------------------------|-----------------------|--------------------------|---------------------|-----------------------|-----------------------|
|                                                                      | June 30, 2017           | June 30, 2016         | June 30, 2017            | June 30, 2016       | June 30, 2017         | June 30, 2016         |
| Current and other assets                                             | \$ 151,751,617          | \$ 149,757,930        | \$ 4,446,937             | \$ 4,425,068        | \$ 156,198,554        | \$ 154,182,998        |
| Capital assets                                                       | 214,970,646             | 216,773,385           | 1,470,428                | 1,521,188           | 216,441,074           | 218,294,573           |
| <b>Total assets</b>                                                  | <b>366,722,263</b>      | <b>366,531,315</b>    | <b>5,917,365</b>         | <b>5,946,256</b>    | <b>372,639,628</b>    | <b>372,477,571</b>    |
| Deferred outflows of resources,<br>pension related deferred outflows | 14,462,024              | 12,943,667            | 786,413                  | 684,117             | 15,248,437            | 13,627,784            |
| Noncurrent liabilities                                               | 116,213,656             | 111,845,319           | 3,201,169                | 2,616,462           | 119,414,825           | 114,461,781           |
| Other liabilities                                                    | 27,364,684              | 26,407,082            | 369,819                  | 650,752             | 27,734,503            | 27,057,834            |
| <b>Total liabilities</b>                                             | <b>143,578,340</b>      | <b>138,252,401</b>    | <b>3,570,988</b>         | <b>3,267,214</b>    | <b>147,149,328</b>    | <b>141,519,615</b>    |
| Deferred revenue                                                     | 59,187,437              | 57,668,183            | -                        | -                   | 59,187,437            | 57,668,183            |
| Pension related deferred inflows                                     | 856,384                 | 9,693,547             | 44,936                   | 484,662             | 901,320               | 10,178,209            |
| <b>Total deferred inflows<br/>of resources</b>                       | <b>60,043,821</b>       | <b>67,361,730</b>     | <b>44,936</b>            | <b>484,662</b>      | <b>60,088,757</b>     | <b>67,846,392</b>     |
| Net position:                                                        |                         |                       |                          |                     |                       |                       |
| Net investment in capital assets                                     | 157,687,214             | 152,861,497           | 1,470,428                | 1,521,188           | 159,157,642           | 154,382,685           |
| Restricted                                                           | 33,095,051              | 34,915,134            | -                        | -                   | 33,095,051            | 34,915,134            |
| Unrestricted                                                         | (13,220,139)            | (13,915,780)          | 1,617,426                | 1,357,309           | (11,602,713)          | (12,558,471)          |
| <b>Total net position</b>                                            | <b>\$ 177,562,126</b>   | <b>\$ 173,860,851</b> | <b>\$ 3,087,854</b>      | <b>\$ 2,878,497</b> | <b>\$ 180,649,980</b> | <b>\$ 176,739,348</b> |

A significant portion of the District's total assets reflects its investment in capital assets. The District uses these capital assets to provide educational services; consequently, these assets are not available for future spending. The District's net investment in capital assets-net position was \$159,157,642 for 2017 and \$154,382,685 for 2016. Although the District's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources since the capital assets themselves cannot be used to liquidate these liabilities.

## West Des Moines Community School District

### Management's Discussion and Analysis Year Ended June 30, 2017

The restricted portion of the District's net position (18.3 percent for 2017 and 19.8 percent for 2016) represents resources that are subject to external restrictions on how they may be used. These restrictions for 2017 include \$4,087,212 for categorical funding, \$7,135,626 for physical plant and equipment levy, \$2,474,651 for debt service, \$7,449,986 for statewide sales and services tax, \$10,716,310 for management levy, \$803,141 for student activities and \$428,125 for public education and recreation levy. The remaining balance of unrestricted net position, (\$11,602,713) for 2017 and (\$12,558,471) for 2016, is in a deficit position, due to the unfunded net pension liability.

At the end of the current and prior fiscal years, the West Des Moines Community School District is able to report positive balances in two categories of net position. Unrestricted net position is deficit in the current and prior fiscal year due to the net pension liability.

Table 2 highlights the District's revenues and expenses for the fiscal year ended June 30, 2017 and 2016. This table utilizes the full accrual method of accounting. Revenues less expenses yielded the change in net position. This change was anticipated and it enabled the District to acquire capital assets and to service its long-term debt.

**Table 2 - Changes in Net Position**

|                                                          | Governmental Activities |                    | Business-Type Activities |                  | Total District     |                    |
|----------------------------------------------------------|-------------------------|--------------------|--------------------------|------------------|--------------------|--------------------|
|                                                          | June 30, 2017           | June 30, 2016      | June 30, 2017            | June 30, 2016    | June 30, 2017      | June 30, 2016      |
| <b>Revenues:</b>                                         |                         |                    |                          |                  |                    |                    |
| Program revenues:                                        |                         |                    |                          |                  |                    |                    |
| Charges for service and sales                            | \$ 9,995,976            | \$ 9,663,096       | \$ 5,503,576             | \$ 5,192,380     | \$ 15,499,552      | \$ 14,855,476      |
| Operating grants and contributions                       | 16,829,008              | 19,045,978         | 2,164,865                | 2,122,138        | 18,993,873         | 21,168,116         |
| Capital grants and contributions                         | -                       | -                  | 139,080                  | -                | 139,080            | -                  |
| General revenues:                                        |                         |                    |                          |                  |                    |                    |
| Property taxes and other taxes                           | 66,145,821              | 63,222,065         | -                        | -                | 66,145,821         | 63,222,065         |
| State sources                                            | 36,420,167              | 33,926,861         | -                        | -                | 36,420,167         | 33,926,861         |
| Investment earnings                                      | 1,055,270               | 534,348            | 24,460                   | 15,484           | 1,079,730          | 549,832            |
| Other                                                    | 18,857                  | -                  | -                        | -                | 18,857             | -                  |
| <b>Total revenues</b>                                    | <b>130,465,099</b>      | <b>126,392,348</b> | <b>7,831,981</b>         | <b>7,330,002</b> | <b>138,297,080</b> | <b>133,722,350</b> |
| <b>Program expenses:</b>                                 |                         |                    |                          |                  |                    |                    |
| Instruction                                              | 87,584,473              | 80,072,100         | -                        | -                | 87,584,473         | 80,072,100         |
| Support services                                         | 33,313,550              | 32,307,088         | -                        | -                | 33,313,550         | 32,307,088         |
| Noninstructional programs                                | 472,727                 | 507,475            | -                        | -                | 472,727            | 507,475            |
| Other                                                    | 3,814,800               | 3,804,493          | -                        | -                | 3,814,800          | 3,804,493          |
| Interest on long-term debt                               | 1,703,274               | 1,674,726          | -                        | -                | 1,703,274          | 1,674,726          |
| School nutrition                                         | -                       | -                  | 4,442,272                | 4,565,909        | 4,442,272          | 4,565,909          |
| Community education                                      | -                       | -                  | 3,055,352                | 2,761,087        | 3,055,352          | 2,761,087          |
| <b>Total expenses</b>                                    | <b>126,888,824</b>      | <b>118,365,882</b> | <b>7,497,624</b>         | <b>7,326,996</b> | <b>134,386,448</b> | <b>125,692,878</b> |
| <b>Excess of revenues over expenses before transfers</b> | <b>3,576,275</b>        | <b>8,026,466</b>   | <b>334,357</b>           | <b>3,006</b>     | <b>3,910,632</b>   | <b>8,029,472</b>   |
| Transfers                                                | 125,000                 | 125,000            | (125,000)                | (125,000)        | -                  | -                  |
| <b>Change in net position</b>                            | <b>3,701,275</b>        | <b>8,151,466</b>   | <b>209,357</b>           | <b>(121,994)</b> | <b>3,910,632</b>   | <b>8,029,472</b>   |
| Net position, beginning                                  | 173,860,851             | 165,709,385        | 2,878,497                | 3,000,491        | 176,739,348        | 168,709,876        |
| Net position, ending                                     | \$ 177,562,126          | \$ 173,860,851     | \$ 3,087,854             | \$ 2,878,497     | \$ 180,649,980     | \$ 176,739,348     |

## West Des Moines Community School District

### Management's Discussion and Analysis Year Ended June 30, 2017

The District's total net position increased by \$3,910,632 during the current fiscal year as compared to \$8,029,472 in 2016. The governmental activities net position increased by \$3,701,275 in 2017 and \$8,151,466 in 2016. The business-type activities, which include nutrition and community education, increased by \$209,357 in 2017 and decreased by \$121,994 in 2016.

Revenue is further divided into two major components: program revenue and general revenue. Program revenue is defined as charges for services and sales, operating and capital grants and contributions. General revenue includes taxes and unrestricted grants such as state foundation support. Expenses are shown in programs including instruction, support services, noninstructional programs, other, interest on long-term debt, school nutrition and community education.

#### GOVERNMENTAL ACTIVITIES

Revenues for governmental activities were \$130,465,099 and expenses were \$126,888,824. Property taxes and other taxes such as sales tax and utility replacement tax and state sources including state foundation aid are the primary sources of revenue for the District. These sources represent 78.6 percent of total revenues. Instruction constitutes the largest portion of governmental activities expenses at \$87,584,473 or 69.0 percent of total expenses.

Table 3 discloses cost of services for governmental and business-type activities. The total cost of services column contains all costs related to the programs and the net cost column shows how much of the total amount is not covered by program revenues. Succinctly put, net costs are costs that must be covered by state aid or local taxes. The difference in these two columns would represent restricted grants and charges for services.

**Table 3 - Governmental and Business-Type Activities**

|                            | Total Cost of Services |                       | Net Cost of Services |                      |
|----------------------------|------------------------|-----------------------|----------------------|----------------------|
|                            | June 30, 2017          | June 30, 2016         | June 30, 2017        | June 30, 2016        |
| Instruction                | \$ 87,584,473          | \$ 80,072,100         | \$ 66,411,389        | \$ 56,795,180        |
| Support services           | 33,313,550             | 32,307,088            | 31,476,450           | 30,672,177           |
| Noninstructional programs  | 472,727                | 507,475               | 472,727              | 507,475              |
| Other                      | 3,814,800              | 3,804,493             | -                    | 7,250                |
| Interest on long-term debt | 1,703,274              | 1,674,726             | 1,703,274            | 1,674,726            |
| School nutrition           | 4,442,272              | 4,565,909             | (93,700)             | 209,742              |
| Community education        | 3,055,352              | 2,761,087             | (216,197)            | (197,264)            |
| <b>Total expenses</b>      | <b>\$ 134,386,448</b>  | <b>\$ 125,692,878</b> | <b>\$ 99,753,943</b> | <b>\$ 89,669,286</b> |

Net cost of services is 74.2 percent of total cost of services in 2017 and 71.4 percent of total cost of services in 2016. The cost of governmental activities financed by users of the District's programs was \$9,995,976 in 2017 and \$9,663,096 in 2016. Federal and state governments subsidized certain programs with grants and contributions totaling \$16,829,008 in 2017 and \$19,045,978 for 2016. The remaining net cost of the governmental activities was financed with property tax, state foundation aid and investment earnings.

## **West Des Moines Community School District**

### **Management's Discussion and Analysis Year Ended June 30, 2017**

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Approximately 80 percent of the District's general fund budget is comprised of salary and benefit costs. Historically speaking, collective bargaining contracts have increased approximately four percent or more each year. Until 2010, District staffing had increased for several consecutive years due to gradual enrollment growth, changing student needs and demographics. More recently, the Board of Education has approved the administration's recommendation to reduce some teaching and staff positions in various education programs and support areas. These reductions were made in response to state funding cuts.

#### **BUSINESS-TYPE ACTIVITIES**

- The School Nutrition and Community Education programs constitute the business-type activities.
- The primary sources of income are charges for services and federal revenues.
- The School Nutrition Fund's primary expenses are staff and food. The District's free and reduced participation continued to increase during the fiscal year. The School Nutrition Fund had an increase in net position of \$251,250. For fiscal year 2016 net position decreased 299,381.
- The primary source of revenue for the Community Education fund is sales of services for educational programs. The Community Education fund had an increase in position of \$212,436 during the fiscal year. For fiscal year 2016 net position increased \$22,118.

#### **FINANCIAL ANALYSIS OF THE GOVERNMENT'S FUNDS**

As noted earlier, the West Des Moines Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

**Governmental funds.** The focus of the West Des Moines Community School District's governmental funds is to provide information on near-term inflows, outflows and balances of spendable resources. Such information is useful in assessing the District's financing requirements. In particular, unreserved fund balance may serve as a useful measure of a government's net resources available for spending at the end of the fiscal year.

As of the end of the current fiscal year, the West Des Moines Community School District's governmental funds reported combined ending fund balances of \$59,851,804, and increase of \$4,615,520 in comparison with the prior year fund balance of \$55,236,284. Approximately 29 percent or \$17,584,460 for 2017 and 21 percent or \$11,844,251 for 2016, constitutes unassigned fund balance, which is available for spending at the government's discretion. The majority of the remaining fund balance for 2017 and 2016 is restricted to indicate that it is not available for new spending because it has already been restricted for other purposes. The District committed \$5,567,381 and \$4,988,125 of fund balance for curriculum as of June 30, 2017 and 2016, respectively.

The General Fund is the chief operating fund of the District. At the end of the current fiscal year, unassigned fund balance of the General Fund was \$17,584,460 and \$11,844,251 for 2017 and 2016, respectively while total fund balance reached \$27,310,984 in 2017 and \$20,693,214 for 2016. This increase is primarily attributable to funding only six months of the employers health insurance and dental insurance to the Internal Service Fund given potential legislation that was rumored to take June 30, 2017 fund balances in the District's Internal Service Fund which amounted to approximately \$5 million.

**West Des Moines Community School District**  
**Management's Discussion and Analysis**  
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**Year Ended June 30, 2017**

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As a measure of the General Fund's liquidity, it may be useful to compare both unassigned fund balance and total fund balance to total fund expenditures. Unassigned fund balance represents 17.4 percent of total General Fund expenditures, and total fund balance represents approximately 27.0 percent of that same amount for 2017. For 2016, unassigned fund balance represents 11.6 percent of total General Fund expenditures, while total fund balance represents approximately 20.3 percent of that same amount.

The fund balance of the District's General Fund increased by \$6,617,770 during June 30, 2017 primarily due to funding for six months of health and dental insurance as noted above.

The Management Fund fund balance decreased \$317,688 to \$10,716,310 in 2017 from \$11,033,998 in 2016. The decrease is primarily due to payment of benefits.

The Capital Projects Fund fund balance decreased to \$20,593,244 from \$22,053,621 in 2016. This decrease is due to scheduled debt service transfers of sales tax revenues to the debt service fund.

The Debt Service Fund balance is \$0 in both fiscal years. The District paid \$5,935,000 in principal and \$2,618,298 in interest on the bonded long-term debt of the District.

**BUDGETARY HIGHLIGHTS**

As allowed by GASB Statement No. 41, *Budgetary Comparison Schedules – Perspective Differences*, the District presents budgetary comparison schedules as required supplementary information based on the program structure of four functional areas as required by state statute for its legally adopted budget. In accordance with the Code of Iowa, the Board of Education annually adopts a program budget which includes all funds except internal service and agency funds as described in the note to required supplementary information.

A comparison of the actual expenditures/expenses of the District's budgeted funds with the final amended program budget amounts is as follows:

|                           | Budget                |                       | Actual<br>Expenditures/<br>Expenses | Variance             |
|---------------------------|-----------------------|-----------------------|-------------------------------------|----------------------|
|                           | Original              | Final                 |                                     |                      |
| Instruction               | \$ 76,079,685         | \$ 81,569,224         | \$ 77,091,415                       | \$ 4,477,809         |
| Support services          | 34,898,663            | 35,956,989            | 28,936,961                          | 7,020,028            |
| Noninstructional programs | 7,547,898             | 8,047,898             | 7,153,678                           | 894,220              |
| Other                     | 22,375,508            | 22,875,508            | 20,149,136                          | 2,726,372            |
| <b>Total</b>              | <b>\$ 140,901,754</b> | <b>\$ 148,449,619</b> | <b>\$ 133,331,190</b>               | <b>\$ 15,118,429</b> |

The original budget is published at least three months prior to the start of the fiscal year-often prior to settlement of collective bargaining agreements and before final legislative action on the state budget. In the latter portion of the fiscal year the amended budget is published with "not to exceed" amounts to satisfy Iowa's statutory reporting requirements. The District expended less than budgeted by \$15,118,429.



## West Des Moines Community School District

### Management's Discussion and Analysis Year Ended June 30, 2017

#### CAPITAL ASSETS AND DEBT ADMINISTRATION

The following table shows ending balances of capital assets invested in various categories. The District recognized a total net decrease of \$1,853,499 for 2017. The decrease is due to depreciation exceeding current year additions.

Table 4 - Capital Assets as of June 30 (Net of Depreciation)

|                            | 2017                  | 2016                  |
|----------------------------|-----------------------|-----------------------|
| Land                       | \$ 4,095,848          | \$ 4,110,848          |
| Construction-in-progress   | 358,728               | 2,939,091             |
| Buildings and improvements | 208,427,928           | 207,292,529           |
| Machinery and equipment    | 3,558,570             | 3,952,105             |
| <b>Total</b>               | <b>\$ 216,441,074</b> | <b>\$ 218,294,573</b> |

Additional information about the District's capital assets can be found in Note 5 to the financial statements.

#### Debt

As of June 30, 2017, the West Des Moines Community School District had bonds and capital loan notes outstanding totaling \$61,116,413 compared to \$67,744,869 as of June 30, 2016. In the current year, the District paid \$5,935,000 in principal and \$2,618,198 in interest on outstanding debt.

|                    | 2017                 | 2016                 |
|--------------------|----------------------|----------------------|
| Capital loan notes | \$ 21,902,641        | \$ 26,643,301        |
| Revenue bonds      | 39,213,772           | 41,101,568           |
|                    | <b>\$ 61,116,413</b> | <b>\$ 67,744,869</b> |

As of June 30, 2017, the District's available legal debt margin was \$285,496,671 compared to \$274,808,136 as of June 30, 2016. Additional information about the District's long-term debt can be found in Note 6 to the financial statements.

Other long-term debt consists of:

| Outstanding Long-Term Obligations |                         |               |                          |              |                |               |        | Total<br>Percentage<br>Change<br>2016-17 |
|-----------------------------------|-------------------------|---------------|--------------------------|--------------|----------------|---------------|--------|------------------------------------------|
|                                   | Governmental Activities |               | Business-Type Activities |              | Total District |               |        |                                          |
|                                   | 2017                    | 2016          | 2017                     | 2016         | 2017           | 2016          |        |                                          |
| Early retirement                  | \$ 1,293,574            | \$ 1,624,780  | \$ -                     | \$ 30,194    | \$ 1,293,574   | \$ 1,654,974  | -21.8% |                                          |
| Compensated absences              | 444,368                 | 445,884       | 27,103                   | 29,626       | 471,471        | 475,510       | -0.8%  |                                          |
| Net pension liability             | 51,213,851              | 40,163,127    | 2,637,550                | 2,055,933    | 53,851,401     | 42,219,060    | 27.6%  |                                          |
| Net OPEB liability                | 9,528,381               | 8,964,626     | 563,619                  | 536,374      | 10,092,000     | 9,501,000     | 6.2%   |                                          |
| Total                             | \$ 62,480,174           | \$ 51,198,417 | \$ 3,228,272             | \$ 2,652,127 | \$ 65,708,446  | \$ 53,850,544 | 22.0%  |                                          |

Additional information about the District's other long-term obligations can be found Note 7, Note 8, and Note 9 to the financial statements.

## **West Des Moines Community School District**

### **Management's Discussion and Analysis Year Ended June 30, 2017**

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#### **ECONOMIC FACTORS AND NEXT YEAR'S BUDGET AND RATES**

The District is located in the central part of the state, within the larger Des Moines metropolitan area and ranks as one of the top growth areas of the state. The economic condition and outlook of the District have remained strong during the past ten years, following several years of very high economic growth and steady enrollment growth. This growth has had a positive effect on employment and the District's tax base. The District's tax base increased at an average annual rate of approximately 3.66% over the past 15 years. In fiscal year 2017, the District experienced an increase in valuation of 7.03%, reversing the last two years decreases of 1.03% and 1.84%.

The tax base is expected to grow more slowly in the next five years.

Retail sales, building permits and population increases in the western suburbs have generally exceeded that of any other location in the metropolitan area or in the state of Iowa. Growth in the Des Moines area suburbs is expected to exceed the state average. A large percentage of these increases are occurring outside the District's boundaries.

In recent years, the state of Iowa faced an economic downturn that severely hampered its ability to fund schools at the same level as in prior years. After two consecutive years of 4.5% declines in the state's net receipts, in 2011, the state's net receipts increased by 5.8%. In light of these challenging economic times, the District has publicly discussed operating budget concerns looking ahead to the next five years. In May 2014, the Board approved a plan to reduce \$2.7 million in General Fund Budget in the 2014-15 fiscal year including the closing of Phenix Elementary School. The Board of Education continues to implement the District's long range facilities plan, which was approved in March 2010. In addition, the Board has directed the Administration to review this plan so that additional Revenue Bonds are not necessary to finance the plan and the Administration has since presented a plan to make \$12.3 million in scope reductions to this plan.

#### **Request for Information**

These financial statements and discussions are designed to provide our students, citizens, taxpayers, investors and creditors with a complete disclosure of the District's finances and to demonstrate a high degree of accountability for the public dollars entrusted to us. If you have questions about this report or need additional information, please contact Mr. Paul Bobek, Chief Financial officer, West Des Moines Community School District, 3550 Mills Civic Parkway, West Des Moines, Iowa 50265-5556.

**West Des Moines Community School District**

**Statement of Net Position**

**June 30, 2017**

|                                                   | Governmental<br>Activities | Business-Type<br>Activities | Total              |
|---------------------------------------------------|----------------------------|-----------------------------|--------------------|
| <b>Assets</b>                                     |                            |                             |                    |
| Current assets:                                   |                            |                             |                    |
| Cash, cash equivalents and investments            | \$ 82,911,548              | \$ 2,765,414                | \$ 85,676,962      |
| Restricted cash, cash equivalents and investments | 6,307,632                  | -                           | 6,307,632          |
| Receivables:                                      |                            |                             |                    |
| Property taxes                                    | 59,359,606                 | -                           | 59,359,606         |
| Other                                             | 4,429,030                  | 201,549                     | 4,630,579          |
| Inventories                                       | 71,931                     | 151,844                     | 223,775            |
| Internal balances                                 | (1,328,130)                | 1,328,130                   | -                  |
| <b>Total current assets</b>                       | <b>151,751,617</b>         | <b>4,446,937</b>            | <b>156,198,554</b> |
| Noncurrent assets:                                |                            |                             |                    |
| Capital assets:                                   |                            |                             |                    |
| Nondepreciable:                                   |                            |                             |                    |
| Land                                              | 4,095,848                  | -                           | 4,095,848          |
| Construction-in-progress                          | 358,728                    | -                           | 358,728            |
| Depreciable:                                      |                            |                             |                    |
| Buildings and improvements                        | 295,749,081                | -                           | 295,749,081        |
| Machinery and equipment                           | 13,958,596                 | 3,886,034                   | 17,844,630         |
| Accumulated depreciation                          | (99,191,607)               | (2,415,606)                 | (101,607,213)      |
| <b>Total noncurrent assets</b>                    | <b>214,970,646</b>         | <b>1,470,428</b>            | <b>216,441,074</b> |
| <b>Total assets</b>                               | <b>366,722,263</b>         | <b>5,917,365</b>            | <b>372,639,628</b> |
| <b>Deferred outflows of resources,</b>            |                            |                             |                    |
| Pension related deferred outflows                 | 14,462,024                 | 786,413                     | 15,248,437         |

See Notes to Basic Financial Statements.

|                                            | Governmental<br>Activities | Business-Type<br>Activities | Total                 |
|--------------------------------------------|----------------------------|-----------------------------|-----------------------|
| <b>Liabilities</b>                         |                            |                             |                       |
| Current liabilities:                       |                            |                             |                       |
| Accounts payable                           | 5,884,387                  | 141,588                     | 6,025,975             |
| Claims payable                             | 2,800,000                  | -                           | 2,800,000             |
| Accrued liabilities                        | 10,239,868                 | -                           | 10,239,868            |
| Unearned revenue                           | 281,082                    | 201,128                     | 482,210               |
| Capital loan notes                         | 4,530,000                  | -                           | 4,530,000             |
| Revenue bonds                              | 1,820,000                  | -                           | 1,820,000             |
| Compensated absences                       | 444,368                    | 27,103                      | 471,471               |
| Liability for early retirement             | 588,563                    | -                           | 588,563               |
| Accrued interest payable                   | 776,416                    | -                           | 776,416               |
| <b>Total current liabilities</b>           | <b>27,364,684</b>          | <b>369,819</b>              | <b>27,734,503</b>     |
| Noncurrent liabilities:                    |                            |                             |                       |
| Capital notes                              | 17,372,641                 | -                           | 17,372,641            |
| Revenue bonds                              | 37,393,772                 | -                           | 37,393,772            |
| Liability for early retirement             | 705,011                    | -                           | 705,011               |
| Net pension liability                      | 51,213,851                 | 2,637,550                   | 53,851,401            |
| Net OPEB liability                         | 9,528,381                  | 563,619                     | 10,092,000            |
| <b>Total noncurrent liabilities</b>        | <b>116,213,656</b>         | <b>3,201,169</b>            | <b>119,414,825</b>    |
| <b>Total liabilities</b>                   | <b>143,578,340</b>         | <b>3,570,988</b>            | <b>147,149,328</b>    |
| <b>Deferred inflows of resources</b>       |                            |                             |                       |
| Succeeding year property tax               | 59,187,437                 | -                           | 59,187,437            |
| Pension related deferred inflows           | 856,384                    | 44,936                      | 901,320               |
| <b>Total deferred inflows of resources</b> | <b>60,043,821</b>          | <b>44,936</b>               | <b>60,088,757</b>     |
| <b>Net Position</b>                        |                            |                             |                       |
| Net investment in capital assets           | 157,687,214                | 1,470,428                   | 159,157,642           |
| Restricted for:                            |                            |                             |                       |
| Categorical funding                        | 4,087,212                  | -                           | 4,087,212             |
| Physical plant and equipment levy          | 7,135,626                  | -                           | 7,135,626             |
| Debt service                               | 2,474,651                  | -                           | 2,474,651             |
| Statewide sales and services tax           | 7,449,986                  | -                           | 7,449,986             |
| Management levy                            | 10,716,310                 | -                           | 10,716,310            |
| Public education and recreation levy       | 428,125                    | -                           | 428,125               |
| Student activities                         | 803,141                    | -                           | 803,141               |
| Unrestricted                               | (13,220,139)               | 1,617,426                   | (11,602,713)          |
| <b>Total net position</b>                  | <b>\$ 177,562,126</b>      | <b>\$ 3,087,854</b>         | <b>\$ 180,649,980</b> |

**West Des Moines Community School District**

**Statement of Activities  
Year Ended June 30, 2017**

| Functions/Programs                    | Expenses              | Charges<br>for Services<br>and Sales |
|---------------------------------------|-----------------------|--------------------------------------|
| Primary Government:                   |                       |                                      |
| Governmental activities:              |                       |                                      |
| Instruction                           | \$ 87,584,473         | \$ 8,158,876                         |
| Support services                      | 33,313,550            | 1,837,100                            |
| Noninstructional programs             | 472,727               | -                                    |
| Other                                 | 3,814,800             | -                                    |
| Interest on long-term debt            | 1,703,274             | -                                    |
| <b>Total governmental activities</b>  | <b>126,888,824</b>    | <b>9,995,976</b>                     |
| Business-type activities:             |                       |                                      |
| School nutrition                      | 4,442,272             | 2,232,027                            |
| Community education                   | 3,055,352             | 3,271,549                            |
| <b>Total business-type activities</b> | <b>7,497,624</b>      | <b>5,503,576</b>                     |
| <b>Total primary government</b>       | <b>\$ 134,386,448</b> | <b>\$ 15,499,552</b>                 |

General revenues and transfers:

General revenues:

Property taxes for general purposes  
Property taxes for specific purposes  
Revenue in lieu of taxes  
Statewide sales and services tax  
Utility replacement tax  
State foundation aid, unrestricted  
Investment earnings  
Gain on sale of capital assets

Transfers

**Total general revenues and transfers**

**Change in net position**

Net position, beginning of year

Net position, end of year

See Notes to Basic Financial Statements.

| Program Revenues                      |             |                                     | Net (Expense) Revenue<br>and Changes in Net Position |                             |                 |
|---------------------------------------|-------------|-------------------------------------|------------------------------------------------------|-----------------------------|-----------------|
| Operating Grants<br>and Contributions |             | Capital Grants<br>and Contributions | Governmental<br>Activities                           | Business-Type<br>Activities | Total           |
| \$                                    | 13,014,208  | \$ -                                | \$ (66,411,389)                                      | \$ -                        | \$ (66,411,389) |
|                                       | -           | -                                   | (31,476,450)                                         | -                           | (31,476,450)    |
|                                       | -           | -                                   | (472,727)                                            | -                           | (472,727)       |
|                                       | 3,814,800   | -                                   | -                                                    | -                           | -               |
|                                       | -           | -                                   | (1,703,274)                                          | -                           | (1,703,274)     |
|                                       | 16,829,008  | -                                   | (100,063,840)                                        | -                           | (100,063,840)   |
|                                       |             |                                     |                                                      |                             |                 |
|                                       | 2,164,865   | 139,080                             | -                                                    | 93,700                      | 93,700          |
|                                       | -           | -                                   | -                                                    | 216,197                     | 216,197         |
|                                       | 2,164,865   | 139,080                             | -                                                    | 309,897                     | 309,897         |
| \$                                    | 18,993,873  | \$ 139,080                          | (100,063,840)                                        | 309,897                     | (99,753,943)    |
|                                       |             |                                     |                                                      |                             |                 |
|                                       |             |                                     | 46,296,434                                           | -                           | 46,296,434      |
|                                       |             |                                     | 10,329,021                                           | -                           | 10,329,021      |
|                                       |             |                                     | 2,464,434                                            | -                           | 2,464,434       |
|                                       |             |                                     | 8,535,006                                            | -                           | 8,535,006       |
|                                       |             |                                     | 985,360                                              | -                           | 985,360         |
|                                       |             |                                     | 33,955,733                                           | -                           | 33,955,733      |
|                                       |             |                                     | 1,055,270                                            | 24,460                      | 1,079,730       |
|                                       |             |                                     | 18,857                                               | -                           | 18,857          |
|                                       |             |                                     | 125,000                                              | (125,000)                   | -               |
|                                       |             |                                     | 103,765,115                                          | (100,540)                   | 103,664,575     |
|                                       |             |                                     |                                                      |                             |                 |
|                                       |             |                                     | 3,701,275                                            | 209,357                     | 3,910,632       |
|                                       |             |                                     |                                                      |                             |                 |
|                                       |             |                                     | 173,860,851                                          | 2,878,497                   | 176,739,348     |
| \$                                    | 177,562,126 | \$                                  | 3,087,854                                            | \$                          | 180,649,980     |

# West Des Moines Community School District

## Balance Sheet Governmental Funds June 30, 2017

|                                                                                   | General              | Special<br>Revenue<br>Management | Capital<br>Projects  | Debt<br>Service | Nonmajor<br>Governmental<br>Funds | Total                 |
|-----------------------------------------------------------------------------------|----------------------|----------------------------------|----------------------|-----------------|-----------------------------------|-----------------------|
| <b>Assets</b>                                                                     |                      |                                  |                      |                 |                                   |                       |
| Cash and investments                                                              | \$ 38,518,430        | \$ 12,101,574                    | \$ 14,520,186        | \$ -            | \$ 1,581,537                      | \$ 66,721,727         |
| Restricted cash<br>and investments                                                | -                    | -                                | 6,307,632            | -               | -                                 | 6,307,632             |
| Receivables:                                                                      |                      |                                  |                      |                 |                                   |                       |
| Property taxes                                                                    | 49,150,557           | 1,840,510                        | 7,770,926            | -               | 597,613                           | 59,359,606            |
| Due from other governments                                                        | 2,752,039            | -                                | 1,017,613            | -               | -                                 | 3,769,652             |
| Other                                                                             | 522,273              | 440                              | -                    | -               | 34                                | 522,747               |
| Inventories                                                                       | 71,931               | -                                | -                    | -               | -                                 | 71,931                |
| Advance to other funds                                                            | -                    | -                                | 156,940              | -               | -                                 | 156,940               |
| <b>Total assets</b>                                                               | <b>\$ 91,015,230</b> | <b>\$ 13,942,524</b>             | <b>\$ 29,773,297</b> | <b>\$ -</b>     | <b>\$ 2,179,184</b>               | <b>\$ 136,910,235</b> |
| <b>Liabilities, Deferred Inflows<br/>of Resources and<br/>and Fund Balances</b>   |                      |                                  |                      |                 |                                   |                       |
| Liabilities:                                                                      |                      |                                  |                      |                 |                                   |                       |
| Accounts payable                                                                  | \$ 4,426,327         | \$ 4,171                         | \$ 1,132,023         | \$ -            | \$ 195,090                        | \$ 5,757,611          |
| Accrued liabilities                                                               | 10,239,868           | -                                | -                    | -               | -                                 | 10,239,868            |
| Claims payable                                                                    | -                    | 800,000                          | -                    | -               | -                                 | 800,000               |
| Unearned revenue                                                                  | 28,012               | -                                | -                    | -               | -                                 | 28,012                |
| Liability for early retirement                                                    | -                    | 588,563                          | -                    | -               | -                                 | 588,563               |
| Advance from other funds                                                          | -                    | -                                | -                    | -               | 156,940                           | 156,940               |
| <b>Total liabilities</b>                                                          | <b>14,694,207</b>    | <b>1,392,734</b>                 | <b>1,132,023</b>     | <b>-</b>        | <b>352,030</b>                    | <b>17,570,994</b>     |
| Deferred inflows of resources,<br>Unavailable revenue:                            |                      |                                  |                      |                 |                                   |                       |
| Succeeding year property tax                                                      | 49,010,039           | 1,833,480                        | 7,748,030            | -               | 595,888                           | 59,187,437            |
| Statewide sales and services                                                      | -                    | -                                | 300,000              | -               | -                                 | 300,000               |
| <b>Total deferred inflows of<br/>of resources</b>                                 | <b>49,010,039</b>    | <b>1,833,480</b>                 | <b>8,048,030</b>     | <b>-</b>        | <b>595,888</b>                    | <b>59,487,437</b>     |
| Fund balances:                                                                    |                      |                                  |                      |                 |                                   |                       |
| Nonspendable, inventories                                                         | 71,931               | -                                | -                    | -               | -                                 | 71,931                |
| Restricted for:                                                                   |                      |                                  |                      |                 |                                   |                       |
| Categorical funding                                                               | 4,087,212            | -                                | -                    | -               | -                                 | 4,087,212             |
| Physical plant and equipment                                                      | -                    | -                                | 7,135,626            | -               | -                                 | 7,135,626             |
| Debt service                                                                      | -                    | -                                | 6,307,632            | -               | -                                 | 6,307,632             |
| School infrastructure                                                             | -                    | -                                | 7,149,986            | -               | -                                 | 7,149,986             |
| Management levy                                                                   | -                    | 10,716,310                       | -                    | -               | -                                 | 10,716,310            |
| Public education and<br>recreation levy                                           | -                    | -                                | -                    | -               | 428,125                           | 428,125               |
| Student activities                                                                | -                    | -                                | -                    | -               | 803,141                           | 803,141               |
| Committed for curriculum                                                          | 5,567,381            | -                                | -                    | -               | -                                 | 5,567,381             |
| Unassigned                                                                        | 17,584,460           | -                                | -                    | -               | -                                 | 17,584,460            |
| <b>Total fund balances</b>                                                        | <b>27,310,984</b>    | <b>10,716,310</b>                | <b>20,593,244</b>    | <b>-</b>        | <b>1,231,266</b>                  | <b>59,851,804</b>     |
| <b>Total liabilities, deferred<br/>inflows of resources<br/>and fund balances</b> | <b>\$ 91,015,230</b> | <b>\$ 13,942,524</b>             | <b>\$ 29,773,297</b> | <b>\$ -</b>     | <b>\$ 2,179,184</b>               | <b>\$ 136,910,235</b> |

See Notes to Basic Financial Statements.



**West Des Moines Community School District**

**Reconciliation of Total Governmental Fund Balances  
to Net Position of Governmental Activities  
June 30, 2017**

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Total fund balances \$ 59,851,804

Amounts reported for governmental activities in the statement of net position are different because:

Capital assets net of accumulated depreciation used in governmental activities are not financial resources and, therefore, are not reported in the funds 214,970,646

Receivables not collected within 60 days of year-end are not available soon enough to pay for the current period's expenditures and, therefore, are unavailable in the funds 300,000

Internal service funds are used by management to charge the costs of certain services to individual funds. The assets and liabilities of the Internal Service Fund are included in governmental activities in the statement of net position:

|                           |                    |            |
|---------------------------|--------------------|------------|
| Other current assets      | 16,326,452         |            |
| Other current liabilities | <u>(2,379,846)</u> | 13,946,606 |

Internal Service Fund allocated to business-type activities (1,328,130)

Pension related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds, as follows:

|                                |                  |            |
|--------------------------------|------------------|------------|
| Deferred outflows of resources | 14,462,024       |            |
| Deferred inflows of resources  | <u>(856,384)</u> | 13,605,640 |

Long-term liabilities are not due and payable in the current period and, therefore, are not reported in the funds:

|                                                |                    |                              |
|------------------------------------------------|--------------------|------------------------------|
| Net pension liability                          | (51,213,851)       |                              |
| Accrued interest payable                       | (776,416)          |                              |
| Capital notes, current                         | (4,530,000)        |                              |
| Capital notes, noncurrent                      | (14,990,000)       |                              |
| Premium on capital notes                       | (2,382,641)        |                              |
| Revenue bonds, current                         | (1,820,000)        |                              |
| Revenue bonds, noncurrent                      | (36,225,000)       |                              |
| Discount on revenue bonds                      | 70,886             |                              |
| Premium on revenue bonds                       | (1,239,658)        |                              |
| Compensated absences, current                  | (444,368)          |                              |
| Liability for early retirement, noncurrent     | (705,011)          |                              |
| Other postemployment benefits payable          | <u>(9,528,381)</u> | (123,784,440)                |
| <b>Net position of governmental activities</b> |                    | <u><u>\$ 177,562,126</u></u> |

See Notes to Basic Financial Statements.

# West Des Moines Community School District

## Statement of Revenues, Expenditures and Changes in Fund Balances

### Governmental Funds

Year Ended June 30, 2017

|                                                                          | General            | Special<br>Revenue<br>Management | Capital<br>Projects | Debt<br>Service    | Nonmajor<br>Governmental<br>Funds | Total              |
|--------------------------------------------------------------------------|--------------------|----------------------------------|---------------------|--------------------|-----------------------------------|--------------------|
| Revenues:                                                                |                    |                                  |                     |                    |                                   |                    |
| Local sources:                                                           |                    |                                  |                     |                    |                                   |                    |
| Property taxes                                                           | \$ 46,296,434      | \$ 2,326,839                     | \$ 7,432,576        | \$ -               | \$ 569,606                        | \$ 56,625,455      |
| Utility replacement                                                      | 810,359            | 40,955                           | 124,020             | -                  | 10,026                            | 985,360            |
| Other local sources                                                      | 903,864            | 117,125                          | 647,282             | -                  | 614,066                           | 2,282,337          |
| Investment earnings                                                      | 500,373            | 117,966                          | 419,474             | -                  | 17,457                            | 1,055,270          |
| Student activities                                                       | 189,890            | -                                | -                   | -                  | 1,180,130                         | 1,370,020          |
| Tuition/transportation                                                   | 5,622,278          | -                                | -                   | -                  | -                                 | 5,622,278          |
| State sources:                                                           |                    |                                  |                     |                    |                                   |                    |
| State foundation aid                                                     | 33,955,733         | -                                | -                   | -                  | -                                 | 33,955,733         |
| Statewide sales and services tax                                         | -                  | -                                | 8,635,006           | -                  | -                                 | 8,635,006          |
| Other state sources                                                      | 16,449,357         | 102,019                          | 321,110             | -                  | 24,974                            | 16,897,460         |
| Federal sources                                                          | 3,117,323          | -                                | -                   | -                  | -                                 | 3,117,323          |
| <b>Total revenues</b>                                                    | <b>107,845,611</b> | <b>2,704,904</b>                 | <b>17,579,468</b>   | <b>-</b>           | <b>2,416,259</b>                  | <b>130,546,242</b> |
| Expenditures:                                                            |                    |                                  |                     |                    |                                   |                    |
| Current:                                                                 |                    |                                  |                     |                    |                                   |                    |
| Instruction                                                              | 72,754,654         | 90,090                           | 2,074,698           | -                  | 2,163,785                         | 77,083,227         |
| Support services:                                                        |                    |                                  |                     |                    |                                   |                    |
| Student                                                                  | 3,239,452          | -                                | -                   | -                  | -                                 | 3,239,452          |
| Instructional staff                                                      | 4,465,465          | -                                | -                   | -                  | 3,271                             | 4,468,736          |
| General administration                                                   | 787,816            | 481,824                          | 16,934              | -                  | 688                               | 1,287,262          |
| School building                                                          | 4,045,281          | -                                | -                   | -                  | -                                 | 4,045,281          |
| Business administration                                                  | 2,956,127          | -                                | 296,216             | -                  | 31,844                            | 3,284,187          |
| Plant operation and maintenance                                          | 6,294,717          | 2,450,678                        | 115,631             | -                  | 45,183                            | 8,906,209          |
| Student transportation                                                   | 2,951,202          | -                                | 202,030             | -                  | 2,501                             | 3,155,733          |
| Noninstructional programs                                                | -                  | -                                | -                   | -                  | 468,672                           | 468,672            |
| Other:                                                                   |                    |                                  |                     |                    |                                   |                    |
| Other                                                                    | -                  | -                                | -                   | 6,500              | -                                 | 6,500              |
| AEA support                                                              | 3,814,800          | -                                | -                   | -                  | -                                 | 3,814,800          |
| Capital outlay                                                           | -                  | -                                | 7,774,638           | -                  | -                                 | 7,774,638          |
| Debt service:                                                            |                    |                                  |                     |                    |                                   |                    |
| Principal                                                                | -                  | -                                | -                   | 5,935,000          | -                                 | 5,935,000          |
| Interest                                                                 | -                  | -                                | -                   | 2,618,198          | -                                 | 2,618,198          |
| <b>Total expenditures</b>                                                | <b>101,309,514</b> | <b>3,022,592</b>                 | <b>10,480,147</b>   | <b>8,559,698</b>   | <b>2,715,944</b>                  | <b>126,087,895</b> |
| <b>Excess (deficiency) of<br/>revenues over (under)<br/>expenditures</b> | <b>6,536,097</b>   | <b>(317,688)</b>                 | <b>7,099,321</b>    | <b>(8,559,698)</b> | <b>(299,685)</b>                  | <b>4,458,347</b>   |
| Other financing sources (uses):                                          |                    |                                  |                     |                    |                                   |                    |
| Transfers in                                                             | 135,000            | -                                | -                   | 8,559,698          | 85,500                            | 8,780,198          |
| Transfers (out)                                                          | (85,500)           | -                                | (8,559,698)         | -                  | (10,000)                          | (8,655,198)        |
| Proceeds from sale of capital assets                                     | 32,173             | -                                | -                   | -                  | -                                 | 32,173             |
| <b>Total other financing<br/>sources (uses)</b>                          | <b>81,673</b>      | <b>-</b>                         | <b>(8,559,698)</b>  | <b>8,559,698</b>   | <b>75,500</b>                     | <b>157,173</b>     |
| <b>Net change in fund balances</b>                                       | <b>6,617,770</b>   | <b>(317,688)</b>                 | <b>(1,460,377)</b>  | <b>-</b>           | <b>(224,185)</b>                  | <b>4,615,520</b>   |
| Fund balances, beginning                                                 | 20,693,214         | 11,033,998                       | 22,053,621          | -                  | 1,455,451                         | 55,236,284         |
| Fund balances, end of year                                               | \$ 27,310,984      | \$ 10,716,310                    | \$ 20,593,244       | \$ -               | \$ 1,231,266                      | \$ 59,851,804      |

See Notes to Basic Financial Statements.

## West Des Moines Community School District

### Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances of Governmental Funds to the Statement of Activities Year Ended June 30, 2017

|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |             |    |                         |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|----|-------------------------|
| Net change in fund balances - total governmental funds                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |             | \$ | 4,615,520               |
| Amounts reported for governmental activities in the statement of activities are different because:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |             |    |                         |
| Governmental funds report capital outlays as expenditures. However, in the statement of activities, the cost of those assets is allocated over their estimated useful lives as depreciation expense. This is the amount by which capital outlays exceeded depreciation in the current period:                                                                                                                                                                                                                                                                                                                                                                    |             |    |                         |
| Capital outlay                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 6,779,488   |    |                         |
| Depreciation expense by function:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |             |    |                         |
| Instruction                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | (4,862,404) |    |                         |
| Support services                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | (3,706,507) |    |                         |
| Proceeds from sale of capital assets                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | (32,173)    |    |                         |
| Gain on sale of capital assets                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 18,857      |    | (1,802,739)             |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |             |    |                         |
| Revenue in the statement of activities that does not provide current financial resources are not reported as revenues in the funds, statewide sales and use tax                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |             |    | (100,000)               |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |             |    |                         |
| The issuance of long-term debt provides current financial resources to governmental funds, while the repayment of the principal of long-term debt consumes the current financial resources of governmental funds. The issuance of long-term debt increases liabilities in the statement of net position, while the repayment of long-term debt reduces long-term liabilities. In the statement of activities, interest is accrued on outstanding bonds, whereas in the governmental funds an interest expenditure is reported when due. The following is the detail of the net effect of these differences in the treatment of long-term debt and related items: |             |    |                         |
| Repayment of bond principal                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 5,935,000   |    |                         |
| Accretion of premium                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 699,620     |    |                         |
| Amortization of discount                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | (6,164)     |    |                         |
| Interest                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 227,968     |    | 6,856,424               |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |             |    |                         |
| Internal service funds are used by management to charge the costs of certain activities to individual funds. The net revenue of the Internal Service Fund is reported with governmental activities.                                                                                                                                                                                                                                                                                                                                                                                                                                                              |             |    | (5,067,502)             |
| Change in Internal Service Fund allocation to business-type activities                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |             |    | 254,329                 |
| Some expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in governmental funds:                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |             |    |                         |
| Change in compensated absences                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 1,516       |    |                         |
| Change in net pension liability                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | (695,204)   |    |                         |
| Change in liability for early retirement:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 202,686     |    |                         |
| Change in liability for other postemployment benefits                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | (563,755)   |    | (1,054,757)             |
| <b>Change in net position of governmental activities</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |             | \$ | <u><u>3,701,275</u></u> |

See Notes to Basic Financial Statements.

**West Des Moines Community School District**

**Statement of Net Position  
Proprietary Funds  
June 30, 2017**

|                                                                             | Business-Type<br>Activities<br>Nonmajor<br>Enterprise<br>Funds | Governmental<br>Activities<br>Internal<br>Service<br>Fund |
|-----------------------------------------------------------------------------|----------------------------------------------------------------|-----------------------------------------------------------|
| <b>Assets</b>                                                               |                                                                |                                                           |
| Current assets:                                                             |                                                                |                                                           |
| Cash, cash equivalents and investments                                      | \$ 2,765,414                                                   | \$ 16,189,821                                             |
| Other receivables                                                           | 142,058                                                        | -                                                         |
| Due from other governments                                                  | 59,491                                                         | 136,631                                                   |
| Inventories                                                                 | 151,844                                                        | -                                                         |
| <b>Total current assets</b>                                                 | <b>3,118,807</b>                                               | <b>16,326,452</b>                                         |
| Noncurrent assets:                                                          |                                                                |                                                           |
| Capital assets:                                                             |                                                                |                                                           |
| Machinery and equipment                                                     | 3,886,034                                                      | -                                                         |
| Less accumulated depreciation                                               | (2,415,606)                                                    | -                                                         |
| <b>Total noncurrent assets</b>                                              | <b>1,470,428</b>                                               | <b>-</b>                                                  |
| <b>Total assets</b>                                                         | <b>4,589,235</b>                                               | <b>16,326,452</b>                                         |
| <b>Deferred outflows of resources,</b><br>pension related deferred outflows | <b>786,413</b>                                                 | <b>-</b>                                                  |
| <b>Liabilities</b>                                                          |                                                                |                                                           |
| Current liabilities:                                                        |                                                                |                                                           |
| Accounts payable                                                            | 141,588                                                        | 126,776                                                   |
| Compensated absences                                                        | 27,103                                                         | -                                                         |
| Claims payable                                                              | -                                                              | 2,000,000                                                 |
| Unearned revenue                                                            | 201,128                                                        | 253,070                                                   |
| <b>Total current liabilities</b>                                            | <b>369,819</b>                                                 | <b>2,379,846</b>                                          |
| Long-term liabilities:                                                      |                                                                |                                                           |
| Net pension liability                                                       | 2,637,550                                                      | -                                                         |
| Net OPEB liability                                                          | 563,619                                                        | -                                                         |
| <b>Total long-term liabilities</b>                                          | <b>3,201,169</b>                                               | <b>-</b>                                                  |
| <b>Total liabilities</b>                                                    | <b>3,570,988</b>                                               | <b>2,379,846</b>                                          |
| <b>Deferred inflows of resources,</b><br>pension related deferred inflows   | <b>44,936</b>                                                  | <b>-</b>                                                  |
| <b>Net Position</b>                                                         |                                                                |                                                           |
| Net investment in capital assets                                            | 1,470,428                                                      | -                                                         |
| Unrestricted                                                                | 289,296                                                        | 13,946,606                                                |
| <b>Total net position</b>                                                   | <b>\$ 1,759,724</b>                                            | <b>\$ 13,946,606</b>                                      |

See Notes to Basic Financial Statements.

**West Des Moines Community School District**

**Reconciliation of Enterprise Funds Net Position to the Net Position of  
Business-Type Activities  
June 30, 2017**

---

|                                     |              |
|-------------------------------------|--------------|
| Total enterprise funds net position | \$ 1,759,724 |
|-------------------------------------|--------------|

Amounts reported for business-type activities in the statement of net position are different because internal service funds are used by management to charge the costs of certain services to individual funds. The assets and liabilities of the Internal Service Fund is included in governmental activities in the statement of net position.

|           |
|-----------|
| 1,328,130 |
|-----------|

**Net position of business-type activities**

|              |
|--------------|
| \$ 3,087,854 |
|--------------|

See Notes to Basic Financial Statements.

**West Des Moines Community School District**

**Statement of Revenues, Expenses and Changes in Net Position  
Proprietary Funds  
Year Ended June 30, 2017**

|                                                                     | Business-Type<br>Activities<br>Nonmajor<br>Enterprise<br>Funds | Governmental<br>Activities<br>Internal<br>Service<br>Fund |
|---------------------------------------------------------------------|----------------------------------------------------------------|-----------------------------------------------------------|
| Operating revenues:                                                 |                                                                |                                                           |
| Food sales                                                          | \$ 2,232,027                                                   | \$ -                                                      |
| Sale of services                                                    | 3,271,549                                                      | -                                                         |
| Charges for services                                                | -                                                              | 13,008,169                                                |
| <b>Total operating revenues</b>                                     | <b>5,503,576</b>                                               | <b>13,008,169</b>                                         |
| Operating expenses:                                                 |                                                                |                                                           |
| Salaries                                                            | 3,397,775                                                      | -                                                         |
| Employee benefits                                                   | 959,353                                                        | -                                                         |
| Purchased services                                                  | 213,993                                                        | 1,387,065                                                 |
| Food consumed                                                       | 1,851,278                                                      | -                                                         |
| Supplies                                                            | 545,010                                                        | 194,593                                                   |
| Depreciation                                                        | 210,053                                                        | -                                                         |
| Claims and administration                                           | -                                                              | 16,494,013                                                |
| Other                                                               | 49,476                                                         | -                                                         |
| <b>Total operating expenses</b>                                     | <b>7,226,938</b>                                               | <b>18,075,671</b>                                         |
| <b>Operating (loss)</b>                                             | <b>(1,723,362)</b>                                             | <b>(5,067,502)</b>                                        |
| Nonoperating revenues (expenses):                                   |                                                                |                                                           |
| Federal food commodities                                            | 350,058                                                        | -                                                         |
| Federal appropriations                                              | 1,787,532                                                      | -                                                         |
| State appropriations                                                | 27,275                                                         | -                                                         |
| Interest                                                            | 24,460                                                         | -                                                         |
| Loss on sale of capital assets                                      | (16,357)                                                       | -                                                         |
| <b>Total nonoperating revenues (expenses)</b>                       | <b>2,172,968</b>                                               | <b>-</b>                                                  |
| <b>Income (loss) before capital<br/>contributions and transfers</b> | <b>449,606</b>                                                 | <b>(5,067,502)</b>                                        |
| Capital contributions                                               | 139,080                                                        | -                                                         |
| Transfers (out)                                                     | (125,000)                                                      | -                                                         |
| <b>Change in net position</b>                                       | <b>463,686</b>                                                 | <b>(5,067,502)</b>                                        |
| Net position, beginning of year                                     | 1,296,038                                                      | 19,014,108                                                |
| Net position, end of year                                           | <b>\$ 1,759,724</b>                                            | <b>\$ 13,946,606</b>                                      |

See Notes to Basic Financial Statements.

**West Des Moines Community School District**

**Reconciliation of the Change in Net Position of Enterprise Funds to the  
Statement of Activities  
Year Ended June 30, 2017**

---

|                                                 |    |         |
|-------------------------------------------------|----|---------|
| Net changes in net position in enterprise funds | \$ | 463,686 |
|-------------------------------------------------|----|---------|

Amounts reported for proprietary activities in the statement of activities are different because internal service funds are used by management to charge the costs of various activities internally to individual funds. The net revenue of certain activities of the Internal Service Fund is reported with business-type activities.

|           |
|-----------|
| (254,329) |
|-----------|

**Change in net position of business-type activities**

|           |                |
|-----------|----------------|
| <u>\$</u> | <u>209,357</u> |
|-----------|----------------|

See Notes to Basic Financial Statements.

**West Des Moines Community School District**

**Statement of Cash Flows**

**Proprietary Funds**

**Year Ended June 30, 2017**

|                                                                    | Business-Type<br>Activities<br>Nonmajor<br>Enterprise<br>Funds | Governmental<br>Activities<br>Internal<br>Service<br>Fund |
|--------------------------------------------------------------------|----------------------------------------------------------------|-----------------------------------------------------------|
| Cash flows from operating activities:                              |                                                                |                                                           |
| Receipts from customers and users                                  | \$ 5,508,574                                                   | 11,908,947                                                |
| Payments to suppliers                                              | (2,391,573)                                                    | (1,593,907)                                               |
| Payments to employees                                              | (4,323,005)                                                    | -                                                         |
| Claims paid                                                        | -                                                              | (16,224,013)                                              |
| <b>Net cash (used in) operating activities</b>                     | <b>(1,206,004)</b>                                             | <b>(5,908,973)</b>                                        |
| Cash flows from noncapital financial activities:                   |                                                                |                                                           |
| Federal and state appropriations received                          | 1,804,613                                                      | -                                                         |
| Transfers (out)                                                    | (125,000)                                                      | -                                                         |
| <b>Net cash provided by noncapital financing activities</b>        | <b>1,679,613</b>                                               | <b>-</b>                                                  |
| Cash flows from capital and related financing activities:          |                                                                |                                                           |
| Purchase of capital assets                                         | (36,570)                                                       | -                                                         |
| <b>Net cash (used in) capital and related financing activities</b> | <b>(36,570)</b>                                                | <b>-</b>                                                  |
| Cash flows from investing activities,<br>interest received         | 24,460                                                         | -                                                         |
| <b>Net increase (decrease) in cash and cash equivalents</b>        | <b>461,499</b>                                                 | <b>(5,908,973)</b>                                        |
| Cash and cash equivalents, beginning of year                       | 2,303,915                                                      | 22,098,794                                                |
| Cash and cash equivalents, end of year                             | <b>\$ 2,765,414</b>                                            | <b>\$ 16,189,821</b>                                      |

(Continued)



**West Des Moines Community School District**

**Statement of Cash Flows (Continued)**

**Proprietary Funds**

**Year Ended June 30, 2017**

|                                                                                          | Business-Type<br>Activities<br>Nonmajor<br>Enterprise<br>Funds | Governmental<br>Activities<br>Internal<br>Service<br>Fund |
|------------------------------------------------------------------------------------------|----------------------------------------------------------------|-----------------------------------------------------------|
| Reconciliation of operating (loss) to net cash<br>(used in) operating activities:        |                                                                |                                                           |
| Operating (loss)                                                                         | (1,723,362)                                                    | (5,067,502)                                               |
| Adjustments to reconcile operating (loss) to net cash<br>(used in) operating activities: |                                                                |                                                           |
| Depreciation                                                                             | 210,053                                                        | -                                                         |
| Federal food commodities used                                                            | 350,058                                                        | -                                                         |
| Change in assets and liabilities:                                                        |                                                                |                                                           |
| Receivables                                                                              | 42,845                                                         | -                                                         |
| Due from other governments                                                               | -                                                              | 57,608                                                    |
| Inventories                                                                              | 152,650                                                        | -                                                         |
| Deferred outflows of resources                                                           | (102,296)                                                      | -                                                         |
| Accounts payable                                                                         | (234,524)                                                      | (12,249)                                                  |
| Compensated absences                                                                     | (2,523)                                                        | -                                                         |
| Claims payable                                                                           | -                                                              | 270,000                                                   |
| Unearned revenue                                                                         | (37,847)                                                       | (1,156,830)                                               |
| Early retirement                                                                         | (30,194)                                                       | -                                                         |
| Net pension liability                                                                    | 581,617                                                        | -                                                         |
| Deferred inflows of resources                                                            | (439,726)                                                      | -                                                         |
| Net OPEB liability                                                                       | 27,245                                                         | -                                                         |
| <b>Net cash (used in) operating activities</b>                                           | <b>\$ (1,206,004)</b>                                          | <b>\$ (5,908,973)</b>                                     |
| Schedule of noncash items:                                                               |                                                                |                                                           |
| Noncapital financing activities, federal commodities                                     | \$ 350,058                                                     | \$ -                                                      |
| Capital activities, contributed capital                                                  | \$ 139,080                                                     | \$ -                                                      |

See Notes to Financial Statements.

**West Des Moines Community School District**

**Statement of Fiduciary Assets and Liabilities**

**Agency Fund**

**June 30, 2017**

---

**Assets**

Cash, cash equivalents and investments

|    | Flower |
|----|--------|
| \$ | 3,971  |

**Liabilities and Fund Equity**

Due to private individuals

|    |       |
|----|-------|
| \$ | 3,971 |
|----|-------|

See Notes to Financial Statements.

## West Des Moines Community School District

### Notes to Basic Financial Statements

Year Ended June 30, 2017

---

#### **Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies**

##### **Nature of operations:**

The West Des Moines Community School District (the District) was incorporated under Chapter 274 of the State Code of Iowa. The District has the power to make rules and regulations for its own government consistent with the laws of the state of Iowa and the regulations of the Iowa State Board of Education. The District is governed by the elected West Des Moines Community School Board of Education (the Board). The District is composed of one high school, one ninth grade school, two junior high schools, eight elementary schools and one alternative high school. Student enrollment (kindergarten through high school) for the 2016-2017 school year was 8,969 regular and special education students. The District employs approximately 1,200 full-time equivalent personnel.

##### **Reporting entity:**

In accordance with Governmental Accounting and Financial Reporting Standards, the basic financial statements include all funds, organizations, agencies, boards, commissions and authorities for which the District is financially accountable. The District has also considered all other potential organizations for which the nature and significance of their relationships with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board (GASB) has set forth criteria to be considered in determining financial accountability. These criteria include appointing a majority of an organization's governing body, and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District. In addition, the GASB Statement No. 39, sets forth additional criteria to determine whether certain organizations for which the District is not financially accountable should be reported as component units based on the nature and significance of their relationship with the District. These criteria include 1) the economic resources being received or held by the separate organization being entirely or almost entirely for the direct benefit of the District, its component units, or its constituents, 2) the District being entitled to, or having the ability to otherwise access, a majority of the economic resources received or held by the organization and 3) the economic resources received or held by an individual organization that the District is entitled to, or has the ability to otherwise access, are significant to the District. Based on these criteria, there are no other organizations which should be included in these basic financial statements.

**Basis of presentation:** The District's basic financial statements consist of government-wide statements, including a statement of net position and a statement of activities and fund financial statements which provide a more detailed level of financial information.

**Government-wide and fund financial statements:** The government-wide financial statements (i.e., the statement of net position and the statement of activities) report information on all of the nonfiduciary activities of the District. For the most part, the effect of the interfund activity has been removed from these statements. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for services. Interfund services provided and used are not eliminated in the process of consolidation for these statements.

## West Des Moines Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2017

---

#### **Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)**

The statement of net position presents the District's nonfiduciary assets and liabilities, with the difference reported as net position. Net position is reported in the following categories:

*Net investment in capital assets:* Consists of capital assets, net of accumulated depreciation/amortization and reduced by outstanding balances for bonds, notes and other debt attributable to the acquisition, construction or improvement of those assets.

*Restricted net position:* Results when constraints placed on net position use are either externally imposed or imposed by law through constitutional provisions or enabling legislation.

*Unrestricted net position:* Consist of net position that does not meet the definition of the preceding categories. Unrestricted net position often has constraints on resources imposed by management which can be removed or modified.

The statement of activities demonstrates the degree to which the direct expenses of a given function are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function. Taxes and other items not properly included among program revenues are reported instead as general revenues.

Separate financial statements are provided for governmental funds, proprietary funds and fiduciary funds, even though the latter are excluded from the government-wide financial statements. The focus of fund financial statements is on major funds. Major individual governmental funds are reported as separate columns in the fund financial statements. Nonmajor funds are aggregated and presented in a single column.

**Fund accounting:** The accounts of the District are organized on the basis of funds, each of which is considered to be a separate accounting entity. The operations of each fund are accounted for by providing a separate set of self-balancing accounts which comprise its assets, liabilities, fund balance/net position, revenues and expenditures or expenses, as appropriate. The District has the following funds:

General Fund: The General Fund is the general operating fund of the District. It is used to account for all financial resources except those required to be accounted for in another fund. The General Fund accounts for the instructional and most of the support service programs of the District's operations. Revenue of the fund consists primarily of local property taxes and state governmental aid.

Management Fund, a special revenue fund: Accounts for the resources from a specific tax levy for tort liability insurance premiums, unemployment compensation insurance claims and early retirement incentive payments.

Capital Projects Fund: Accounts for the resources used to pay for the purchase and improvement of sites, demolition work, special assessments and major building repairs, physical plant and equipment levy (PPEL) as well as the statewide sales and services tax for school infrastructure.

## West Des Moines Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2017

---

#### Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Debt Service Fund: Accounts for the accumulation of resources for, and the payment of, general long-term debt principal, interest and related costs. Revenue of the fund primarily consists of local property taxes.

The other governmental funds of the District are considered nonmajor and are as follows:

Special Revenue Funds: Are used to account for the revenue sources that are legally restricted to expenditures for specific purposes.

Playground Fund: Accounts for the resources used to establish and maintain public recreation places and playgrounds and necessary accommodations for children and adults.

Student Activity Fund: Accounts for money held by the District on behalf of the students who have raised these funds and are responsible for their disposition for co-curricular to extracurricular activities of the District.

**Proprietary Fund Types**: Proprietary fund types are used to account for the District's ongoing organizations and activities which are similar to those often found in the private sector. The measurement focus is upon income determination, financial position and cash flows.

**Enterprise Funds**: Are used to account for those operations that are financed and operated in a manner similar to private business or where the District has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability.

The following enterprise funds of the District are considered nonmajor:

School Nutrition Fund: Accounts for the food service operations of the District.

Community Education Fund: Accounts for the educational programs available to the general public on a fee basis.

**Internal Service Fund**: The Internal Service Fund is used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The District's Internal Service Fund is used to account for the premium and claim payments for the self-insured health insurance and dental insurance plans for District employees.

**Fiduciary Fund Types**: Fiduciary fund types are used to account for net position and changes in net position. The District has one fiduciary fund which is considered an Agency Fund:

Flower Fund: To account for donations to be used for flower purchases for memorials or illnesses of District employees.

**Measurement Focus and Basis of Accounting**: The government-wide financial statements are reported using the economic resources measurement focus and the accrual basis of accounting, as are proprietary fund financial statements. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenue in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied. The District also reports fiduciary funds which focus on net position and changes in net position. The fiduciary funds report on the accrual basis of accounting.

## West Des Moines Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2017

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#### **Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)**

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the District considers revenues to be available if they are collected within 60 days of the current fiscal period. Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

**Revenues – exchange and nonexchange transactions:** Property taxes, other taxes, grants, entitlements and interest associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current period. All other revenue items are considered to be measurable and available only when cash is received.

Revenue resulting from exchange transactions, in which each party gives and receives essentially equal value, is recorded on the accrual basis when the exchange takes place. On a modified accrual basis, revenue is recorded in the fiscal year in which the resources are measurable and become available.

Nonexchange transactions, in which the District receives value without directly giving equal value in return, include property taxes, grants, entitlements and donations. On an accrual basis, revenue from property taxes is recognized in the fiscal year for which it is budgeted. Revenue from grants, entitlements and donations is recognized in the fiscal year in which all eligibility requirements have been satisfied. Eligibility requirements include timing requirements, which specify the year when the resources are required to be used or the fiscal year when use is first permitted, matching requirements, in which the District must provide local resources to be used for a specified purpose, and expenditure requirements, in which the resources are provided to the District on a reimbursement basis. On a modified accrual basis, revenue from nonexchange transactions must also be available before it can be recognized.

Property taxes are recognized as a receivable at the time they become an enforceable legal claim. This is determined to occur when the budget is certified and approved by the state of Iowa. The current tax levy recognized in revenue was certified in April 2016 based on 2015 assessed valuations. The current property tax receivable was certified in April 2017 based on 2016 assessed valuations. These taxes are due in two installments on September 30 and March 31, with a 1.5 percent per month penalty for delinquent payment.

Proprietary funds distinguish operating revenues and expenses from nonoperating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenue of the District's proprietary funds are charges for food sales or tuition and fees. Operating expenses for proprietary funds include the cost of services, administrative expenses and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Under the terms of grant agreements, the District funds certain programs by a combination of specific cost reimbursement grants and general revenues. Thus, when program expenses are incurred, there are both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost reimbursement grant resources to such programs and then general revenues.

## West Des Moines Community School District

### Notes to Basic Financial Statements

Year Ended June 30, 2017

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#### Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is generally to first apply the expenditure restricted fund balance and then to less restrictive classifications – committed, assigned and then unassigned fund balances.

#### Significant Accounting Policies:

The significant accounting policies followed by the District include the following:

**Cash, cash equivalents and investment accounts:** Separate bank accounts and investments are not maintained for all District funds, as certain funds maintain their cash and investment balances in a pooled account. Accounting records are maintained to show the portion of the pooled account attributable to each participating fund.

**Inventories:** Inventories are valued at cost (first-in, first-out), which approximates market. The consumption method of accounting is applied to the governmental fund type inventories. Unused commodities at balance sheet date are reported as inventory in the statement of net position.

**Capital assets:** General capital assets are those assets not specifically related to activities reported in the proprietary funds. These assets generally result from expenditures in the governmental funds. These assets are reported in the governmental activities column of the government-wide statement of net position but are not reported in the fund financial statements.

All capital assets are capitalized at cost (or estimated historical cost) and updated for additions and retirement during the year. Donated capital assets are recorded at the acquisition value as of the date received. The District maintains a capitalization threshold of \$5,000 (\$500 for the School Nutrition Fund). The District does not possess any infrastructure. Improvements are capitalized; the costs of normal maintenance and repairs that do not add to the value of the asset or materially extend an asset's life are not. All reported assets except land and construction-in-progress are depreciated. Depreciation is computed using the straight-line method over the following useful lives:

| Description                | Estimated Useful Lives |
|----------------------------|------------------------|
| Buildings and improvements | 20 - 50 years          |
| Machinery and equipment    | 5 - 15 years           |
| Intangibles                | 15 years               |

The District's collection of library books and other similar assets are not capitalized due to the individual assets not meeting the District's capitalization threshold. These collections are unencumbered, held for public exhibition and education, protected, cared for and preserved and subject to District policy that requires proceeds from the sale of these items, if any, to be used to acquire other collection items.

**Unearned revenue:** Proprietary funds defer revenue recognition in connection with resources that have been received, but not earned. Unearned revenue in governmental funds arises when assets are recognized before revenue recognition criteria have been satisfied. Grants and entitlements received before the eligibility requirements are met are also recorded as unearned revenue. Unearned revenue consists primarily of school registration fees and meal revenues collected for the programs and services in the next school year.

## West Des Moines Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2017

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#### Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

**Accrued payroll:** Payroll and the related payroll taxes and benefits for teachers with annual contracts corresponding to the school year, but have balances payable in July and August, have been accrued as a liability as they are applicable to services provided during the respective fiscal years and will be paid with available resources.

**Compensated absences:** Vacation benefits are provided to twelve month employees. The eligibility date is July 1 with vacation days accruing and prorated throughout the year. Vacation days accrued during one fiscal year are required to be used before the end of the next fiscal year. Vested or accumulated vacation leave that is expected to be liquidated with expendable available financial resources is reported as an expenditure and a fund liability of the governmental fund that will pay it. No amount is expected to be liquidated with available resources as of year-end. Amounts of vested or accumulated vacation leave that are not expected to be liquidated with expendable available financial resources are reported as an expense in the statement of activities and a current liability in the statement of net position as vacation must be used within one year. Compensated absences are only reported in the governmental funds if they have matured. In accordance with the provisions of Governmental Accounting Standards Board Statement No. 16, *Accounting for Compensated Absences*, no liability is recorded for nonvesting accumulating rights to receive sick pay benefits.

**Self-insurance:** The District is self-insured for health and dental benefits. The District's premiums and claims are accounted for in the Internal Service Fund. Premiums are charged by the Internal Service Fund to operating funds based upon number of employees and selected coverage in each fund. There have been no significant reductions in insurance coverage for the District from the prior year.

**Cash flows:** For the purpose of cash flows, the District considers all highly liquid investments with a maturity of three months or less when purchased to be cash equivalents.

**Fund balances:** In the governmental fund financial statements, fund balances are classified as follows:

**Nonspendable:** Amounts which cannot be spent either because they are in a nonspendable form or because they are legally or contractually required to be maintained intact.

**Restricted:** Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

**Committed:** Amounts which can be used only for specific purposes pursuant to constraints formally imposed by the Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts.

**Assigned:** Amounts the Board of Education intend to use for specific purposes. The authority to assign fund balances has been delegated to the Chief Financial Officer through the Board approved budget of the District.

**Unassigned:** All amounts not included in other spendable classifications as well as any deficit fund balance of any other governmental fund is reported as unassigned.



## West Des Moines Community School District

### Notes to Basic Financial Statements

Year Ended June 30, 2017

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#### **Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)**

The District's flow of funds assumption prescribes that the funds with the highest level of constraint are expended first. If restricted or unrestricted funds are available for spending, the restricted funds are spent first. Additionally, if different levels of unrestricted funds are available for spending, the District considers committed funds to be expended first followed by assigned funds and then unassigned.

**Deferred outflows/inflows of resources:** In addition to assets, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of fund balance or net position that applies to a future period(s) and so will not be recognized as an outflow of resources (expenses/expenditures) until then. Deferred outflows of resources in the proprietary funds and government-wide statement of net position consist of unrecognized items not yet charged to pension expense and contributions from the employer after the measurement date but before the end of the employer's reporting period.

In addition to liabilities, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of fund balance or net position that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The District reports unavailable revenue in the governmental funds balance sheet from the statewide sales and services tax and property tax. This amount is deferred and recognized as an inflow of resources in the period that the amounts become available. In the District's government-wide statements, only the succeeding year property tax revenues remain as a deferred inflow of resources under the full accrual basis of accounting and will become an inflow in the year for which levied. Deferred inflows of resources in the proprietary funds and government-wide statements also include the unamortized portion of the differences between expected and actual experience and changes in proportionate share.

**Pensions:** For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with benefit terms. Investments are reported as fair value.

**Net position:** In proprietary funds, fiduciary funds, and government-wide financial statements, net position represents the difference between assets, deferred outflows of resources, liabilities, and deferred inflows of resources. Net investment in capital assets, consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets. Net investment in capital assets excludes unspent bond proceeds of \$3,832,981.

Net position is reported as restricted when there are limitations imposed on their use through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors or laws or regulations of other governments.

Net position restricted through enabling legislation consists of \$7,135,626 for physical plant and equipment levy, \$2,474,651 for debt service, \$7,449,986 for statewide sales and services tax, \$10,716,310 for management levy and \$428,125 for public education and recreation levy. All other restricted net position consists of \$4,087,212 for categorical funding and \$803,141 for student activities and are restricted by grantors and donors.

## West Des Moines Community School District

### Notes to Basic Financial Statements

Year Ended June 30, 2017

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#### Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

**Net position flow assumption:** Sometimes the District will fund outlays for a particular purpose from both restricted (e.g. restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted-net position and unrestricted-net position in the government-wide and proprietary fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the District's policy to consider restricted-net position to have been depleted before unrestricted-net position is applied.

**Interfund activity:** Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented on the financial statements.

**Estimates:** The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

#### Note 2. Budgetary and Budgetary Control

As allowed by GASB Statement No. 41, *Budgetary Comparison Schedules – Perspective Differences*, the District presents budgetary comparison schedules as required supplementary information based on the program structure of four functional areas as required by state statute for its legally adopted budget.

#### Note 3. Cash and Cash Equivalents and Investments

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts and warrants or improvements certificates of a drainage district.

As of June 30, 2017, the District had investments in the Iowa Schools Joint Investment Trust Direct Government Obligations Portfolio which are valued at an amortized cost of \$3,176,224 pursuant to Rule 2a-7 under the Investment Company Act of 1940. The District had investments in the Goldman Sachs Financial Square Fund Governmental Fund of \$2,332,912. There were no limitations or restrictions on withdrawals from these investments.

**Custodial credit risk:** The District's deposits in banks as of June 30, 2017 were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This Chapter provides for additional assessments against the depositories to insure there will be no loss of public funds. The District does not have a separate policy from state statutes.

**Credit risk:** The investment in the Iowa Schools Joint Investment Trust was rated AAAM by Standard & Poor's Rating Service. The investment in the Goldman Sachs Financial Square Fund Governmental Fund was rated AAAM by Standard & Poor's Rating Service and Aaa-mf by Moody's Rating Service. The District does not have a separate credit risk policy from state statutes.

## West Des Moines Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2017

#### Note 4. Interfund Transfers and Balances

The following is a schedule of transfers as included in the basic financial statements of the District:

|                                   | Transfers In        | Transfers Out       |
|-----------------------------------|---------------------|---------------------|
| Major funds:                      |                     |                     |
| General                           | \$ 135,000          | \$ 85,500           |
| Capital Projects Fund             | -                   | 8,559,698           |
| Debt Service Fund                 | 8,559,698           | -                   |
| Other nonmajor governmental funds | 85,500              | 10,000              |
| Other nonmajor enterprise fund    | -                   | 125,000             |
|                                   | <u>\$ 8,780,198</u> | <u>\$ 8,780,198</u> |

Transfers are used to (1) move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them and (2) use unrestricted revenues collected in the General Fund to finance various programs accounted for in other funds in accordance with budgetary authorizations.

**Advances to/from other funds:** The Capital Projects Fund advanced \$156,940 to the Student Activity Fund for the purchase of a scoreboard. On July 10, 2017, the Board of Education approved the repayment plan. The Student Activity Fund will repay the advance over a three-year period including 1.15% interest.

#### Note 5. Capital Assets

Capital asset activity for the governmental activities for the year ended June 30, 2017 was as follows:

|                                                     | Balance<br>June 30,<br>2016 | Additions           | Retirements         | Balance<br>June 30,<br>2017 |
|-----------------------------------------------------|-----------------------------|---------------------|---------------------|-----------------------------|
| Governmental activities:                            |                             |                     |                     |                             |
| Capital assets, not being depreciated:              |                             |                     |                     |                             |
| Land                                                | \$ 4,095,848                | \$ -                | \$ -                | \$ 4,095,848                |
| Construction-in-progress                            | 2,939,091                   | 5,662,874           | 8,243,237           | 358,728                     |
| <b>Total capital assets, not being depreciated</b>  | <u>7,034,939</u>            | <u>5,662,874</u>    | <u>8,243,237</u>    | <u>4,454,576</u>            |
| Capital assets, being depreciated:                  |                             |                     |                     |                             |
| Buildings and improvements                          | 287,030,990                 | 8,731,748           | 13,657              | 295,749,081                 |
| Machinery and equipment                             | 13,850,532                  | 628,103             | 520,039             | 13,958,596                  |
| <b>Total capital assets, being depreciated</b>      | <u>300,881,522</u>          | <u>9,359,851</u>    | <u>533,696</u>      | <u>309,707,677</u>          |
| Accumulated depreciation:                           |                             |                     |                     |                             |
| Buildings and improvements                          | 79,738,461                  | 7,583,033           | 341                 | 87,321,153                  |
| Machinery and equipment                             | 11,404,615                  | 985,878             | 520,039             | 11,870,454                  |
| <b>Total accumulated depreciation</b>               | <u>91,143,076</u>           | <u>8,568,911</u>    | <u>520,380</u>      | <u>99,191,607</u>           |
| <b>Total capital assets, being depreciated, net</b> | <u>209,738,446</u>          | <u>790,940</u>      | <u>13,316</u>       | <u>210,516,070</u>          |
| <b>Governmental activities capital assets, net</b>  | <u>\$ 216,773,385</u>       | <u>\$ 6,453,814</u> | <u>\$ 8,256,553</u> | <u>\$ 214,970,646</u>       |

## West Des Moines Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2017

#### Note 5. Capital Assets (Continued)

Capital asset activity for the business-type activities for the year ended June 30, 2017 was as follows:

|                                                               | Balance<br>June 30,<br>2016 | Additions          | Retirements      | Balance<br>June 30,<br>2017 |
|---------------------------------------------------------------|-----------------------------|--------------------|------------------|-----------------------------|
| Business-type activities:                                     |                             |                    |                  |                             |
| Capital assets, not being depreciated,<br>land                | \$ 15,000                   | \$ -               | \$ 15,000        | \$ -                        |
| Capital assets, being depreciated,<br>machinery and equipment | 3,744,027                   | 175,650            | 33,643           | 3,886,034                   |
| Accumulated depreciation, machinery<br>and equipment          | 2,237,839                   | 210,053            | 32,286           | 2,415,606                   |
| <b>Total capital assets, being<br/>depreciated, net</b>       | <b>1,506,188</b>            | <b>(34,403)</b>    | <b>1,357</b>     | <b>1,470,428</b>            |
| <b>Business-type activities<br/>capital assets, net</b>       | <b>\$ 1,521,188</b>         | <b>\$ (34,403)</b> | <b>\$ 16,357</b> | <b>\$ 1,470,428</b>         |

Depreciation expense was charged to the functions as follows:

|                                                            |                     |
|------------------------------------------------------------|---------------------|
| Governmental activities:                                   |                     |
| Instruction                                                | \$ 4,862,404        |
| Support services                                           | 3,706,507           |
| <b>Total depreciation expense, governmental activities</b> | <b>\$ 8,568,911</b> |
| Business-type activities, nutrition                        | \$ 210,053          |

## West Des Moines Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2017

#### Note 6. Long-Term Debt

The following is a summary of changes in long-term debt of the District:

|                                               | Balance<br>June 30,<br>2016 | Additions            | Reductions          | Balance<br>June 30,<br>2017 | Balances<br>Due Within<br>One Year |
|-----------------------------------------------|-----------------------------|----------------------|---------------------|-----------------------------|------------------------------------|
| <b>Governmental activities:</b>               |                             |                      |                     |                             |                                    |
| Capital loan notes, Series 2016               | \$ 23,665,000               | \$ -                 | \$ 4,145,000        | \$ 19,520,000               | \$ 4,530,000                       |
| Premium on capital loan notes,<br>Series 2016 | 2,978,301                   | -                    | 595,660             | 2,382,641                   | -                                  |
| Revenue bonds, Series 2012                    | 10,000,000                  | -                    | -                   | 10,000,000                  | -                                  |
| Discount on revenue bonds,<br>Series 2012     | (77,050)                    | -                    | (6,164)             | (70,886)                    | -                                  |
| Revenue bonds, Series 2013                    | 8,780,000                   | -                    | 510,000             | 8,270,000                   | 525,000                            |
| Premium on revenue bonds,<br>Series 2013      | 196,680                     | -                    | 15,734              | 180,946                     | -                                  |
| Revenue bonds, Series 2014                    | 21,055,000                  | -                    | 1,280,000           | 19,775,000                  | 1,295,000                          |
| Premium on revenue bonds,<br>Series 2014      | 1,146,938                   | -                    | 88,226              | 1,058,712                   | -                                  |
| Compensated absences                          | 445,884                     | 444,368              | 445,884             | 444,368                     | 444,368                            |
| Net pension liability                         | 40,163,127                  | 11,050,724           | -                   | 51,213,851                  | -                                  |
| Net OPEB liability                            | 8,964,626                   | 563,755              | -                   | 9,528,381                   | -                                  |
| <b>Total</b>                                  | <b>\$ 117,318,506</b>       | <b>\$ 12,058,847</b> | <b>\$ 7,074,340</b> | <b>\$ 122,303,013</b>       | <b>\$ 6,794,368</b>                |
| <b>Business-type activities,</b>              |                             |                      |                     |                             |                                    |
| Compensated absences                          | \$ 29,626                   | \$ 27,103            | \$ 29,626           | \$ 27,103                   | \$ 27,103                          |
| Net pension liability                         | 2,055,933                   | 581,617              | -                   | 2,637,550                   | -                                  |
| Net OPEB liability                            | 536,374                     | 27,245               | -                   | 563,619                     | -                                  |
|                                               | <b>\$ 2,621,933</b>         | <b>\$ 635,965</b>    | <b>\$ 29,626</b>    | <b>\$ 3,228,272</b>         | <b>\$ 27,103</b>                   |

Compensated absences are generally liquidated by the General Fund.

Net OPEB liability is generally liquidated by the General Fund for governmental activities and the respective funds for business-type activities.

The District's general obligation and revenue debt is as follows:

Capital loan notes:

**Series 2016:** On March 8, 2016, the District issued \$23,665,000 General Obligation School Capital Loan Refunding Notes, Series 2017 with an interest rate of 5.0 percent to current refund \$7,565,000 of the General Obligation Capital Loan Notes, Series 2010 and \$19,140,000 of the General Obligation School Capital Loan Notes, Series 2011. The District current refunded the Series 2010 and Series 2011 Capital Loan Notes to reduce its debt service payments over the next five years by \$1,947,227 and to obtain an economic gain (difference between the present values of the debt service payments on the old and new debt) of \$1,898,067. Principal is payable each May 1 and interest is payable semi-annually each November 1 and May 1 until maturity on May 1, 2021. The total principal and interest remaining to be paid on the 2016 bonds is \$22,019,500. During the year ended June 30, 2017, \$4,145,000 of principal and \$1,357,451 of interest was paid on the bonds.

## West Des Moines Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2017

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#### Note 6. Long-Term Debt (Continued)

Revenue bonds:

Series 2012: On April 5, 2012, The District issued \$10,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds to finance school infrastructure projects. The bonds bear interest at rates ranging from 2.10 percent to 3.00 percent and had an unpaid balance of \$10,000,000. The revenue bonds will be repaid using statewide sales, services and use tax collected in the Capital Project Fund. The bonds are payable solely from the proceeds of the statewide sales, services and use tax revenues received by the District. The bonds are not general obligations of the District. The total principal and interest remaining to be paid on the 2012 bonds is \$12,292,189. During the year ended June 30, 2017, no principal was paid on the 2012 bonds and \$255,390 of interest was paid on the bonds.

Series 2013: On December 23, 2013, the District issued \$9,760,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2013 to finance school infrastructure projects. The bonds bear interest at rates ranging from 3.00 percent to 4.00 percent and had an unpaid balance of \$8,270,000. The revenue bonds will be repaid using statewide sales, services and use tax collected in the Capital Projects Fund. The bonds are payable solely from the proceeds of the statewide sales, services and use tax revenues received by the District. The bonds are not general obligations of the District. The total principal and interest remaining to be paid on the 2013 bonds is \$10,224,538. During the year ended June 30, 2017, \$510,000 of principal and \$276,895 of interest was paid on the 2013 bonds.

Series 2014: On June 24, 2014, the District issued \$22,320,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2014 to finance school infrastructure projects. The bonds bear interest at rates ranging from 2.00 percent to 5.00 percent and had an unpaid balance of \$19,775,000. The revenue bonds will be repaid using statewide sales, services and use tax collected in the Capital Projects Fund. The bonds are payable solely from the proceeds of the statewide sales, services and use tax revenues received by the District. The bonds are not general obligations of the District. The total principal and interest remaining to be paid on the 2014 bonds is \$24,606,209. During the year ended June 30, 2017, \$1,280,000 of principal and \$728,463 of interest was paid on the 2014 bonds.

The statewide sales, services and use tax revenues were \$8,635,006 for the year ended June 30, 2017.

The resolution providing for the issuance of the revenue bonds included the following provisions:

- All proceeds from the statewide sales, service and use tax shall be deposited into the revenue account.
- Monies in the revenue account shall first be disbursed to make deposits into the sinking account to pay the principal and interest requirements of the revenue bonds for the fiscal year. At June 30, 2017, there was \$127,695, \$659,623, and \$1,646,433 deposited in the sinking account for the 2012, 2013 and 2014 bonds respectively.
- Monies in the revenue account shall next be disbursed to maintain a reserve account to be used solely for the purpose of paying principal and interest on the bonds if insufficient money is available in the sinking account. At June 30, 2017, there was \$979,069, \$798,495 and \$2,055,417 deposited in the reserve account for the 2012, 2013 and 2014 bonds respectively.
- If monies in the sinking fund exceed the required amount, the excess shall be transferred to the revenue account. At June 30, 2017, there was \$14,043, \$15,684 and \$11,173 deposited in the revenue account for the 2012, 2013 and 2014 bonds respectively.

# West Des Moines Community School District

## Notes to Basic Financial Statements Year Ended June 30, 2017

### Note 6. Long-Term Debt (Continued)

Annual debt service requirements on all outstanding indebtedness as of June 30, 2017, are as follows:

| Capital Loan Refunding Notes, Series 2016 |                      |                     |                      |
|-------------------------------------------|----------------------|---------------------|----------------------|
| Year ending June 30:                      | Principal            | Interest            | Total                |
| 2018                                      | \$ 4,530,000         | \$ 976,000          | \$ 5,506,000         |
| 2019                                      | 4,755,000            | 749,500             | 5,504,500            |
| 2020                                      | 4,990,000            | 511,750             | 5,501,750            |
| 2021                                      | 5,245,000            | 262,250             | 5,507,250            |
| <b>Subtotal</b>                           | 19,520,000           | 2,499,500           | 22,019,500           |
| Plus unamortized premium                  | 2,382,641            | -                   | 2,382,641            |
| <b>Totals</b>                             | <b>\$ 21,902,641</b> | <b>\$ 2,499,500</b> | <b>\$ 24,402,141</b> |

| Revenue Bonds, Series 2012 |                     |                     |                      |
|----------------------------|---------------------|---------------------|----------------------|
| Year ending June 30:       | Principal           | Interest            | Total                |
| 2018                       | \$ -                | \$ 255,390          | \$ 255,390           |
| 2019                       | -                   | 255,390             | 255,390              |
| 2020                       | -                   | 255,390             | 255,390              |
| 2021                       | -                   | 255,390             | 255,390              |
| 2022                       | 1,000,000           | 244,890             | 1,244,890            |
| 2023-2027                  | 5,380,000           | 863,859             | 6,243,859            |
| 2028-2030                  | 3,620,000           | 161,880             | 3,781,880            |
| <b>Subtotal</b>            | 10,000,000          | 2,292,189           | 12,292,189           |
| Less unamortized discount  | (70,886)            | -                   | (70,886)             |
| <b>Totals</b>              | <b>\$ 9,929,114</b> | <b>\$ 2,292,189</b> | <b>\$ 12,221,303</b> |

| Revenue Bonds, Series 2013 |                     |                     |                      |
|----------------------------|---------------------|---------------------|----------------------|
| Year ending June 30:       | Principal           | Interest            | Total                |
| 2018                       | \$ 525,000          | \$ 261,370          | \$ 786,370           |
| 2019                       | 545,000             | 245,320             | 790,320              |
| 2020                       | 560,000             | 228,745             | 788,745              |
| 2021                       | 575,000             | 211,720             | 786,720              |
| 2022                       | 595,000             | 194,170             | 789,170              |
| 2023-2027                  | 3,250,000           | 683,130             | 3,933,130            |
| 2028-2030                  | 2,220,000           | 130,083             | 2,350,083            |
| <b>Subtotal</b>            | 8,270,000           | 1,954,538           | 10,224,538           |
| Plus unamortized premium   | 180,946             | -                   | 180,946              |
| <b>Totals</b>              | <b>\$ 8,450,946</b> | <b>\$ 1,954,538</b> | <b>\$ 10,405,484</b> |

## West Des Moines Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2017

#### Note 6. Long-Term Debt (Continued)

| Year ending June 30:     | Revenue Bonds, Series 2014 |                     |                      |
|--------------------------|----------------------------|---------------------|----------------------|
|                          | Principal                  | Interest            | Total                |
| 2018                     | \$ 1,295,000               | \$ 683,438          | \$ 1,978,438         |
| 2019                     | 1,315,000                  | 650,863             | 1,965,863            |
| 2020                     | 1,340,000                  | 624,313             | 1,964,313            |
| 2021                     | 1,365,000                  | 576,788             | 1,941,788            |
| 2022                     | 1,400,000                  | 507,663             | 1,907,663            |
| 2023-2027                | 7,710,000                  | 1,528,263           | 9,238,263            |
| 2028-2030                | 5,350,000                  | 259,881             | 5,609,881            |
| <b>Subtotal</b>          | 19,775,000                 | 4,831,209           | 24,606,209           |
| Plus unamortized premium | 1,058,712                  | -                   | 1,058,712            |
| <b>Totals</b>            | <b>\$ 20,833,712</b>       | <b>\$ 4,831,209</b> | <b>\$ 25,664,921</b> |

As of June 30, 2017, the District did not exceed its legal debt margin computed as follows:

|                                                                      |                       |
|----------------------------------------------------------------------|-----------------------|
| Total assessed valuation                                             | 6,861,233,414         |
| Debt limit, 5% of total assessed valuation                           | \$ 343,061,671        |
| Amount of debt applicable to debt limit, total indebtedness          | 57,565,000            |
| <b>Excess of debt limit over debt outstanding, legal debt margin</b> | <b>\$ 285,496,671</b> |

#### Note 7. Early Retirement

In order to hasten early retirement, the District offered an early retirement plan benefit to its employees. The Board reserves the right to amend or revoke this Early Retirement Plan or any provision of this plan at any time, with or without notice.

To be eligible to participate in this Plan, an employee must (1) have worked a minimum of 30 hours per week, or 70 percent of contract, during each of the last ten full years of service; (2) a year of service refers to a school year. Thus, in order to count as a school year, the employee must be employed by the first student contact day in order for that year to count towards a full year of service; (3) have a minimum of ten full years of continuous service in the District; (4) have obtained the age of 55 as of June 30, 2017; (5) an employee terminated for just cause, or receiving payments or benefits from or on behalf of the District that are not tied to the performance of current duties, is not eligible (6) an employee is eligible to participate in the plan only at the end of the current school year for certified employees or nine month employees or June 30<sup>th</sup> for all other employees.

Benefits to eligible employees include a lump sum payment into a tax sheltered annuity benefit in December following retirement equal to the number of sick leave days accumulated as of retirement (125 maximum for nine- and ten-month employees or 135 maximum for 11- and 12-month employees) multiplied by \$50 per day. In addition, eligible employees will receive single District/major medical insurance capped at the 2016-2017 premiums for the District's lowest cost plan. The District's contribution to an early retiree's health insurance will end the earlier of 1) six years from the retirement date, or 2) the month prior to the early retiree's 65<sup>th</sup> birthday.



## West Des Moines Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2017

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#### Note 7. Early Retirement (Continued)

As of June 30, 2017, the District has \$588,563 accrued in the Management Fund and an additional \$705,011 recorded in the government-wide financial statements. The current year cost to the District was \$719,144 which consisted of 128 participants in the plan. A summary of changes in liability for early retirement is shown as follows:

|                        |                     |
|------------------------|---------------------|
| Balance, June 30, 2016 | \$ 1,654,974        |
| Additions              | 357,744             |
| Reductions             | 719,144             |
| Balance, June 30, 2017 | <u>\$ 1,293,574</u> |

#### Note 8. Other Postemployment Benefits

The District operates a single-employer retiree benefit plan which provides medical benefits, including prescription drugs for retirees and their spouses and dependents. There are 1,202 active and 126 retired members in the plan. Participants must be age 55 or older at retirement.

The medical benefit plans are self-insured and are administered by a third-party. Retirees under age 55 pay a monthly contribution equal to the current monthly premium equivalent by plan/rate tier less a subsidy provided by the District. The District's subsidy is equal to the single premium for the lowest cost plan. The retiree must pay the premium cost due to inflation for the Alliance Select PPO and the full additional cost for any dependents, regardless of plan selected. This results in an implicit subsidy and an Other Postemployment Benefit, OPEB, liability. The contribution requirements of plan members are established and may be amended by the District. The District currently finances the retiree benefit plan on a pay-as-you-go basis.

The District's annual OPEB cost is calculated based on the annual required contribution, ARC, of the District, an amount actuarially determined in accordance with GASB Statement No. 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and amortize any unfunded actuarial liabilities over a period not to exceed 30 years. The following table shows the components of the District's annual OPEB cost for June 30, 2017, the amount actually contributed to the plan and changes in the District's net OPEB obligation:

|                                            |                      |
|--------------------------------------------|----------------------|
| Annual required contribution, ARC          | \$ 1,954,000         |
| Interest on net OPEB obligation            | 380,000              |
| Adjustment to annual required contribution | <u>(315,000)</u>     |
| Annual OPEB cost                           | 2,019,000            |
| Contributions made                         | <u>1,428,000</u>     |
| Increase in net OPEB obligation            | 591,000              |
| Net OPEB obligation beginning of year      | <u>9,501,000</u>     |
| Net OPEB obligation end of year            | <u>\$ 10,092,000</u> |

For calculation of the net OPEB obligation, the actuary has set the transition day as of July 1, 2009. The end of year net OPEB obligation was calculated by the actuary as the cumulative difference between the actuarially determined funding requirements and the actual contributions for the year ended June 30, 2017.

## West Des Moines Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2017

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#### Note 8. Other Postemployment Benefits (Continued)

For the year ended June 30, 2017, the District contributed \$1,428,000 to the plan. The District's annual OPEB cost, the percentage of annual OPEB cost contributed to the plan, and the net OPEB obligation as of June 30, 2017 are summarized as follows:

| Year Ended    | Annual<br>OPEB Cost | Percentage<br>of Annual<br>OPEB Cost<br>Contributed | Net<br>OPEB<br>Obligation |
|---------------|---------------------|-----------------------------------------------------|---------------------------|
| June 30, 2015 | \$ 1,794,530        | 45.8%                                               | \$ 8,807,000              |
| June 30, 2016 | 1,991,000           | 65.1%                                               | 9,501,000                 |
| June 30, 2017 | 2,019,000           | 70.7%                                               | 10,092,000                |

As of July 1, 2015, the most recent actuarial valuation date, the actuarial accrued liability was \$16,737,000 with no actuarial value of assets, resulting in an unfunded actuarial accrued liability, UAAL, of \$16,737,000. The covered payroll (annual payroll of active employees covered by the plan) was approximately \$64,049,000, and the ratio of the UAAL to the covered payroll was 26.13 percent. As of June 30, 2017, there were no trust fund assets.

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality and the health care cost trend. Actuarially determined amounts are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The schedule of funding progress, presented as required supplementary information in the section following the notes to basic financial statements, will present multiyear trend information about whether the actuarial value of the plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

Projections of benefits for financial reporting purposes are based on the plan as understood by the employer and the plan members and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

As of the July 1, 2015 actuarial valuation date, the projected unit credit actuarial cost method was used. The actuarial assumptions include a 4.0 percent discount rate based on the District's funding policy. The projected annual medical trend rate is 8 percent. The ultimate medical trend rate is 4.5 percent. The medical trend rate is reduced .5 percent each year until reaching the 4.5 percent ultimate trend rate.

Mortality rates are from the RP2014 Group Annuity Mortality Table, applied on a gender-specific basis. Annual retirement and termination probabilities were developed from the Iowa Public Employees' Retirement System Actuarial Valuation Report as of June 30, 2015.

The salary increase rate was assumed to be 3.5 percent per year. The inflation rate is assumed to be 3.5 percent each year. The UAAL is being amortized as a level dollar amount on an open basis over a period of 30 years.

## West Des Moines Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2017

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#### Note 9. Retirement System

Plan Description – IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, Iowa 50306-9117 or at [www.ipers.org](http://www.ipers.org).

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Pension Benefits – A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012, will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25 percent for each month that the member receives benefits before the member's earliest normal retirement age. For service earned starting July 1, 2012, the reduction is 0.50 percent for each month that the member receives benefits before 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits – A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions – Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

## West Des Moines Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2017

#### Note 9. Retirement System (Continued)

In fiscal year 2017, pursuant to the required rate, Regular members contributed 5.95 percent of covered payroll and the District contributed 8.93 percent of covered payroll for a total rate of 14.88 percent.

The District's contributions to IPERS for the year ended June 30, 2017 were \$5,719,621.

Net Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions – At June 30, 2017, the District reported a liability of \$53,851,401 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2016, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2016, the District's collective proportion was 0.8556921 percent, which was an increase of .001139 from its proportion measured as of June 30, 2015.

For the year ended June 30, 2017, the District recognized pension expense of \$6,427,420. At June 30, 2017, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

|                                                                                                                  | Deferred<br>Outflows<br>of Resources | Deferred<br>Inflows<br>of Resources |
|------------------------------------------------------------------------------------------------------------------|--------------------------------------|-------------------------------------|
| Differences between expected and actual experience                                                               | \$ 475,940                           | \$ 642,695                          |
| Changes of assumptions                                                                                           | 821,605                              | -                                   |
| Net difference between projected and actual earnings<br>on pension plan investments                              | 7,672,122                            | -                                   |
| Changes in proportion and differences between District<br>contributions and proportionate share of contributions | 559,149                              | 258,625                             |
| District contributions subsequent to the measurement date                                                        | 5,719,621                            | -                                   |
| <b>Total</b>                                                                                                     | <b>\$ 15,248,437</b>                 | <b>\$ 901,320</b>                   |

\$5,719,621 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2018. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

| Year Ended June 30, |                     |
|---------------------|---------------------|
| 2018                | \$ 1,078,121        |
| 2019                | 1,078,121           |
| 2020                | 4,110,022           |
| 2021                | 2,367,424           |
| 2022                | (6,192)             |
| Thereafter          | -                   |
| <b>Total</b>        | <b>\$ 8,627,496</b> |

There were no non-employer contributing entities to IPERS.

## West Des Moines Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2017

#### Note 9. Retirement System (Continued)

Actuarial Assumptions – The total pension liability in the June 30, 2016 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

|                                                        |                                                                                                           |
|--------------------------------------------------------|-----------------------------------------------------------------------------------------------------------|
| Rate of Inflation<br>(effective June 30, 2014)         | 3.00 percent per annum                                                                                    |
| Salary Increases<br>(effective June 30, 2010)          | 4.00 percent to 17.00 percent average, including inflation. Rates vary by membership group.               |
| Investment rate of return<br>(effective June 30, 1996) | 7.50 percent per annum, compounded annually, net of pension plan, investment expense, including inflation |
| Wage growth<br>(effective June 30, 1990)               | 4.00 percent per annum, based on 3.00 percent inflation and 1.00 percent real wage inflation              |

The actuarial assumptions used in the June 30, 2016 valuation were based on the results of actuarial experience studies with dates corresponding to those listed above.

Mortality rates were based on the RP-2000 Mortality Table for Males or Females, as appropriate, with adjustments for mortality improvements based on Scale AA.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

| Asset Class            | Asset Allocation | Long-Term<br>Expected Real<br>Rate of Return |
|------------------------|------------------|----------------------------------------------|
| Core-plus fixed income | 28%              | 1.90%                                        |
| Domestic equity        | 24%              | 5.85%                                        |
| International equity   | 16%              | 6.32%                                        |
| Private equity/debt    | 11%              | 10.31%                                       |
| Real estate            | 8%               | 3.87%                                        |
| Credit opportunities   | 5%               | 4.48%                                        |
| U.S. TIPS              | 5%               | 1.36%                                        |
| Other real assets      | 2%               | 6.42%                                        |
| Cash                   | 1%               | -0.26%                                       |
| <b>Total</b>           | <b>100%</b>      |                                              |

## West Des Moines Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2017

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#### **Note 9. Retirement System (Continued)**

Discount Rate – The discount rate used to measure the total pension liability was 7.50 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate – The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.50 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.50 percent) or 1-percentage-point higher (8.50 percent) than the current rate.

|                                                                | 1%<br>Decrease<br>(6.5%) | Discount<br>Rate<br>(7.5%) | 1%<br>Increase<br>(8.5%) |
|----------------------------------------------------------------|--------------------------|----------------------------|--------------------------|
| District's proportionate share of the<br>net pension liability | \$ 87,124,279            | \$ 53,851,401              | \$ 25,768,656            |

Pension Plan Fiduciary Net Position – Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at [www.ipers.org](http://www.ipers.org).

Payables to the Pension Plan – At June 30, 2017, the District reported payables to the defined benefit pension plan of \$532,411 for legally required employer contributions and \$354,742 for legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

Risk and Uncertainty- IPERS invests in various investment securities. Investment securities are exposed to various risks, such as interest rate, market, and credit risks. Due to the level of risk associated with certain investment securities, it is at least reasonably possible that changes in the values of investment securities will occur in the near term and those changes could materially affect the amounts reported in the District's statement of net position.

#### **Note 10. Risk Management**

The District is exposed to various risks of loss related to torts, theft; damage to and destruction of assets; errors and omissions; and natural disasters. These risks, except injuries to employees and claim payments for health, prescriptions and dental insurance, are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years.

The District has established an internal service fund to account for premium and claim payments for a self-insured group health insurance plan for the District's employees to meet potential losses from medical claims. Self-insurance is in effect up to an individual stop loss amount of \$100,000 and aggregate amount of 125 percent of expected claims. The District also self-insures for its dental plan. The dental plan includes no aggregate reinsurance.

## West Des Moines Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2017

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#### Note 10. Risk Management (Continued)

Liabilities are reported when it is probable that a loss has occurred and the amount of the loss can be reasonably estimated. Claims payable include all known claims and an amount for claims that have been incurred but not reported (IBNR). Claim liabilities are estimated by considering the effects of inflation, recent claim settlement trends, including frequency and amount of pay-outs and other economic and social factors.

Changes in the balances of claims payable during the years ended June 30, 2017 and 2016 are as follows:

|                                                           | Self-Insurance Fund |                     |
|-----------------------------------------------------------|---------------------|---------------------|
|                                                           | 2017                | 2016                |
| Claims payable, beginning of year                         | \$ 1,730,000        | \$ 1,730,000        |
| Incurred claims (including IBNR and changes in estimates) | 16,159,352          | 12,628,955          |
| Claim payments                                            | 15,889,352          | 12,628,955          |
| Claims payable, end of year                               | <u>\$ 2,000,000</u> | <u>\$ 1,730,000</u> |

Each participating fund makes payments to the self-insurance fund for amounts which are determined based on historical claims experience. Such payments are displayed on the financial statements as revenues and expenditures/expenses. There have been no significant reductions in insurance coverage from the prior year.

The District became self-insured for its workers' compensation exposures beginning in September 2005. Claims which are due and payable are recorded in the Management Fund, a governmental fund. Losses on workers' compensation claims are limited through the purchase of stop-loss insurance to \$350,000 per individual and an aggregate amount of \$1,000,000. Changes in the balances of claims liabilities for the years ended June 30, 2017 and 2016 are as follows:

|                                   | Workers Compensation |                   |
|-----------------------------------|----------------------|-------------------|
|                                   | 2017                 | 2016              |
| Claims payable, beginning of year | \$ 600,000           | \$ 525,000        |
| Incurred claims (including IBNR)  | 634,883              | 508,332           |
| Claim payments                    | 434,883              | 433,332           |
| Claims payable, end of year       | <u>\$ 800,000</u>    | <u>\$ 600,000</u> |

#### Note 11. Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the local area education agency. The District's actual amount for this purpose totaled \$3,814,800 for the year ended June 30, 2017 and is recorded in the General Fund by making a memorandum adjusting entry to the financial statements.

## West Des Moines Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2017

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#### **Note 12. Contingencies**

As of June 30, 2017, the District is involved in various claims against the District that arise in the normal course of operations, which are covered by insurance. The outcome and eventual liability of the District, if any, from these claims and any unasserted claims is not known at this time; however, management does not believe they will be material to the basic financial statements.

#### **Note 13. Tax Abatements**

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments. Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2017 under tax abatement agreements of other entities:

| Entity                        | Tax Abatement Program                           | Amount of Tax Abated |
|-------------------------------|-------------------------------------------------|----------------------|
| City of Clive, Iowa           | Urban renewal and economic development projects | \$ 228,812           |
| City of Urbandale, Iowa       | Urban renewal and economic development projects | 41,155               |
| City of West Des Moines, Iowa | Urban renewal and economic development projects | 33,394               |
| City of Windsor Heights       | Urban renewal and economic development projects | 17,531               |

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2017, this reimbursement amounted to \$164,982.

#### **Note 14. New Governmental Accounting Standards Board (GASB) Statements**

The District adopted the following statements during the year ended June 30, 2017:

*GASB Statement No. 74, Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans:* This Statement replaces Statements No. 43, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*, as amended, and No. 57, *OPEB Measurements by Agent Employers and Agent Multiple-Employer Plans*. It also includes requirements for defined contribution OPEB plans that replace the requirements for those OPEB plans in Statement No. 25, *Financial Reporting for Defined Benefit Pension Plans and Note Disclosures for Defined Contribution Plans*, as amended, Statement 43, and Statement No. 50, *Pension Disclosures*.

*GASB Statement No. 77, Tax Abatement Disclosures:* This Statement is intended to provide additional information about tax abatements to the public to further the ability to assess how tax abatements affect the District's financial position and results of operations, including the District's ability to raise revenue sources in the futures. This Statement requires disclosure of tax abatement information about (1) a reporting government's own tax abatement agreements and (2) those that are entered into by other governments that reduce the reporting government's tax revenues.



## West Des Moines Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2017

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#### **Note 14. New Governmental Accounting Standards Board (GASB) Statements (Continued)**

GASB Statement No. 78, *Pensions Provided Through Certain Multiple-Employer Defined Benefit Pension Plans*: The objective of this Statement is to address the scope and applicability of Statement No. 68, *Accounting and Financial Reporting for Pensions* to exclude pensions provided to employees of state or local governmental employers through a cost-sharing multiple-employer defined benefit pension plan that (1) is not a state or local governmental pension plan, (2) is used to provide defined benefit pensions to both employees of state and local governments and to employees who are not state or local governmental employees, and (3) has no predominate state or local government employer.

GASB Statement No. 80, *Blending Requirements for Certain Component Units – An Amendment of GASB Statement No. 14*: This Statement amends the blending requirements for the financial statement presentation of component units of state and local governments. The additional criterion requires blending of a component unit incorporated as a not-for-profit corporation in which the primary government is the sole corporate member.

The implementation of the above statements did not have a material impact to the District's financial statements.

As of June 30, 2017, GASB had issued several statements not yet required to be implemented by the District. The Statements which might impact the District are as follows:

GASB Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*, issued June 2015, will be effective for the District beginning with its year ending June 30, 2018. This Statement replaces the requirements of *Statements No. 45, Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions*, as amended, and *No. 57, OPEB Measurements by Agent Employers and Agent Multiple-Employer Plans, for OPEB*. *Statement No. 74, Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*, establishes new accounting and financial reporting requirements for OPEB plans. The scope of this Statement addresses accounting and financial reporting for OPEB that is provided to the employees of state and local governmental employers. This Statement establishes standards for recognizing and measuring liabilities, deferred outflows of resources, deferred inflows of resources, and expense/expenditures. For defined benefit OPEB, this Statement identifies the methods and assumptions that are required to be used to project benefit payments, discount projected benefit payments to their actuarial present value, and attribute that present value to periods of employee service. Note disclosure and required supplementary information requirements about defined benefit OPEB also are addressed.

GASB Statement No. 81, *Irrevocable Split-Interest Agreements*, issued March 2016, will be effective for the District beginning with its year ending June 30, 2018. The objective of this Statement is to improve accounting and financial reporting for irrevocable split-interest agreements by providing recognition and measurement guidance for situations in which a government is a beneficiary of the agreement.

GASB Statement No. 82, *Pension Issues – an amendment of GASB Statements No. 67, No. 68, and No. 73*, issued March 2016, will be effective for the District beginning with its year ending June 30, 2018. This Statement addresses issues regarding (1) the presentation of payroll-related measures in required supplementary information, (2) the selection of assumptions and the treatment of deviations from the guidance in an Actuarial Standard of Practice for financial reporting purposes, and (3) the classification of payments made by employers to satisfy employee (plan member) contribution requirements.

## West Des Moines Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2017

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#### **Note 14. New Governmental Accounting Standards Board (GASB) Statements (Continued)**

GASB Statement No. 83, *Certain Asset Retirement Obligations*, issued November 2016, will be effective for the District beginning with its fiscal year ending June 30, 2019. This Statement addresses accounting and financial reporting for certain asset retirement obligations (AROs). An ARO is a legally enforceable liability associated with the retirement of a tangible capital asset. A government that has legal obligations to perform future asset retirement activities related to its tangible capital assets should recognize a liability based on the guidance in this Statement. This Statement establishes criteria for determining the timing and pattern of recognition of a liability and a corresponding deferred outflow of resources for AROs.

GASB Statement No. 84, *Fiduciary Activities*, issued January 2017, will be effective for the District beginning with its fiscal year ending June 30, 2020. The objective of this Statement is to improve guidance regarding the identification of fiduciary activities for accounting and financial reporting purposes and how those activities should be reported. The focus of the identification criteria established by the Statement is on 1) whether a government is controlling the assets of the fiduciary activity and 2) the beneficiaries with whom a fiduciary relationship exists. Separate criteria are included to identify fiduciary component units and postemployment benefit arrangements that are fiduciary activities. An activity meeting the criteria should be reported as a fiduciary fund in the basic financial statements. This Statement also provides for recognition of a liability to the beneficiaries in a fiduciary fund when an event has occurred that compels the government to disburse fiduciary resources.

GASB Statement No. 85, *Omnibus 2017*, issued March 2017, will be effective for the District beginning with its fiscal year ending June 30, 2018. The objective of this Statement is to address practice issues that have been identified during implementation and application of certain GASB Statements. This Statement addresses a variety of topics including issues related to blending component units, goodwill, fair value measurement and application, and postemployment benefits (pensions and other postemployment benefits (OPEB)).

GASB Statement No. 86, *Certain Debt Extinguishment Issues*, issued May 2017, will be effective for the District beginning with its fiscal year ending June 30, 2018. The objective of this Statement is to improve accounting and financial reporting for in substance defeasance by providing guidance in transactions in which cash and other monetary assets acquired with only existing resources, resources other than those from proceeds of refunding debt, are placed in an irrevocable trust for the sole purpose of extinguishing debt. This Statement also provides guidance on prepaid insurance on debt that is extinguished and notes to the financial statements for debt that is defeased in substance.

GASB Statement No. 87, *Leases*, issued June 2017, will be effective for the District beginning with its fiscal year ending June 30, 2021. This Statement requires recognition of certain lease assets and liabilities for leases that previously were classified as operating leases and recognized as inflows of resources or outflows of resources based on the payment provisions of the contract. It establishes a single model for lease accounting based on the foundational principle that leases are financings of the right to use a lease liability and an intangible right to use lease asset, and a lessor is required to recognize a lease receivable and a deferred inflow of resources.

The District's management has determined the implementation of GASB Statement No. 75 will have a significant impact on the District's financial statements. The effect the other GASB Statements will have on the District's financial statements has not yet been determined.

## **REQUIRED SUPPLEMENTARY INFORMATION**

**West Des Moines Community School District**

**Budgetary Comparison Schedule of Revenues, Expenditures/Expenses and Changes in Balances -  
Budget and Actual - All Governmental and Enterprise Funds  
Required Supplementary Information  
Year Ended June 30, 2017**

|                                                                               | Governmental<br>Funds - Actual | Proprietary<br>Fund - Actual |
|-------------------------------------------------------------------------------|--------------------------------|------------------------------|
| Revenues:                                                                     |                                |                              |
| Local sources                                                                 | \$ 76,575,726                  | \$ 5,667,116                 |
| State sources                                                                 | 50,853,193                     | 27,275                       |
| Federal sources                                                               | 3,117,323                      | 2,137,590                    |
| <b>Total revenues</b>                                                         | <b>130,546,242</b>             | <b>7,831,981</b>             |
| Expenditures/expenses:                                                        |                                |                              |
| Instruction                                                                   | 77,083,227                     | 8,188                        |
| Support services                                                              | 28,386,860                     | 550,101                      |
| Noninstructional programs                                                     | 468,672                        | 6,685,006                    |
| Other expenditures                                                            | 20,149,136                     | -                            |
| <b>Total expenditures/expenses</b>                                            | <b>126,087,895</b>             | <b>7,243,295</b>             |
| <b>Excess (deficiency) of revenues over<br/>(under) expenditures/expenses</b> | <b>4,458,347</b>               | <b>588,686</b>               |
| Other financing sources (uses):                                               |                                |                              |
| Transfers in                                                                  | 8,780,198                      | -                            |
| Transfers (out)                                                               | (8,655,198)                    | (125,000)                    |
| Proceeds from sale of capital assets                                          | 32,173                         | -                            |
| <b>Total other financing sources (uses)</b>                                   | <b>157,173</b>                 | <b>(125,000)</b>             |
| <b>Net change in fund balance</b>                                             | <b>4,615,520</b>               | <b>463,686</b>               |
| Balance, beginning of year                                                    | 55,236,284                     | 1,296,038                    |
| Balance, end of year                                                          | <b>\$ 59,851,804</b>           | <b>\$ 1,759,724</b>          |

See Notes to Required Supplementary Information.

| Total Actual |             | Budgeted Amounts |               | Final to Actual<br>Variance |
|--------------|-------------|------------------|---------------|-----------------------------|
|              |             | Original         | Final         |                             |
| \$           | 82,242,842  | \$ 72,114,551    | \$ 72,114,551 | \$ 10,128,291               |
|              | 50,880,468  | 59,306,589       | 59,306,589    | (8,426,121)                 |
|              | 5,254,913   | 4,389,889        | 4,389,889     | 865,024                     |
|              | 138,378,223 | 135,811,029      | 135,811,029   | 2,567,194                   |
|              | 77,091,415  | 76,079,685       | 81,569,224    | 4,477,809                   |
|              | 28,936,961  | 34,898,663       | 35,956,989    | 7,020,028                   |
|              | 7,153,678   | 7,547,898        | 8,047,898     | 894,220                     |
|              | 20,149,136  | 22,375,508       | 22,875,508    | 2,726,372                   |
|              | 133,331,190 | 140,901,754      | 148,449,619   | 15,118,429                  |
|              | 5,047,033   | (5,090,725)      | (12,638,590)  | 17,685,623                  |
|              | 8,780,198   | 8,763,699        | 8,763,699     | 16,499                      |
|              | (8,780,198) | (8,763,699)      | (8,763,699)   | (16,499)                    |
|              | 32,173      | 20,000           | 20,000        | 12,173                      |
|              | 32,173      | 20,000           | 20,000        | 12,173                      |
|              | 5,079,206   | (5,070,725)      | (12,618,590)  | 17,697,796                  |
|              | 56,532,322  | 56,532,322       | 56,532,322    | -                           |
| \$           | 61,611,528  | \$ 51,461,597    | \$ 43,913,732 | \$ 17,697,796               |

**West Des Moines Community School District**

**Required Supplementary Information**

**Schedule of Funding Progress for the Retiree Health Plan (In Thousands)**

| Year<br>Ended<br>June 30: | Actuarial<br>Valuation<br>Date | Actuarial<br>Value<br>of Assets<br>(a) | Actuarial<br>Accrued<br>Liability<br>(AAL)<br>(b) | Unfunded<br>AAL (UAAL)<br>(b-a) | Funded<br>Ratio<br>(a/b) | Covered<br>Payroll<br>( c ) | AAL as a<br>Percentage<br>of Covered<br>Payroll<br>((b-a)/c) |
|---------------------------|--------------------------------|----------------------------------------|---------------------------------------------------|---------------------------------|--------------------------|-----------------------------|--------------------------------------------------------------|
| 2012                      | 7/1/2011                       | -                                      | \$ 18,496                                         | \$ 18,496                       | 0.00%                    | \$ 51,783                   | 35.72%                                                       |
| 2013                      | 7/1/2011                       | -                                      | 18,496                                            | 18,496                          | 0.00%                    | 51,783                      | 35.72%                                                       |
| 2014                      | 7/1/2013                       | -                                      | 13,437                                            | 13,437                          | 0.00%                    | 57,149                      | 23.51%                                                       |
| 2015                      | 7/1/2013                       | -                                      | 13,437                                            | 13,437                          | 0.00%                    | 58,587                      | 22.94%                                                       |
| 2016                      | 7/1/2015                       | -                                      | 16,737                                            | 16,737                          | 0.00%                    | 61,461                      | 27.23%                                                       |
| 2017                      | 7/1/2015                       | -                                      | 16,737                                            | 16,737                          | 0.00%                    | 64,049                      | 26.13%                                                       |

See Note 8 in the accompanying notes to financial statements for the plan description, funding policy, annual OPEB cost and net OPEB obligation, funded status and funding progress.

**West Des Moines Community School District**

**Required Supplementary Information**

**Schedule of the District's Proportionate Share of the Net Pension Liability**

**Iowa Public Employees' Retirement System**

**Last Three Fiscal Years**

|                                                                                                                | 2017*     |            | 2016*     |            | 2015*     |            |
|----------------------------------------------------------------------------------------------------------------|-----------|------------|-----------|------------|-----------|------------|
| District's proportion of the net pension liability                                                             | 0.855692% |            | 0.854553% |            | 0.872553% |            |
| District's proportionate share of the net pension liability                                                    | \$        | 53,851,401 | \$        | 42,219,060 | \$        | 34,604,646 |
| District's covered-employee payroll                                                                            | \$        | 61,464,091 | \$        | 58,586,855 | \$        | 57,149,369 |
| District's proportionate share of the net pension liability<br>as a percentage of its covered-employee payroll | 87.61%    |            | 72.06%    |            | 60.55%    |            |
| Plan fiduciary net pension as a percentage of the total<br>pension liability                                   | 81.82%    |            | 85.19%    |            | 87.61%    |            |

\*The amounts presented for each fiscal year  
were determined as of the prior fiscal-year end.

See Notes to Required Supplementary Information.

**West Des Moines Community School District**

**Required Supplementary Information**  
**Schedule of District Contributions (In Thousands)**  
**Iowa Public Employees' Retirement System**  
**Last Ten Fiscal Years**

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|                                                                       | 2017 |         | 2016 |         | 2015 |         | 2014 |         |
|-----------------------------------------------------------------------|------|---------|------|---------|------|---------|------|---------|
| Statutorily required contribution                                     | \$   | 5,720   | \$   | 5,489   | \$   | 5,232   | \$   | 5,103   |
| Contributions in relation to the<br>statutorily required contribution | \$   | (5,720) | \$   | (5,489) | \$   | (5,232) | \$   | (5,103) |
| Contribution deficiency (excess)                                      | \$   | -       | \$   | -       | \$   | -       | \$   | -       |
| District's covered-employee<br>payroll                                | \$   | 64,049  | \$   | 61,464  | \$   | 58,587  | \$   | 57,149  |
| Contributions as a percentage of<br>covered-employee payroll          |      | 8.93%   |      | 8.93%   |      | 8.93%   |      | 8.93%   |

See Notes to Required Supplementary Information.



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| 2013  |         | 2012 |         | 2011 |         | 2010 |         | 2009 |         | 2008 |         |
|-------|---------|------|---------|------|---------|------|---------|------|---------|------|---------|
| \$    | 4,817   | \$   | 4,366   | \$   | 3,654   | \$   | 3,503   | \$   | 4,474   | \$   | 2,890   |
| \$    | (4,817) | \$   | (4,366) | \$   | (3,654) | \$   | (3,503) | \$   | (4,474) | \$   | (2,890) |
| \$    | -       | \$   | -       | \$   | -       | \$   | -       | \$   | -       | \$   | -       |
| <hr/> |         |      |         |      |         |      |         |      |         |      |         |
| \$    | 55,519  | \$   | 54,198  | \$   | 52,578  | \$   | 52,689  | \$   | 63,425  | \$   | 52,998  |
|       | 8.68%   |      | 8.06%   |      | 6.95%   |      | 6.65%   |      | 7.05%   |      | 5.45%   |



**WEST DES MOINES**  
**COMMUNITY SCHOOLS**

## **West Des Moines Community School District**

### **Note to Required Supplementary Information**

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#### **Note 1. Budgets and Budgetary Information**

This budgetary comparison is presented as Required Supplementary Information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except internal service, private-purpose trust and agency funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on the accrual basis.

Formal and legal budgetary control for the certified budget is based upon four major classes or expenditures known as functions, not by fund or fund type. These four functions are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. During the year, the District adopted one budget amendment increasing budgeted expenditures by \$7,547,865.

During the year ended June 30, 2017, expenditures did not exceed the amounts budgeted.

#### **Note 2. Iowa Public Employees' Retirement System Pension Liability**

##### Changes of benefit terms:

Legislation passed in 2010 modified benefit terms for current Regular members. The definition of final average salary changed from the highest three to the highest five years of covered wages. The vesting requirement changed from four years of service to seven years. The early retirement reduction increased from 3 percent per year measured from the member's first unreduced retirement age to a 6 percent reduction for each year of retirement before age 65.

In 2008, legislative action transferred four groups – emergency medical service providers, county jailors, county attorney investigators, and National Guard installation security officers – from Regular membership to the protection occupation group for future service only.

##### Changes of assumptions:

The 2014 valuation implemented the following refinements as a result of quadrennial experience study:

- Decreased the inflation assumption from 3.25 percent to 3.00 percent.
- Decreased the assumed rate of interest on member accounts from 4.00 percent to 3.75 percent per year.
- Adjusted male mortality rates for retirees in the Regular membership group.
- Reduced retirement rates for sheriffs and deputies between the ages of 55 and 64.
- Moved from an open 30 year amortization period to a closed 30 year amortization period for the UAL beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20 year period.

**West Des Moines Community School District**

**Note to Required Supplementary Information**

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**Note 2. Iowa Public Employees' Retirement System Pension Liability (Continued)**

The 2010 valuation implemented the following refinements as a result of a quadrennial experience study:

- Adjusted retiree mortality assumptions.
- Modified retirement rates to reflect fewer retirements.
- Lowered disability rates at most ages.
- Lowered employment termination rates.
- Generally increased the probability of terminating members receiving a deferred retirement benefit.
- Modified salary increase assumptions based on various service duration.

**OTHER COMBINING AND  
INDIVIDUAL FUND FINANCIAL STATEMENTS**

**West Des Moines Community School District**

**Combining Balance Sheet  
Nonmajor Governmental Funds  
June 30, 2017**

|                                                                           | Special Revenue     |                     |                     |
|---------------------------------------------------------------------------|---------------------|---------------------|---------------------|
|                                                                           | Playground          | Student Activity    | Total               |
| <b>Assets</b>                                                             |                     |                     |                     |
| Cash, cash equivalents and investments                                    | \$ 428,514          | \$ 1,153,023        | \$ 1,581,537        |
| Receivables:                                                              |                     |                     |                     |
| Property taxes                                                            | 597,613             | -                   | 597,613             |
| Other                                                                     | -                   | 34                  | 34                  |
| <b>Total assets</b>                                                       | <b>\$ 1,026,127</b> | <b>\$ 1,153,057</b> | <b>\$ 2,179,184</b> |
| <b>Liabilities, Deferred Inflows of Resources and Fund Balances</b>       |                     |                     |                     |
| Liabilities:                                                              |                     |                     |                     |
| Accounts payable                                                          | \$ 2,114            | \$ 192,976          | \$ 195,090          |
| Advance from other funds                                                  | -                   | 156,940             | 156,940             |
| <b>Total liabilities</b>                                                  | <b>2,114</b>        | <b>349,916</b>      | <b>352,030</b>      |
| Deferred inflows of resources, unavailable revenue:                       |                     |                     |                     |
| Succeeding year property tax                                              | 595,888             | -                   | 595,888             |
| Fund balances, Restricted                                                 | 428,125             | 803,141             | 1,231,266           |
| <b>Total liabilities, deferred inflows of resources and fund balances</b> | <b>\$ 1,026,127</b> | <b>\$ 1,153,057</b> | <b>\$ 2,179,184</b> |

**West Des Moines Community School District**

**Combining Statement of Revenues, Expenditures and Changes in Fund Balances  
Nonmajor Governmental Funds  
Year Ended June 30, 2017**

|                                                                  | Special Revenue |                  |                  |
|------------------------------------------------------------------|-----------------|------------------|------------------|
|                                                                  | Playground      | Student Activity | Total            |
| Revenues:                                                        |                 |                  |                  |
| Property taxes and other local sources:                          |                 |                  |                  |
| Property taxes                                                   | \$ 569,606      | \$ -             | \$ 569,606       |
| Utility replacement                                              | 10,026          | -                | 10,026           |
| Other local sources                                              | -               | 614,066          | 614,066          |
| Investment earnings                                              | 3,698           | 13,759           | 17,457           |
| Student activities                                               | -               | 1,180,130        | 1,180,130        |
| State sources, other state sources                               | 24,974          | -                | 24,974           |
| <b>Total revenues</b>                                            | <b>608,304</b>  | <b>1,807,955</b> | <b>2,416,259</b> |
| Expenditures:                                                    |                 |                  |                  |
| Current:                                                         |                 |                  |                  |
| Instruction                                                      | 7,318           | 2,156,467        | 2,163,785        |
| Support services:                                                |                 |                  |                  |
| Instructional staff                                              | 720             | 2,551            | 3,271            |
| General administration                                           | 688             | -                | 688              |
| Business administration                                          | 9,504           | 22,340           | 31,844           |
| Operation and maintenance of plant services                      | 14,837          | 30,346           | 45,183           |
| Student transportation                                           | 2,501           | -                | 2,501            |
| Noninstructional programs                                        | 468,672         | -                | 468,672          |
| <b>Total expenditures</b>                                        | <b>504,240</b>  | <b>2,211,704</b> | <b>2,715,944</b> |
| <b>Excess (deficiency) of revenues over (under) expenditures</b> | <b>104,064</b>  | <b>(403,749)</b> | <b>(299,685)</b> |
| Other financing sources (uses):                                  |                 |                  |                  |
| Transfer in                                                      | -               | 85,500           | 85,500           |
| Transfers out                                                    | (10,000)        | -                | (10,000)         |
|                                                                  | (10,000)        | 85,500           | 75,500           |
| <b>Net change in fund balances</b>                               | <b>94,064</b>   | <b>(318,249)</b> | <b>(224,185)</b> |
| Fund balances, beginning of year                                 | 334,061         | 1,121,390        | 1,455,451        |
| Fund balances, end of year                                       | \$ 428,125      | \$ 803,141       | \$ 1,231,266     |

**West Des Moines Community School District**

**Schedule of Combining Balance Sheet-  
Capital Projects Fund, By Account  
June 30, 2017**

|                                                                               | Capital Projects Fund Accounts     |                                        |                      |
|-------------------------------------------------------------------------------|------------------------------------|----------------------------------------|----------------------|
|                                                                               | Physical<br>Plant and<br>Equipment | Statewide<br>Sales and<br>Services Tax | Total                |
| <b>Assets</b>                                                                 |                                    |                                        |                      |
| Cash, cash equivalents and<br>investments                                     | \$ 7,141,632                       | \$ 7,378,554                           | \$ 14,520,186        |
| Restricted cash, cash equivalents<br>and investments                          | -                                  | 6,307,632                              | 6,307,632            |
| Receivables:                                                                  |                                    |                                        |                      |
| Property taxes                                                                | 7,770,926                          | -                                      | 7,770,926            |
| Due from other governments                                                    | -                                  | 1,017,613                              | 1,017,613            |
| Advance to other funds                                                        | 156,940                            | -                                      | 156,940              |
| <b>Total assets</b>                                                           | <b>\$ 15,069,498</b>               | <b>\$ 14,703,799</b>                   | <b>\$ 29,773,297</b> |
| <b>Liabilities, Deferred Inflows of Resources<br/>and Fund Balances</b>       |                                    |                                        |                      |
| Liabilities, Deferred Inflows of Resources                                    |                                    |                                        |                      |
| Accounts payable                                                              | \$ 185,842                         | \$ 946,181                             | \$ 1,132,023         |
| Deferred inflows of resources,<br>unavailable revenue:                        |                                    |                                        |                      |
| Succeeding year property tax                                                  | 7,748,030                          | -                                      | 7,748,030            |
| Sales and services tax                                                        | -                                  | 300,000                                | 300,000              |
| <b>Total deferred inflows of resources</b>                                    | <b>7,748,030</b>                   | <b>300,000</b>                         | <b>8,048,030</b>     |
| Fund balances:                                                                |                                    |                                        |                      |
| Restricted for:                                                               |                                    |                                        |                      |
| Physical plant and equipment                                                  | 7,135,626                          | -                                      | 7,135,626            |
| Debt service                                                                  | -                                  | 6,307,632                              | 6,307,632            |
| School infrastructure                                                         | -                                  | 7,149,986                              | 7,149,986            |
| <b>Total fund balances</b>                                                    | <b>7,135,626</b>                   | <b>13,457,618</b>                      | <b>20,593,244</b>    |
| <b>Total liabilities, deferred inflows<br/>of resources and fund balances</b> | <b>\$ 15,069,498</b>               | <b>\$ 14,703,799</b>                   | <b>\$ 29,773,297</b> |



**West Des Moines Community School District**

**Schedule of Combining Statement of Revenues, Expenditures  
and Changes in Fund Balance-Capital Projects Fund, By Account  
Year Ended June 30, 2017**

|                                                                      | Capital Projects Fund Accounts     |                                        |                    |
|----------------------------------------------------------------------|------------------------------------|----------------------------------------|--------------------|
|                                                                      | Physical<br>Plant and<br>Equipment | Statewide<br>Sales and<br>Services Tax | Total              |
| Revenues:                                                            |                                    |                                        |                    |
| Property taxes and other local sources:                              |                                    |                                        |                    |
| Property taxes                                                       | \$ 7,432,576                       | \$ -                                   | \$ 7,432,576       |
| Utility replacement                                                  | 124,020                            | -                                      | 124,020            |
| Other local sources                                                  | 306,940                            | 340,342                                | 647,282            |
| Investment earnings                                                  | 77,495                             | 341,979                                | 419,474            |
| State sources:                                                       |                                    |                                        |                    |
| Statewide sales and services tax                                     | -                                  | 8,635,006                              | 8,635,006          |
| State sources, other state sources                                   | 321,110                            | -                                      | 321,110            |
| <b>Total revenues</b>                                                | <b>8,262,141</b>                   | <b>9,317,327</b>                       | <b>17,579,468</b>  |
| Expenditures:                                                        |                                    |                                        |                    |
| Current:                                                             |                                    |                                        |                    |
| Instruction                                                          | 88,656                             | 1,986,042                              | 2,074,698          |
| Support services:                                                    |                                    |                                        |                    |
| General administration                                               | 560                                | 16,374                                 | 16,934             |
| Business administration                                              | 296,216                            | -                                      | 296,216            |
| Plant operation and maintenance                                      | 52,760                             | 62,871                                 | 115,631            |
| Student transportation                                               | -                                  | 202,030                                | 202,030            |
| Capital outlay                                                       | 1,432,358                          | 6,342,280                              | 7,774,638          |
| <b>Total expenditures</b>                                            | <b>1,870,550</b>                   | <b>8,609,597</b>                       | <b>10,480,147</b>  |
| <b>Excess (deficiency) of revenues<br/>over (under) expenditures</b> | <b>6,391,591</b>                   | <b>707,730</b>                         | <b>7,099,321</b>   |
| Other financing sources (uses):                                      |                                    |                                        |                    |
| Transfers (out)                                                      | (4,736,875)                        | (3,822,823)                            | (8,559,698)        |
| <b>Total other financing<br/>sources (uses)</b>                      | <b>(4,736,875)</b>                 | <b>(3,822,823)</b>                     | <b>(8,559,698)</b> |
| <b>Net change in fund balance</b>                                    | <b>1,654,716</b>                   | <b>(3,115,093)</b>                     | <b>(1,460,377)</b> |
| Fund balances, beginning of year                                     | 5,480,910                          | 16,572,711                             | 22,053,621         |
| Fund balances, end of year                                           | \$ 7,135,626                       | \$ 13,457,618                          | \$ 20,593,244      |

**West Des Moines Community School District**

**Combining Statement of Net Position**

**Nonmajor Enterprise Funds**

**June 30, 2017**

|                                        | School<br>Nutrition | Community<br>Education | Total               |
|----------------------------------------|---------------------|------------------------|---------------------|
| <b>Assets</b>                          |                     |                        |                     |
| Current assets:                        |                     |                        |                     |
| Cash, cash equivalents and investments | \$ 717,064          | \$ 2,048,350           | \$ 2,765,414        |
| Other receivables                      | 14,182              | 127,876                | 142,058             |
| Due from other governments             | 59,491              | -                      | 59,491              |
| Inventories                            | 151,844             | -                      | 151,844             |
| <b>Total current assets</b>            | <b>942,581</b>      | <b>2,176,226</b>       | <b>3,118,807</b>    |
| Noncurrent assets,                     |                     |                        |                     |
| capital assets:                        |                     |                        |                     |
| Machinery and equipment                | 3,886,034           | -                      | 3,886,034           |
| Less accumulated depreciation          | (2,415,606)         | -                      | (2,415,606)         |
| <b>Total noncurrent assets</b>         | <b>1,470,428</b>    | <b>-</b>               | <b>1,470,428</b>    |
| <b>Total assets</b>                    | <b>2,413,009</b>    | <b>2,176,226</b>       | <b>4,589,235</b>    |
| <b>Deferred outflows of resources,</b> |                     |                        |                     |
| pension related deferred outflows      | 459,347             | 327,066                | 786,413             |
| <b>Liabilities</b>                     |                     |                        |                     |
| Current liabilities:                   |                     |                        |                     |
| Accounts payable                       | 62,798              | 78,790                 | 141,588             |
| Compensated absences                   | 7,046               | 20,057                 | 27,103              |
| Unearned revenue                       | 123,435             | 77,693                 | 201,128             |
| Long-term liabilities:                 |                     |                        |                     |
| Net pension liability                  | 1,447,081           | 1,190,469              | 2,637,550           |
| Net OPEB liability                     | 351,637             | 211,982                | 563,619             |
| <b>Total liabilities</b>               | <b>1,991,997</b>    | <b>1,578,991</b>       | <b>3,570,988</b>    |
| <b>Deferred inflows of resources,</b>  |                     |                        |                     |
| pension related deferred inflows       | 25,579              | 19,357                 | 44,936              |
| <b>Net Position</b>                    |                     |                        |                     |
| Net investment in capital assets       | 1,470,428           | -                      | 1,470,428           |
| Unrestricted                           | (615,648)           | 904,944                | 289,296             |
| <b>Total net position</b>              | <b>\$ 854,780</b>   | <b>\$ 904,944</b>      | <b>\$ 1,759,724</b> |

**West Des Moines Community School District**

**Combining Statement of Revenues, Expenses and Changes in Net Position**

**Nonmajor Enterprise Funds**

**Year Ended June 30, 2017**

|                                                                 | School<br>Nutrition | Community<br>Education | Total              |
|-----------------------------------------------------------------|---------------------|------------------------|--------------------|
| Operating revenues:                                             |                     |                        |                    |
| Food sales                                                      | \$ 2,232,027        | \$ -                   | \$ 2,232,027       |
| Sale of services                                                | -                   | 3,271,549              | 3,271,549          |
| <b>Total operating revenues</b>                                 | <b>2,232,027</b>    | <b>3,271,549</b>       | <b>5,503,576</b>   |
| Operating expenses:                                             |                     |                        |                    |
| Salaries                                                        | 1,504,898           | 1,892,877              | 3,397,775          |
| Employee benefits                                               | 479,355             | 479,998                | 959,353            |
| Purchased services                                              | 56,335              | 157,658                | 213,993            |
| Food consumed                                                   | 1,851,278           | -                      | 1,851,278          |
| Supplies                                                        | 143,030             | 401,980                | 545,010            |
| Depreciation                                                    | 210,053             | -                      | 210,053            |
| Other                                                           | 43,369              | 6,107                  | 49,476             |
| <b>Total operating expenses</b>                                 | <b>4,288,318</b>    | <b>2,938,620</b>       | <b>7,226,938</b>   |
| <b>Operating income (loss)</b>                                  | <b>(2,056,291)</b>  | <b>332,929</b>         | <b>(1,723,362)</b> |
| Nonoperating revenues (expenses):                               |                     |                        |                    |
| Federal food commodities                                        | 350,058             | -                      | 350,058            |
| Federal appropriations                                          | 1,787,532           | -                      | 1,787,532          |
| State appropriations                                            | 27,275              | -                      | 27,275             |
| Interest                                                        | 4,953               | 19,507                 | 24,460             |
| Loss on sale of capital assets                                  | (1,357)             | (15,000)               | (16,357)           |
| <b>Total nonoperating revenues and (expenses)</b>               | <b>2,168,461</b>    | <b>4,507</b>           | <b>2,172,968</b>   |
| <b>Income (loss) before capital contributions and transfers</b> | <b>112,170</b>      | <b>337,436</b>         | <b>449,606</b>     |
| Capital contributions                                           | 139,080             | -                      | 139,080            |
| Transfers (out)                                                 | -                   | (125,000)              | (125,000)          |
| <b>Changes in net position</b>                                  | <b>251,250</b>      | <b>212,436</b>         | <b>463,686</b>     |
| Net position, beginning                                         | 603,530             | 692,508                | 1,296,038          |
| Net position, end of year                                       | \$ 854,780          | \$ 904,944             | \$ 1,759,724       |

**West Des Moines Community School District**

**Combining Statement of Cash Flows**

**Nonmajor Enterprise Funds**

**Year Ended June 30, 2017**

|                                                                                | School<br>Nutrition | Community<br>Education | Total               |
|--------------------------------------------------------------------------------|---------------------|------------------------|---------------------|
| Cash Flows From Operating Activities:                                          |                     |                        |                     |
| Receipts from customers and users                                              | \$ 2,331,475        | \$ 3,177,099           | \$ 5,508,574        |
| Payments to suppliers                                                          | (1,749,798)         | (641,775)              | (2,391,573)         |
| Payments to employees                                                          | (2,003,581)         | (2,319,424)            | (4,323,005)         |
| <b>Net cash provided by (used in) operating activities</b>                     | <b>(1,421,904)</b>  | <b>215,900</b>         | <b>(1,206,004)</b>  |
| Cash Flows From Noncapital Financing Activities:                               |                     |                        |                     |
| Federal and state appropriations received                                      | 1,804,613           | -                      | 1,804,613           |
| Transfers (out)                                                                | -                   | (125,000)              | (125,000)           |
| <b>Net cash provided by (used in) financing activities</b>                     | <b>1,804,613</b>    | <b>(125,000)</b>       | <b>1,679,613</b>    |
| Cash Flows From Capital and Purchases of capital assets                        | (36,570)            | -                      | (36,570)            |
| <b>Net cash provided by (used in) capital and related financing activities</b> | <b>(36,570)</b>     | <b>-</b>               | <b>(36,570)</b>     |
| Cash Flows From Investing Activities, interest received                        | 4,953               | 19,507                 | 24,460              |
| <b>Net change in cash and cash equivalents</b>                                 | <b>351,092</b>      | <b>110,407</b>         | <b>461,499</b>      |
| Cash and Cash Equivalents:                                                     |                     |                        |                     |
| Beginning of year                                                              | 365,972             | 1,937,943              | 2,303,915           |
| End of year                                                                    | <u>\$ 717,064</u>   | <u>\$ 2,048,350</u>    | <u>\$ 2,765,414</u> |

(Continued)

**West Des Moines Community School District**

**Combining Statement of Cash Flows (Continued)**

**Nonmajor Enterprise Funds**

**Year Ended June 30, 2017**

|                                                                                                               | School<br>Nutrition   | Community<br>Education | Total                 |
|---------------------------------------------------------------------------------------------------------------|-----------------------|------------------------|-----------------------|
| Reconciliation of Operating<br>Income (Loss) to Net Cash (Used in)<br>Provided by Operating Activities:       |                       |                        |                       |
| Operating income (loss)                                                                                       | \$ (2,056,291)        | \$ 332,929             | \$ (1,723,362)        |
| Adjustments to reconcile<br>operating income(loss) to net cash provided<br>by (used in) operating activities: |                       |                        |                       |
| Depreciation                                                                                                  | 210,053               | -                      | 210,053               |
| Federal food commodities used                                                                                 | 350,058               | -                      | 350,058               |
| Change in assets and liabilities                                                                              |                       |                        |                       |
| Receivables                                                                                                   | 90,621                | (47,776)               | 42,845                |
| Inventories                                                                                                   | 152,650               | -                      | 152,650               |
| Deferred outflows of resources                                                                                | (109,612)             | 7,316                  | (102,296)             |
| Accounts payable                                                                                              | (158,494)             | (76,030)               | (234,524)             |
| Compensated absences                                                                                          | (3,213)               | 690                    | (2,523)               |
| Unearned revenue                                                                                              | 8,827                 | (46,674)               | (37,847)              |
| Early retirement                                                                                              | (30,194)              | -                      | (30,194)              |
| Net pension liability                                                                                         | 348,970               | 232,647                | 581,617               |
| Deferred inflows of resources                                                                                 | (241,650)             | (198,076)              | (439,726)             |
| Net OPEB liability                                                                                            | 16,371                | 10,874                 | 27,245                |
| <b>Net cash provided by<br/>(used in) operating activities</b>                                                | <b>\$ (1,421,904)</b> | <b>\$ 215,900</b>      | <b>\$ (1,206,004)</b> |
| Schedule of Noncash Items:                                                                                    |                       |                        |                       |
| Noncapital financing activities,                                                                              |                       |                        |                       |
| Federal commodities                                                                                           | \$ 350,058            | \$ -                   | \$ 350,058            |
| Capital activities                                                                                            |                       |                        |                       |
| Contributed capital                                                                                           | \$ 139,080            | \$ -                   | \$ 139,080            |

**West Des Moines Community School District**

**Statement of Changes in Assets and Liabilities**

**Agency Fund**

**Year Ended June 30, 2017**

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|                                                    | Balance<br>Beginning<br>of Year | Additions | Deductions | Balance<br>End<br>of Year |
|----------------------------------------------------|---------------------------------|-----------|------------|---------------------------|
| <b>Flower Fund</b>                                 |                                 |           |            |                           |
| Assets, cash, cash equivalents<br>and investments  | \$ 5,521                        | \$ -      | \$ 1,550   | \$ 3,971                  |
| <b>Liabilities</b> , due to private<br>individuals | \$ 5,521                        | \$ -      | \$ 1,550   | \$ 3,971                  |

## West Des Moines Community School District

### Statistical Section

#### Contents

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The statistical section of the District's comprehensive annual financial report presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures and required supplementary information say about the District's overall financial health.

| Contents                                                                                                                                                                                                                   | Page |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| <b>Financial Trends</b>                                                                                                                                                                                                    |      |
| These schedules contain trend information to help the reader understand how the District's financial performance and well being have changed over time.                                                                    | 72   |
| <b>Revenue Capacity</b>                                                                                                                                                                                                    |      |
| These schedules contain information to help the reader assess the District's most significant local revenue sources, the property tax (or sales tax).                                                                      | 86   |
| <b>Debt Capacity</b>                                                                                                                                                                                                       |      |
| These schedules present information to help the reader assess the affordability of the District's current level of outstanding debt and the District's ability to issue additional debt in the future.                     | 92   |
| <b>Demographic and Economic Information</b>                                                                                                                                                                                | 103  |
| These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place.                                                       |      |
| <b>Operating Information</b>                                                                                                                                                                                               | 106  |
| These schedules contain service and infrastructure data to help the reader understand how the information in the District's financial report relates to the services the District provides and the activities it performs. |      |

**Sources:** Unless otherwise noted, the information in these schedules is derived from the comprehensive annual report for the relevant year.

# West Des Moines Community School District

## Net Position by Component Last Ten Fiscal Years (accrual basis of accounting) (Unaudited)

|                                                    | 2008                  | 2009                  | 2010                  | 2011                  |
|----------------------------------------------------|-----------------------|-----------------------|-----------------------|-----------------------|
| Governmental activities:                           |                       |                       |                       |                       |
| Net investment in capital assets                   | \$ 119,538,177        | \$ 139,058,201        | \$ 133,613,854        | \$ 147,846,051        |
| Restricted                                         | 17,078,354            | 15,883,427            | 21,353,146            | 14,014,432            |
| Unrestricted                                       | 10,302,534            | 2,173,420             | 8,590,265             | 12,371,586            |
| <b>Total governmental activities net position</b>  | <b>\$ 146,919,065</b> | <b>\$ 157,115,048</b> | <b>\$ 163,557,265</b> | <b>\$ 174,232,069</b> |
| Business-type activities                           |                       |                       |                       |                       |
| Net investment in capital assets                   | \$ 770,344            | \$ 654,241            | \$ 737,376            | \$ 641,315            |
| Unrestricted                                       | 2,080,283             | 2,127,643             | 2,298,336             | 2,757,854             |
| <b>Total business-type activities net position</b> | <b>\$ 2,850,627</b>   | <b>\$ 2,781,884</b>   | <b>\$ 3,035,712</b>   | <b>\$ 3,399,169</b>   |
| Primary government:                                |                       |                       |                       |                       |
| Net investment in capital assets                   | \$ 120,308,521        | \$ 139,712,442        | \$ 134,351,230        | \$ 148,487,366        |
| Restricted                                         | 17,078,354            | 15,883,427            | 21,353,146            | 14,014,432            |
| Unrestricted                                       | 12,382,817            | 4,301,063             | 10,888,601            | 15,129,440            |
| <b>Total primary government net position</b>       | <b>\$ 149,769,692</b> | <b>\$ 159,896,932</b> | <b>\$ 166,592,977</b> | <b>\$ 177,631,238</b> |



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|    | 2012        | 2013           | 2014           | 2015           | 2016           | 2017                  |
|----|-------------|----------------|----------------|----------------|----------------|-----------------------|
| \$ | 158,150,471 | \$ 162,317,475 | \$ 162,629,002 | \$ 150,519,660 | \$ 152,861,497 | \$ <b>157,687,214</b> |
|    | 12,748,833  | 17,384,787     | 18,089,610     | 34,014,409     | 34,915,134     | <b>33,095,051</b>     |
|    | 22,003,113  | 15,504,430     | 19,104,764     | (18,824,684)   | (13,915,780)   | <b>(13,220,139)</b>   |
| \$ | 192,902,417 | \$ 195,206,692 | \$ 199,823,376 | \$ 165,709,385 | \$ 173,860,851 | \$ <b>177,562,126</b> |
| \$ | 593,670     | \$ 2,130,339   | \$ 1,901,196   | \$ 1,740,773   | \$ 1,521,188   | \$ <b>1,470,428</b>   |
|    | 3,611,829   | 3,419,635      | 3,221,434      | 1,259,718      | 1,357,309      | <b>1,617,426</b>      |
| \$ | 4,205,499   | \$ 5,549,974   | \$ 5,122,630   | \$ 3,000,491   | \$ 2,878,497   | \$ <b>3,087,854</b>   |
| \$ | 158,744,141 | \$ 164,447,814 | \$ 164,530,198 | \$ 152,260,433 | \$ 154,382,685 | \$ <b>159,157,642</b> |
|    | 12,748,833  | 17,384,787     | 18,089,610     | 34,014,409     | 34,915,134     | <b>33,095,051</b>     |
|    | 25,614,942  | 18,924,065     | 22,326,198     | (17,564,966)   | (12,558,471)   | <b>(11,602,713)</b>   |
| \$ | 197,107,916 | \$ 200,756,666 | \$ 204,946,006 | \$ 168,709,876 | \$ 176,739,348 | \$ <b>180,649,980</b> |

# West Des Moines Community School District

## Expenses, Program Revenues and Net (Expense) Revenue

### Last Ten Fiscal Years

(accrual basis of accounting)

(Unaudited)

|                                          | 2008                   | 2009                   | 2010                   | 2011                   |
|------------------------------------------|------------------------|------------------------|------------------------|------------------------|
| Expenses:                                |                        |                        |                        |                        |
| Governmental activities:                 |                        |                        |                        |                        |
| Instruction                              | \$ 59,878,678          | \$ 64,340,540          | \$ 66,474,308          | \$ 66,020,971          |
| Support services                         | 28,015,793             | 28,852,848             | 29,193,099             | 28,725,290             |
| Noninstructional programs                | 422,971                | 452,155                | 434,290                | 119,681                |
| Other                                    | 2,967,752              | 3,155,688              | 3,456,794              | 3,548,218              |
| Interest on long-term debt               | 798,397                | 545,910                | 265,043                | 357,099                |
| <b>Total governmental activities</b>     | <b>92,083,591</b>      | <b>97,347,141</b>      | <b>99,823,534</b>      | <b>98,771,259</b>      |
| Business-type activities:                |                        |                        |                        |                        |
| Nutrition                                | 3,837,138              | 4,139,227              | 4,134,856              | 4,051,189              |
| Community education                      | 2,279,690              | 2,641,371              | 2,368,775              | 2,478,636              |
| Preschool regular education              | 194,719                | 210,280                | 213,536                | 162,440                |
| Student construction                     | -                      | 80,000                 | 56,937                 | 53,218                 |
| <b>Total business-type activities</b>    | <b>6,311,547</b>       | <b>7,070,878</b>       | <b>6,774,104</b>       | <b>6,745,483</b>       |
| <b>Total primary government expenses</b> | <b>98,395,138</b>      | <b>104,418,019</b>     | <b>106,597,638</b>     | <b>105,516,742</b>     |
| Program revenues:                        |                        |                        |                        |                        |
| Governmental activities:                 |                        |                        |                        |                        |
| Charges for services:                    |                        |                        |                        |                        |
| Instruction                              | 4,707,977              | 5,910,224              | 6,031,974              | 5,656,757              |
| Support services                         | -                      | -                      | -                      | -                      |
| Operating grants and contributions       | 9,853,839              | 12,116,212             | 16,109,619             | 13,977,744             |
| Capital grants and contributions         | -                      | -                      | -                      | -                      |
| <b>Total governmental activities</b>     | <b>14,561,816</b>      | <b>18,026,436</b>      | <b>22,141,593</b>      | <b>19,634,501</b>      |
| Business-type activities:                |                        |                        |                        |                        |
| Charges for services:                    |                        |                        |                        |                        |
| Nutrition                                | 2,581,637              | 2,761,252              | 2,763,619              | 2,718,971              |
| Community education                      | 2,538,740              | 2,918,819              | 2,618,972              | 2,589,715              |
| Preschool regular education              | -                      | -                      | -                      | -                      |
| Student construction                     | -                      | -                      | -                      | -                      |
| Operating grants and contributions       | 1,150,607              | 1,355,728              | 1,472,831              | 1,657,077              |
| Capital grants and contributions         | -                      | -                      | -                      | -                      |
| <b>Total business-type activities</b>    | <b>6,270,984</b>       | <b>7,035,799</b>       | <b>6,855,422</b>       | <b>6,965,763</b>       |
| <b>Total primary government revenues</b> | <b>20,832,800</b>      | <b>25,062,235</b>      | <b>28,997,015</b>      | <b>26,600,264</b>      |
| Net (expense) revenues:                  |                        |                        |                        |                        |
| Governmental activities                  | (77,521,775)           | (79,320,705)           | (77,681,941)           | (79,136,758)           |
| Business-type activities                 | (40,563)               | (35,079)               | 81,318                 | 220,280                |
| <b>Total primary government revenues</b> | <b>\$ (77,562,338)</b> | <b>\$ (79,355,784)</b> | <b>\$ (77,600,623)</b> | <b>\$ (78,916,478)</b> |

| 2012            | 2013            | 2014            | 2015            | 2016            | 2017            |
|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|
| \$ 64,031,921   | \$ 72,787,048   | \$ 74,101,225   | \$ 79,526,445   | \$ 80,072,100   | \$ 87,584,473   |
| 30,460,006      | 33,543,019      | 33,104,411      | 31,693,679      | 32,307,088      | 33,313,550      |
| 504,947         | 514,568         | 545,689         | 511,434         | 507,475         | 472,727         |
| 3,310,851       | 3,414,456       | 3,596,211       | 3,741,994       | 3,804,493       | 3,814,800       |
| 1,322,932       | 1,387,760       | 1,711,719       | 2,175,143       | 1,674,726       | 1,703,274       |
| 99,630,657      | 111,646,851     | 113,059,255     | 117,648,695     | 118,365,882     | 126,888,824     |
| 3,837,098       | 4,412,926       | 4,603,634       | 4,630,609       | 4,565,909       | 4,442,272       |
| 2,484,504       | 2,801,078       | 2,680,646       | 2,623,649       | 2,761,087       | 3,055,352       |
| 162,529         | 174,674         | 101,006         | 967             | -               | -               |
| 24,670          | -               | -               | -               | -               | -               |
| 6,508,801       | 7,388,678       | 7,385,286       | 7,255,225       | 7,326,996       | 7,497,624       |
| 106,139,458     | 119,035,529     | 120,444,541     | 124,903,920     | 125,692,878     | 134,386,448     |
| 6,398,639       | 7,215,947       | 7,317,855       | 7,480,699       | 8,028,185       | 8,158,876       |
| 678,630         | 1,626,797       | 1,583,371       | 1,315,940       | 1,634,911       | 1,837,100       |
| 15,985,636      | 12,830,255      | 14,192,480      | 17,472,369      | 19,045,978      | 16,829,008      |
| 1,509,864       | 118,493         | -               | 2,000,000       | -               | -               |
| 24,572,769      | 21,791,492      | 23,093,706      | 28,269,008      | 28,709,074      | 26,824,984      |
| 2,638,472       | 2,438,304       | 2,322,567       | 2,389,672       | 2,234,029       | 2,232,027       |
| 2,777,207       | 2,796,728       | 2,695,600       | 2,967,741       | 2,958,351       | 3,271,549       |
| -               | -               | -               | -               | -               | -               |
| -               | -               | -               | -               | -               | -               |
| 1,967,784       | 1,937,963       | 2,057,772       | 1,998,988       | 2,122,138       | 2,164,865       |
| 15,000          | 1,674,887       | -               | -               | -               | 139,080         |
| 7,398,463       | 8,847,882       | 7,075,939       | 7,356,401       | 7,314,518       | 7,807,521       |
| 31,971,232      | 30,639,374      | 30,169,645      | 35,625,409      | 36,023,592      | 34,632,505      |
| (75,057,888)    | (89,855,359)    | (89,965,549)    | (89,379,687)    | (89,656,808)    | (100,063,840)   |
| 889,662         | 1,459,204       | (309,347)       | 101,176         | (12,478)        | 309,897         |
| \$ (74,168,226) | \$ (88,396,155) | \$ (90,274,896) | \$ (89,278,511) | \$ (89,669,286) | \$ (99,753,943) |

## West Des Moines Community School District

### General Revenues and Total Change in Net Position

#### Last Ten Fiscal Years

(accrual basis of accounting)

(Unaudited)

|                                                     | 2008                | 2009                 | 2010                | 2011                 |
|-----------------------------------------------------|---------------------|----------------------|---------------------|----------------------|
| Net (expense) revenues:                             |                     |                      |                     |                      |
| Governmental activities                             | \$ (77,521,775)     | \$ (79,320,705)      | \$ (77,381,941)     | \$ (79,136,758)      |
| Business-type activities                            | (40,563)            | (35,079)             | 81,318              | 220,280              |
| <b>Total primary government net expense</b>         | <b>(77,562,338)</b> | <b>(79,355,784)</b>  | <b>(77,300,623)</b> | <b>(78,916,478)</b>  |
| General revenues and other changes in net position: |                     |                      |                     |                      |
| Governmental activities:                            |                     |                      |                     |                      |
| General revenues:                                   |                     |                      |                     |                      |
| Taxes:                                              |                     |                      |                     |                      |
| Property taxes                                      | 49,505,540          | 51,501,548           | 53,550,085          | 56,142,287           |
| Statewide sales and services tax                    | 8,598,401           | 8,818,452            | 8,485,639           | 7,087,894            |
| Utility replacement tax                             | 892,235             | 911,443              | 923,850             | 898,786              |
| Other local sources                                 | 1,679,757           | 2,152,257            | 1,800,349           | 1,409,137            |
| State foundation aid, unrestricted                  | 24,999,763          | 25,330,713           | 18,771,477          | 23,888,724           |
| Other state sources, unrestricted                   | -                   | -                    | -                   | -                    |
| Investment earnings                                 | 1,596,395           | 665,647              | 497,572             | 359,734              |
| Gain on disposal of capital assets                  | -                   | -                    | -                   | -                    |
| Miscellaneous                                       | -                   | -                    | -                   | -                    |
| Transfers                                           | 5,850               | 136,628              | 95,186              | 25,000               |
| <b>Total governmental activities</b>                | <b>87,277,941</b>   | <b>89,516,688</b>    | <b>84,124,158</b>   | <b>89,811,562</b>    |
| Business-type activities:                           |                     |                      |                     |                      |
| Other local sources                                 | 57,802              | 79,290               | 253,444             | 150,117              |
| Investment earnings                                 | 70,144              | 23,674               | 14,252              | 18,060               |
| Miscellaneous                                       | -                   | -                    | -                   | -                    |
| Transfers                                           | (5,850)             | (136,628)            | (95,186)            | (25,000)             |
| <b>Total business-type activities</b>               | <b>122,096</b>      | <b>(33,664)</b>      | <b>172,510</b>      | <b>143,177</b>       |
| <b>Total primary government</b>                     | <b>87,400,037</b>   | <b>89,483,024</b>    | <b>84,296,668</b>   | <b>89,954,739</b>    |
| Change in net position:                             |                     |                      |                     |                      |
| Governmental activities                             | 9,756,166           | 10,195,983           | 6,442,217           | 10,674,804           |
| Business-type activities                            | 81,533              | (68,743)             | 253,828             | 363,457              |
| <b>Total primary government</b>                     | <b>\$ 9,837,699</b> | <b>\$ 10,127,240</b> | <b>\$ 6,696,045</b> | <b>\$ 11,038,261</b> |

| 2012                                                                                             | 2013         | 2014         | 2015         | 2016         | 2017         |
|--------------------------------------------------------------------------------------------------|--------------|--------------|--------------|--------------|--------------|
| \$ (75,057,888) \$ (89,855,359) \$ (89,965,549) \$ (89,379,687) \$ (89,656,808) \$ (100,063,840) |              |              |              |              |              |
| 889,662                                                                                          | 1,459,204    | (309,347)    | 101,176      | (12,478)     | 309,897      |
| (74,168,226)                                                                                     | (88,396,155) | (90,274,896) | (89,278,511) | (89,669,286) | (99,753,943) |
| 56,399,367                                                                                       | 52,951,824   | 53,787,935   | 53,916,073   | 53,605,669   | 59,089,889   |
| 7,579,856                                                                                        | 7,881,340    | 7,927,921    | 8,601,194    | 8,727,573    | 8,535,006    |
| 950,942                                                                                          | 907,497      | 894,863      | 1,058,440    | 888,823      | 985,360      |
| 49,880                                                                                           | -            | -            | -            | -            | -            |
| 28,223,794                                                                                       | 30,002,209   | 31,598,458   | 32,747,900   | 33,926,861   | 33,955,733   |
| -                                                                                                | -            | -            | -            | -            | -            |
| 421,064                                                                                          | 289,536      | 176,998      | 196,127      | 534,348      | 1,055,270    |
| -                                                                                                | -            | -            | -            | -            | 18,857       |
| -                                                                                                | -            | 71,058       | -            | -            | -            |
| 103,333                                                                                          | 127,228      | 125,000      | 125,000      | 125,000      | 125,000      |
| 93,728,236                                                                                       | 92,159,634   | 94,582,233   | 96,644,734   | 97,808,274   | 103,765,115  |
| -                                                                                                | -            | -            | -            | -            | -            |
| 20,001                                                                                           | 12,499       | 7,003        | 1,725        | 15,484       | 24,460       |
| -                                                                                                | -            | -            | -            | -            | -            |
| (103,333)                                                                                        | (127,228)    | (125,000)    | (125,000)    | (125,000)    | (125,000)    |
| (83,332)                                                                                         | (114,729)    | (117,997)    | (123,275)    | (109,516)    | (100,540)    |
| 93,644,904                                                                                       | 92,044,905   | 94,464,236   | 96,521,459   | 97,698,758   | 103,664,575  |
| 18,670,348                                                                                       | 2,304,275    | 4,616,684    | 7,265,047    | 8,151,466    | 3,701,275    |
| 806,330                                                                                          | 1,344,475    | (427,344)    | (22,099)     | (121,994)    | 209,357      |
| \$ 19,476,678 \$ 3,648,750 \$ 4,189,340 \$ 7,242,948 \$ 8,029,472 \$ 3,910,632                   |              |              |              |              |              |

**West Des Moines Community School District**

**Fund Balances, Governmental Funds**

**Last Ten Fiscal Years**

*(modified accrual basis of accounting)*

**(Unaudited)**

|                                           | 2008                 | 2009                 | 2010                 | 2011                 |
|-------------------------------------------|----------------------|----------------------|----------------------|----------------------|
| General Fund:                             |                      |                      |                      |                      |
| Reserved                                  | \$ 55,967            | \$ 63,571            | \$ 47,441            | \$ -                 |
| Unreserved                                | 13,059,705           | 11,550,393           | 10,132,152           | -                    |
| Nonspendable                              | -                    | -                    | -                    | 48,109               |
| Restricted                                | -                    | -                    | -                    | -                    |
| Committed                                 | -                    | -                    | -                    | -                    |
| Unassigned                                | -                    | -                    | -                    | 13,896,876           |
| <b>Total General Fund</b>                 | <b>13,115,672</b>    | <b>11,613,964</b>    | <b>10,179,593</b>    | <b>13,944,985</b>    |
| All other governmental funds:             |                      |                      |                      |                      |
| Reserved                                  | 361,696              | 366,705              | -                    | -                    |
| Restricted                                | -                    | -                    | -                    | 52,594,203           |
| Unassigned                                | -                    | -                    | -                    | -                    |
| Unreserved, reported in:                  |                      |                      |                      |                      |
| Special revenue funds                     | 6,977,125            | 9,416,232            | 21,863,694           | -                    |
| Capital projects funds                    | 10,414,806           | 6,759,589            | 208,286              | -                    |
| <b>Total all other governmental funds</b> | <b>17,753,627</b>    | <b>16,542,526</b>    | <b>22,071,980</b>    | <b>52,594,203</b>    |
| <b>Total governmental funds</b>           | <b>\$ 30,869,299</b> | <b>\$ 28,156,490</b> | <b>\$ 32,251,573</b> | <b>\$ 66,539,188</b> |

NOTE: The District implemented GASB Statement No. 54 in fiscal year 2011.

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| 2012          | 2013          | 2014          | 2015          | 2016          | 2017                 |
|---------------|---------------|---------------|---------------|---------------|----------------------|
| \$ -          | \$ -          | \$ -          | \$ -          | \$ -          | -                    |
| -             | -             | -             | -             | -             | -                    |
| 62,518        | 56,188        | 59,724        | 57,385        | 55,794        | <b>71,931</b>        |
| 1,176,520     | 1,301,007     | 1,132,103     | 2,145,210     | 3,805,044     | <b>4,087,212</b>     |
| -             | 1,770,000     | 3,346,429     | 4,587,716     | 4,988,125     | <b>5,567,381</b>     |
| 17,459,849    | 14,424,333    | 9,252,985     | 9,218,538     | 11,844,251    | <b>17,584,460</b>    |
| 18,698,887    | 17,551,528    | 13,791,241    | 16,008,849    | 20,693,214    | <b>27,310,984</b>    |
| -             | -             | -             | -             | -             | -                    |
| 41,111,332    | 15,933,068    | 32,472,010    | 35,303,565    | 34,543,070    | <b>32,540,820</b>    |
| -             | (1,811,965)   | -             | -             | -             | -                    |
| -             | -             | -             | -             | -             | -                    |
| -             | -             | -             | -             | -             | -                    |
| 41,111,332    | 14,121,103    | 32,472,010    | 35,303,565    | 34,543,070    | <b>32,540,820</b>    |
| \$ 59,810,219 | \$ 31,672,631 | \$ 46,263,251 | \$ 51,312,414 | \$ 55,236,284 | <b>\$ 59,851,804</b> |

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**West Des Moines Community School District**

**Governmental Funds Revenues**

**Last Ten Fiscal Years**

*(modified accrual basis of accounting)*

**(Unaudited)**

|                                  | 2008                  | 2009                  | 2010                  | 2011                  |
|----------------------------------|-----------------------|-----------------------|-----------------------|-----------------------|
| Local sources:                   |                       |                       |                       |                       |
| Property taxes                   | \$ 49,505,540         | \$ 51,501,548         | \$ 53,550,085         | \$ 56,142,287         |
| Statewide sales and services tax | 8,598,401             | 8,818,452             | 7,138,043             | 8,083,690             |
| Utility replacement              | 892,235               | 911,443               | 923,850               | 898,786               |
| Other local sources              | 1,931,651             | 2,304,699             | 1,935,318             | 1,635,937             |
| Investment earnings (loss)       | 1,596,395             | 665,647               | 497,572               | 359,734               |
| Student activities               | 4,549,495             | 5,765,422             | 5,894,502             | 5,521,807             |
| <b>Total local sources</b>       | <b>67,073,717</b>     | <b>69,967,211</b>     | <b>69,939,370</b>     | <b>72,642,241</b>     |
| State sources:                   |                       |                       |                       |                       |
| State foundation aid             | 27,966,365            | 28,485,951            | 22,225,013            | 27,433,861            |
| Statewide sales and services tax | -                     | -                     | -                     | -                     |
| Other state sources              | 4,779,621             | 5,956,369             | 5,778,341             | 6,765,116             |
| <b>Total state sources</b>       | <b>32,745,986</b>     | <b>34,442,320</b>     | <b>28,003,354</b>     | <b>34,198,977</b>     |
| Federal sources                  | 2,107,616             | 3,004,605             | 6,877,742             | 3,667,491             |
| <b>Total revenues</b>            | <b>\$ 101,927,319</b> | <b>\$ 107,414,136</b> | <b>\$ 104,820,466</b> | <b>\$ 110,508,709</b> |





## West Des Moines Community School District

### Governmental Funds Expenditures and Debt Service Ratio

#### Last Ten Fiscal Years\*

(modified accrual basis of accounting)

(Unaudited)

|                                                         | 2008                 | 2009                  | 2010                  | 2011                  |
|---------------------------------------------------------|----------------------|-----------------------|-----------------------|-----------------------|
| Instruction                                             | \$ 54,594,512        | \$ 59,824,159         | \$ 61,925,969         | \$ 60,505,485         |
| Support services:                                       |                      |                       |                       |                       |
| Student support services                                | 2,696,984            | 2,914,955             | 2,894,430             | 3,084,473             |
| Instructional staff support services                    | 4,248,509            | 3,819,415             | 4,081,780             | 4,347,578             |
| General administration                                  | 1,843,941            | 1,656,342             | 1,748,749             | 1,907,523             |
| School/building administration                          | 3,962,645            | 4,321,535             | 4,391,135             | 4,471,741             |
| Business administration                                 | 2,832,788            | 3,033,593             | 3,599,677             | 2,987,958             |
| Plant operation and maintenance                         | 8,008,586            | 8,591,118             | 7,862,209             | 8,079,892             |
| Student transportation                                  | 3,152,857            | 3,641,335             | 3,468,246             | 3,697,114             |
| Noninstructional programs                               | 407,431              | 455,637               | 470,486               | 479,502               |
| Other                                                   | 2,967,752            | 3,155,688             | 3,456,794             | 3,548,218             |
| Capital outlay                                          | 7,605,646            | 12,018,829            | 15,124,523            | 19,305,367            |
| Debt service:                                           |                      |                       |                       |                       |
| Principal                                               | 6,010,000            | 6,275,000             | 6,530,000             | 1,150,000             |
| Interest                                                | 821,688              | 571,713               | 291,600               | 294,211               |
| Bond issuance costs                                     | -                    | -                     | -                     | -                     |
| <b>Total expenditures</b>                               | <b>\$ 99,153,339</b> | <b>\$ 110,279,319</b> | <b>\$ 115,845,598</b> | <b>\$ 113,859,062</b> |
| Debt service as a percentage of noncapital expenditures | 7.50%                | 7.00%                 | 6.80%                 | 1.50%                 |

\* Support service expenditures were not broken down into further functional detail for three years. Therefore, only total support services are shown.

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| 2012  |             | 2013 |             | 2014 |             | 2015 |             | 2016 |             | 2017 |             |
|-------|-------------|------|-------------|------|-------------|------|-------------|------|-------------|------|-------------|
| \$    | 63,208,763  | \$   | 68,764,247  | \$   | 69,137,320  | \$   | 72,991,704  | \$   | 76,645,305  | \$   | 77,083,227  |
|       | 3,288,569   |      | 3,280,527   |      | 3,435,195   |      | 3,283,989   |      | 3,316,259   |      | 3,239,452   |
|       | 4,310,078   |      | 4,763,412   |      | 4,593,121   |      | 4,095,927   |      | 4,195,707   |      | 4,468,736   |
|       | 4,086,991   |      | 2,022,910   |      | 3,921,230   |      | 1,765,809   |      | 1,636,965   |      | 1,287,262   |
|       | 4,553,847   |      | 4,617,999   |      | 4,517,735   |      | 4,536,649   |      | 4,492,476   |      | 4,045,281   |
|       | 3,097,271   |      | 3,047,268   |      | 3,160,543   |      | 2,878,381   |      | 3,235,918   |      | 3,284,187   |
|       | 8,105,239   |      | 8,756,072   |      | 8,945,443   |      | 8,197,498   |      | 8,813,470   |      | 8,906,209   |
|       | 3,985,699   |      | 4,018,546   |      | 4,145,312   |      | 3,985,448   |      | 3,685,734   |      | 3,155,733   |
|       | 506,046     |      | 511,282     |      | 534,005     |      | 506,448     |      | 503,479     |      | 468,672     |
|       | 3,310,851   |      | 3,414,456   |      | 3,596,211   |      | 3,741,994   |      | 3,804,493   |      | 3,821,300   |
|       | 30,064,119  |      | 33,341,453  |      | 24,355,046  |      | 7,224,711   |      | 3,995,791   |      | 7,774,638   |
|       | 4,735,000   |      | 4,665,000   |      | 4,755,000   |      | 5,340,000   |      | 33,425,000  |      | 5,935,000   |
|       | 1,194,187   |      | 1,409,645   |      | 1,385,818   |      | 2,006,062   |      | 2,230,515   |      | 2,618,198   |
|       | -           |      | -           |      | 244,332     |      | -           |      | -           |      | -           |
| \$    | 134,446,660 | \$   | 142,612,817 | \$   | 136,726,311 | \$   | 120,554,620 | \$   | 149,981,112 | \$   | 126,087,895 |
| <hr/> |             |      |             |      |             |      |             |      |             |      |             |
|       | 5.68%       |      | 5.40%       |      | 5.75%       |      | 6.50%       |      | 24.49%      |      | 7.17%       |

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**West Des Moines Community School District**

**Other Financing Sources and Uses and Net Change in Fund Balances**

**Governmental Funds**

**Last Ten Fiscal Years**

*(modified accrual basis of accounting)*

**(Unaudited)**

|                                                              | 2008                | 2009                  | 2010                | 2011                 |
|--------------------------------------------------------------|---------------------|-----------------------|---------------------|----------------------|
| Excess (deficiency) of revenues over<br>(under) expenditures | \$ 2,773,980        | \$ (2,865,183)        | \$ (11,025,132)     | \$ (3,350,353)       |
| Other financing sources (uses):                              |                     |                       |                     |                      |
| Proceeds from the sale of capital assets                     | 9,238               | 15,746                | 25,029              | 9,978                |
| Transfers in                                                 | 9,689,101           | 9,703,929             | 10,874,263          | 12,644,611           |
| Transfers out                                                | (9,683,251)         | (9,567,301)           | (10,779,077)        | (12,619,611)         |
| Capital loan notes issued                                    | -                   | -                     | 15,000,000          | 36,825,000           |
| Premiums on bonds                                            | -                   | -                     | -                   | 777,990              |
| Discounts on bonds                                           | -                   | -                     | -                   | -                    |
| Revenue bonds issued                                         | -                   | -                     | -                   | -                    |
| General obligation bonds issued                              | -                   | -                     | -                   | -                    |
| Payments to escrow agent to refund bond:                     | -                   | -                     | -                   | -                    |
| <b>Total other financing sources<br/>(uses)</b>              | 15,088              | 152,374               | 15,120,215          | 37,637,968           |
| <b>Net change in fund balances</b>                           | <b>\$ 2,789,068</b> | <b>\$ (2,712,809)</b> | <b>\$ 4,095,083</b> | <b>\$ 34,287,615</b> |

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| 2012            | 2013            | 2014            | 2015         | 2016            | 2017         |
|-----------------|-----------------|-----------------|--------------|-----------------|--------------|
| \$ (16,809,469) | \$ (28,314,729) | \$ (19,245,297) | \$ 4,234,122 | \$ (23,588,764) | \$ 4,458,347 |
| 81,955          | 49,913          | 71,510          | 690,041      | 570,599         | 32,173       |
| 28,109,224      | 6,310,959       | 6,353,818       | 7,562,062    | 35,851,496      | 8,780,198    |
| (28,005,891)    | (6,183,731)     | (6,228,818)     | (7,437,062)  | (35,726,496)    | (8,655,198)  |
| -               | -               | -               | -            | 23,665,000      | -            |
| -               | -               | 1,559,407       | -            | 3,152,035       | -            |
| (104,788)       | -               | -               | -            | -               | -            |
| 10,000,000      | -               | 32,080,000      | -            | -               | -            |
| -               | -               | -               | -            | -               | -            |
| -               | -               | -               | -            | -               | -            |
| 10,080,500      | 177,141         | 33,835,917      | 815,041      | 27,512,634      | 157,173      |
| \$ (6,728,969)  | \$ (28,137,588) | \$ 14,590,620   | \$ 5,049,163 | \$ 3,923,870    | \$ 4,615,520 |

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**WEST DES MOINES**  
**COMMUNITY SCHOOLS**

# West Des Moines Community School District

## Assessed Value and Actual Value of Taxable Property Last Ten Fiscal Years (Unaudited)

| Fiscal<br>Year | Assessed Value       |                      |                                                     |                     |    | Total<br>Assessed<br>Value | Total Taxable<br>Value | Total<br>Direct<br>Rate (a) |
|----------------|----------------------|----------------------|-----------------------------------------------------|---------------------|----|----------------------------|------------------------|-----------------------------|
|                | Real<br>Property     | Personal<br>Property | Railroad and<br>Utilities Without<br>Gas & Electric | Gas and<br>Electric |    |                            |                        |                             |
| 2008           | \$ 5,619,764,780     | \$ -                 | \$ 16,896,120                                       | \$ 87,446,791       | \$ | 5,724,107,691              | \$ 3,644,466,820       | 13.70031                    |
| 2009           | 5,917,712,535        | -                    | 16,985,989                                          | 67,996,345          |    | 6,002,694,869              | 3,727,115,928          | 13.69179                    |
| 2010           | 6,054,875,121        | -                    | 17,067,588                                          | 68,453,109          |    | 6,140,395,818              | 3,896,794,378          | 13.64410                    |
| 2011           | 6,245,066,680        | -                    | 22,221,322                                          | 64,984,529          |    | 6,332,272,531              | 4,073,324,916          | 13.94266                    |
| 2012           | 6,017,878,720        | -                    | 23,181,069                                          | 69,061,377          |    | 6,110,121,166              | 3,979,089,714          | 13.89454                    |
| 2013           | 6,180,263,119        | -                    | 23,181,069                                          | 68,129,330          |    | 6,271,573,518              | 3,974,375,658          | 13.30184                    |
| 2014           | 6,242,182,454        | -                    | 23,446,169                                          | 104,646,454         |    | 6,370,275,077              | 4,355,728,442          | 13.26452                    |
| 2015           | 6,186,249,251        | -                    | 24,716,450                                          | 84,952,906          |    | 6,295,918,607              | 4,275,650,297          | 13.26572                    |
| 2016           | 6,196,178,981        | -                    | 18,366,254                                          | 100,256,276         |    | 6,314,801,511              | 4,231,799,008          | 13.24189                    |
| <b>2017</b>    | <b>6,633,975,274</b> | <b>-</b>             | <b>14,750,212</b>                                   | <b>121,561,635</b>  |    | <b>6,770,287,121</b>       | <b>4,529,501,971</b>   | <b>13.26872</b>             |

Note: The assessed values are determined as of January 1, of the prior fiscal year indicated. These assessed values are used to calculate the taxable values for the second budget following assessment date. For example the total assessed value of \$5,558,206,021 from January 1, 2007 is used for the taxable values for fiscal year 2009.

Gas and electric is not subject to property tax, but instead pay utility replacement taxes.

Source: Polk County Auditor and/or Iowa Department of Management

## West Des Moines Community School District

### Direct and Overlapping Property Tax Rates

#### Last Ten Fiscal Years

*(rate per \$1,000 of assessed value)*

**(Unaudited)**

| Fiscal<br>Year | District Direct Rates |                     |                 |                 | Overlapping Rates |                  |                      |                            |
|----------------|-----------------------|---------------------|-----------------|-----------------|-------------------|------------------|----------------------|----------------------------|
|                | General<br>Purposes   | Capital<br>Purposes | Debt<br>Service | Total           | County            | City of<br>Clive | City of<br>Urbandale | City of West<br>Des Moines |
| 2008           | 11.58739              | 1.80500             | 0.30792         | 13.70031        | 10.16618          | 9.53783          | 9.22000              | 12.04990                   |
| 2009           | 11.58672              | 1.80500             | 0.30007         | 13.69179        | 10.69268          | 9.53762          | 9.22000              | 12.05000                   |
| 2010           | 11.61960              | 1.80500             | 0.21950         | 13.64410        | 10.54212          | 9.53764          | 9.22000              | 12.05000                   |
| 2011           | 12.13766              | 1.80500             | -               | 13.94266        | 10.61771          | 9.53866          | 9.32000              | 12.05000                   |
| 2012           | 12.04454              | 1.80500             | -               | 13.84954        | 10.60847          | 9.54485          | 9.52000              | 12.05000                   |
| 2013           | 11.46603              | 1.83581             | -               | 13.30184        | 10.65855          | 9.98810          | 9.62000              | 12.05000                   |
| 2014           | 11.44810              | 1.81642             | -               | 13.26452        | 11.49540          | 9.98809          | 9.57000              | 12.05000                   |
| 2015           | 11.55881              | 1.70691             | -               | 13.26572        | 11.72039          | 9.98952          | 9.72000              | 12.05000                   |
| 2016           | 11.43689              | 1.80500             | -               | 13.24189        | 11.86039          | 9.98951          | 9.82000              | 12.00000                   |
| <b>2017</b>    | <b>11.46372</b>       | <b>1.80500</b>      | -               | <b>13.26872</b> | <b>11.86039</b>   | <b>10.14499</b>  | <b>9.92000</b>       | <b>12.00000</b>            |

**Source:** Polk County Auditor's Office.

#### Note:

\* Includes levies for operating and debt service costs.

The District has certain restrictions on raising the property tax rate.

General Fund - the District's enrollment as well as District property value and state aid is formula calculated to determine the maximum amount of allowable funding.

Special Revenue Funds - The Special Revenue Fund, PPEL has a restriction from voters of \$1.00 and board imposed levy up to \$0.33.



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| Overlapping Rates          |                              |                            |                |                    |                 |
|----------------------------|------------------------------|----------------------------|----------------|--------------------|-----------------|
| City of<br>Windsor Heights | Area XI<br>Community College | Special Rates for City of: |                |                    |                 |
|                            |                              | Clive                      | Urbandale      | West<br>Des Moines | Windsor Heights |
| 12.40322                   | 0.60276                      | -                          | 0.35918        | 0.16848            | 0.16848         |
| 14.79484                   | 0.56386                      | -                          | 0.33994        | 0.16550            | 0.16550         |
| 13.76398                   | 0.56778                      | -                          | 0.33537        | 0.24131            | 0.24131         |
| 13.31499                   | 0.56008                      | -                          | 0.08005        | 0.28411            | 0.28411         |
| 13.31486                   | 0.59018                      | -                          | 0.08531        | 0.38435            | 0.38435         |
| 13.31499                   | 0.58466                      | -                          | 0.06011        | 0.47069            | 0.47069         |
| 13.89892                   | 0.69120                      | -                          | 0.06911        | 0.47163            | 0.47163         |
| 15.34886                   | 0.65724                      | -                          | 0.05699        | 0.49915            | 0.49915         |
| 15.07588                   | 0.67574                      | -                          | 0.05484        | 0.34610            | 0.34610         |
| <b>15.66110</b>            | <b>0.72334</b>               | -                          | <b>0.06151</b> | <b>0.30810</b>     | <b>0.30810</b>  |

## West Des Moines Community School District

### Principal Property Taxpayers Current Year and Nine Years Ago (Unaudited)

| Taxpayer                             | 2017                  |      |                                   | 2008                  |      |                                   |
|--------------------------------------|-----------------------|------|-----------------------------------|-----------------------|------|-----------------------------------|
|                                      | Taxable Value         | Rank | Percentage of Total Taxable Value | Taxable Value         | Rank | Percentage of Total Taxable Value |
| Microsoft Corporation                | \$ 95,453,280         | 1    | 2.16%                             |                       |      |                                   |
| Valley West Mall LLC                 | 60,885,000            | 2    | 1.38%                             | 70,218,000            | 1    | 1.93%                             |
| Regency West Office Partners LLC     | 38,788,200            | 3    | 0.88%                             |                       |      |                                   |
| IFBF Property Management Inc         | 36,999,630            | 4    | 0.84%                             | 45,559,700            | 3    | 1.25%                             |
| MRES West Glen Holdings LP           | 34,514,527            | 5    | 0.78%                             |                       |      |                                   |
| Water Tower Place Shopping Center LC | 28,089,270            | 6    | 0.64%                             | 28,776,100            | 8    | 0.79%                             |
| 1776 Westlakes Parkway LC            | 26,469,138            | 7    | 0.60%                             | 32,023,000            | 6    | 0.88%                             |
| Three Fountains II LLC               | 23,938,200            | 8    | 0.54%                             |                       |      |                                   |
| True Parkway LLC                     | 19,577,250            | 9    | 0.44%                             |                       |      |                                   |
| Colby West Univ Trust                | 18,624,600            | 10   | 0.42%                             | 26,646,500            | 9    | 0.73%                             |
| Mid-America Investment Company       |                       |      |                                   | 63,743,000            | 2    | 1.75%                             |
| Deerfield Retirement Community, Inc. |                       |      |                                   | 45,003,000            | 4    | 1.23%                             |
| West Glen I LLC                      |                       |      |                                   | 33,211,100            | 5    | 0.91%                             |
| LADCO Properties                     |                       |      |                                   | 30,936,750            | 7    | 0.85%                             |
| Hy-Vee Food Store, Inc.              |                       |      |                                   | 23,676,600            | 10   | 0.65%                             |
| <b>Total</b>                         | <b>\$ 383,339,095</b> |      | <b>8.68%</b>                      | <b>\$ 399,793,750</b> |      | <b>10.97%</b>                     |
| <b>Total taxable value</b>           | <b>4,413,982,275</b>  |      |                                   | <b>3,644,466,820</b>  |      |                                   |

Source: Polk County Auditor.

## West Des Moines Community School District

### Property Tax Levies and Collections

#### Last Ten Fiscal Years

(Unaudited)

| Fiscal<br>Year | Taxes Levied<br>for the<br>Fiscal Year |                   | Collected Within the<br>Fiscal Year of the Levy |                       | Collections<br>In Subsequent<br>Years | Total Collections to Date* |                       |
|----------------|----------------------------------------|-------------------|-------------------------------------------------|-----------------------|---------------------------------------|----------------------------|-----------------------|
|                |                                        |                   | Amount*                                         | Percentage<br>of Levy |                                       | Amount                     | Percentage<br>of Levy |
| 2008           | \$                                     | 50,488,661        | \$ 50,397,775                                   | 99.82%                | \$ 19,186                             | \$ 50,416,961              | 99.86%                |
| 2009           |                                        | 52,585,141        | 52,443,349                                      | 99.73%                | 85                                    | 52,443,434                 | 99.73%                |
| 2010           |                                        | 54,596,491        | 53,550,085                                      | 98.08%                | 4,796                                 | 53,554,881                 | 98.09%                |
| 2011           |                                        | 56,344,110        | 56,142,286                                      | 99.64%                | 3,276                                 | 56,145,562                 | 99.65%                |
| 2012           |                                        | 57,734,021        | 57,379,916                                      | 99.39%                | 8,603                                 | 57,388,518                 | 99.40%                |
| 2013           |                                        | 53,294,789        | 52,935,461                                      | 99.33%                | 323,440                               | 53,258,901                 | 99.93%                |
| 2014           |                                        | 55,235,446        | 54,696,827                                      | 99.02%                | 506,156                               | 55,202,983                 | 99.94%                |
| 2015           |                                        | 55,114,810        | 54,985,578                                      | 99.77%                | -                                     | 54,985,578                 | 99.77%                |
| 2016           |                                        | 54,473,339        | 54,477,366                                      | 100.01%               | -                                     | 54,477,366                 | 100.01%               |
| <b>2017</b>    |                                        | <b>57,668,175</b> | <b>57,620,284</b>                               | <b>99.92%</b>         | -                                     | <b>57,620,284</b>          | <b>99.92%</b>         |

**Source:** Polk County Auditor and School District financial records.

Note: Information regarding subsequent years collections of prior tax levies is not available.

**West Des Moines Community School District**

**Actual Historic Sales, Services and Use Tax Collections**

**Last Ten Fiscal Years**

**(Unaudited)**

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Presented below is a table illustrating the actual sales, services and use tax collections of the District for the period indicated, on an accrual basis.

| Fiscal year | Dallas Co.<br>Revenue | Polk Co.<br>Revenue | Total<br>Revenue    |
|-------------|-----------------------|---------------------|---------------------|
| <b>2017</b> | <b>\$ 726,509</b>     | <b>\$ 7,908,496</b> | <b>\$ 8,635,005</b> |
| 2016        | 3,360                 | 8,724,213           | 8,727,573           |
| 2015        | 65,427                | 8,535,767           | 8,601,194           |
| 2014        | 72,307                | 7,853,614           | 7,925,921           |
| 2013        | 83,950                | 7,774,390           | 7,858,340           |
| 2012        | 79,765                | 7,476,891           | 7,556,656           |
| 2011        | 75,600                | 8,008,090           | 8,083,690           |
| 2010        | 53,267                | 7,084,776           | 7,138,043           |
| 2009        | 78,285                | 8,009,537           | 8,087,822           |
| 2008        | 83,957                | 8,760,395           | 8,844,352           |

Source: District records.

## West Des Moines Community School District

### Outstanding Debt by Type Last Ten Fiscal Years (Unaudited)

| Fiscal Year | General Obligation Bonds | Sales Tax Revenue Bonds | Capital Loan Notes | Total      | G.O. Bonds as a Percent of Actual Taxable Value of Property | G.O. Bonds Per Capita Personal Income | G.O. Bonds as a Percent of Personal Income |
|-------------|--------------------------|-------------------------|--------------------|------------|-------------------------------------------------------------|---------------------------------------|--------------------------------------------|
| 2008        | 2,345,000                | 10,460,000              | -                  | 12,805,000 | 0.04                                                        | *                                     | *                                          |
| 2009        | 1,190,000                | 5,340,000               | -                  | 6,530,000  | 0.03                                                        | *                                     | *                                          |
| 2010        | -                        | -                       | 15,000,000         | 15,000,000 | *                                                           | *                                     | *                                          |
| 2011        | -                        | -                       | 50,675,000         | 50,675,000 | *                                                           | *                                     | *                                          |
| 2012        | -                        | 10,000,000              | 45,940,000         | 55,940,000 | *                                                           | *                                     | *                                          |
| 2013        | -                        | 10,000,000              | 41,275,000         | 51,275,000 | *                                                           | *                                     | *                                          |
| 2014        | -                        | 43,542,162              | 37,064,593         | 80,606,755 | *                                                           | *                                     | *                                          |
| 2015        | -                        | 42,959,365              | 32,131,794         | 75,091,159 | *                                                           | *                                     | *                                          |
| 2016        | -                        | 41,101,568              | 26,643,301         | 67,744,869 | *                                                           | *                                     | *                                          |
| 2017        | -                        | 39,213,772              | 21,902,641         | 61,116,413 | *                                                           | *                                     | *                                          |

Source: District records.

\* Information not available

N/A = not available.



**WEST DES MOINES**  
**COMMUNITY SCHOOLS**

## West Des Moines Community School District

### Direct and Overlapping Governmental Activities Debt

As of June 30, 2017

(Unaudited)

| Governmental Unit                        | Debt<br>Outstanding   | Estimated<br>Percentage<br>Applicable* | Estimated<br>Share of Direct and<br>Overlapping Debt |
|------------------------------------------|-----------------------|----------------------------------------|------------------------------------------------------|
| Polk County                              | \$ 157,620,758        | 22.24%                                 | \$ 35,054,857                                        |
| City of West Des Moines                  | 116,009,777           | 99.94%                                 | 115,940,171                                          |
| City of Des Moines                       | 416,021,618           | 0.20%                                  | 832,043                                              |
| City of Clive                            | 24,630,000            | 100.00%                                | 24,630,000                                           |
| City of Urbandale                        | 67,071,688            | 19.61%                                 | 13,152,758                                           |
| City of Windsor Heights                  | 11,575,376            | 50.05%                                 | 5,793,476                                            |
| <b>Subtotal, overlapping debt</b>        | \$ 792,929,217        |                                        | 195,403,305                                          |
| District direct debt, capital loan notes | 21,902,641            | 100.00%                                | 21,902,641                                           |
| <b>Total direct and overlapping debt</b> | <u>\$ 814,831,858</u> |                                        | <u>\$ 217,305,946</u>                                |

Source: Polk County Auditor.

Source: Treasurer of State of Iowa.

\* Compares the taxable valuation of the West Des Moines Community School District to the taxable valuation of each taxing district located within the District. Includes TIF incremental values. Does not include ag land.

## West Des Moines Community School District

### Legal Debt Margin Information Last Ten Fiscal Years (Unaudited)

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|                                                                                 | 2008                  | 2009                  | 2010                  | 2011                  |
|---------------------------------------------------------------------------------|-----------------------|-----------------------|-----------------------|-----------------------|
| Debt limit                                                                      | \$ 299,340,175        | \$ 327,397,075        | \$ 329,837,128        | \$ 330,961,855        |
| Total net debt applicable to limit                                              | 12,805,000            | 6,530,000             | 15,000,000            | 50,675,000            |
| Legal debt margin                                                               | <u>\$ 286,535,175</u> | <u>\$ 320,867,075</u> | <u>\$ 314,837,128</u> | <u>\$ 280,286,855</u> |
| <b>Total net debt applicable to the limit<br/>as a percentage of debt limit</b> | 4.28%                 | 1.99%                 | 4.55%                 | 15.31%                |

Source: Polk County Auditor and District records.



Legal Debt Margin Calculation for Fiscal Year 2017

|                                   |             |                |                |                |                |                         |
|-----------------------------------|-------------|----------------|----------------|----------------|----------------|-------------------------|
| Assessed value                    |             |                |                |                |                | <b>\$ 6,861,233,414</b> |
| Debt limit (5% of assessed value) |             |                |                |                |                | <b>\$ 343,061,671</b>   |
| Debt applicable to limit          |             |                |                |                |                | <b>57,565,000</b>       |
| Legal debt margin                 |             |                |                |                |                | <b>\$ 285,496,671</b>   |
|                                   | 2012        | 2013           | 2014           | 2015           | 2016           | 2017                    |
| \$                                | 319,508,048 | \$ 313,578,676 | \$ 314,795,930 | \$ 315,740,076 | \$ 338,308,136 | <b>\$ 343,061,671</b>   |
|                                   | 55,940,000  | 51,275,000     | 78,600,000     | 73,260,000     | 63,500,000     | <b>57,565,000</b>       |
| \$                                | 263,568,048 | \$ 262,303,676 | \$ 236,195,930 | \$ 242,480,076 | \$ 274,808,136 | <b>\$ 285,496,671</b>   |
|                                   | 17.51%      | 16.35%         | 24.97%         | 23.20%         | 18.77%         | 16.78%                  |

# West Des Moines Community School District

## Pledged Revenue Coverage

### Last Ten Fiscal Years

(Unaudited)

| Fiscal<br>Year | Local Option Sales Tax Revenue Bonds |              |            |              |       | Coverage |
|----------------|--------------------------------------|--------------|------------|--------------|-------|----------|
|                | Revenue                              | Debt Service |            |              | Total |          |
|                |                                      | Principal    | Interest   |              |       |          |
| 2008           | \$ 9,783,186                         | \$ 4,920,000 | \$ 692,875 | \$ 5,612,875 | 1.74  |          |
| 2009           | 8,818,452                            | 5,120,000    | 483,775    | 5,603,775    | 1.57  |          |
| 2010           | 12,296,701                           | 5,340,000    | 246,975    | 5,586,975    | 2.20  |          |
| 2011           | 8,083,690                            | 1,150,000    | 294,211    | 1,444,211    | 5.60  |          |
| 2012           | 7,579,856                            | 4,735,000    | 1,194,187  | 5,929,187    | 78.22 |          |
| 2013           | 7,858,340                            | 4,665,000    | 1,409,645  | 6,074,645    | 77.30 |          |
| 2014           | 7,925,921                            | 4,755,000    | 1,385,818  | 6,140,818    | 77.48 |          |
| 2015           | 8,601,194                            | 5,340,000    | 2,006,062  | 7,346,062    | 85.41 |          |
| 2016           | 8,727,573                            | 1,760,000    | 1,314,073  | 3,074,073    | 35.22 |          |
| 2017           | 8,635,006                            | 1,790,000    | 1,005,358  | 2,795,358    | 32.37 |          |

Source: District records.

**West Des Moines Community School District**

**Current Statewide Receipts of the SAVE Tax - Average Per Pupil  
Last Six Fiscal Years  
(Unaudited)**

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| Fiscal Year | Statewide<br>Disbursements<br>(1) | Statewide<br>Enrollment<br>(Prior<br>October Count) | Statewide<br>Average<br>Revenue<br>Per Student (2) |
|-------------|-----------------------------------|-----------------------------------------------------|----------------------------------------------------|
| <b>2017</b> | 454,315,075                       | 483,451                                             | \$ 939.73                                          |
| 2016        | 453,349,009                       | 480,772                                             | \$ 942.96                                          |
| 2015        | 441,852,491                       | 478,921                                             | \$ 922.60                                          |
| 2014        | 430,107,790                       | 476,245                                             | \$ 903.12                                          |
| 2013        | 410,948,081                       | 473,504                                             | \$ 867.89                                          |
| 2012        | 410,776,902                       | 473,493                                             | \$ 867.55                                          |
| 2011        | 384,322,447                       | 474,227                                             | \$ 810.42                                          |
| 2010        | 369,325,651                       | 477,019                                             | \$ 774.24                                          |
| 2009        | 361,434,007                       | 480,609                                             | \$ 752.03                                          |
| 2008        | 365,285,582                       | 482,584                                             | \$ 756.94                                          |

(1) Fiscal year 2008 through 2015 Statewide disbursements are final receipts.

(2) Statewide Average Revenue Per Student is based on the State's projected statewide receipts for each year.

Source: Department of Revenue, State of Iowa and District records.

## West Des Moines Community School District

### Estimated Receipts of the Tax Available for Distribution (Unaudited)

Table I: Assuming no growth in statewide revenues and no enrollment changes

| Fiscal Year June 30: | Total<br>Revenues (1) | Total<br>Enrollment | Average<br>Per Student |
|----------------------|-----------------------|---------------------|------------------------|
| 2016                 | 440,128,399           | 478,921             | 919                    |
| 2017                 | 440,128,399           | 478,921             | 919                    |
| 2018                 | 440,128,399           | 478,921             | 919                    |
| 2019                 | 440,128,399           | 478,921             | 919                    |
| 2020                 | 440,128,399           | 478,921             | 919                    |
| 2021                 | 440,128,399           | 478,921             | 919                    |
| 2022                 | 440,128,399           | 478,921             | 919                    |
| 2023                 | 440,128,399           | 478,921             | 919                    |
| 2024                 | 440,128,399           | 478,921             | 919                    |
| 2025                 | 440,128,399           | 478,921             | 919                    |
| 2026                 | 440,128,399           | 478,921             | 919                    |
| 2027                 | 440,128,399           | 478,921             | 919                    |
| 2028                 | 440,128,399           | 478,921             | 919                    |
| 2029                 | 440,128,399           | 478,921             | 919                    |
| 2030                 | 220,064,200           | 478,921             | 460                    |

Table II: Assuming growth in statewide revenues at historical rates and enrollment changes at historic rates

| Fiscal Year June 30: | Total<br>Revenues (1)(2) | Total<br>Enrollment | Average<br>Per Student |
|----------------------|--------------------------|---------------------|------------------------|
| 2015                 | \$ 440,128,399           | 478,921             | 919                    |
| 2016                 | 448,930,967              | 480,720             | 934                    |
| 2017                 | 457,909,586              | 481,756             | 951                    |
| 2018                 | 467,067,778              | 482,293             | 968                    |
| 2019                 | 476,409,134              | 483,109             | 986                    |
| 2020                 | 476,409,134              | 483,641             | 985                    |
| 2021                 | 476,409,134              | 483,641             | 985                    |
| 2022                 | 476,409,134              | 483,641             | 985                    |
| 2023                 | 476,409,134              | 483,641             | 985                    |
| 2024                 | 476,409,134              | 483,641             | 985                    |
| 2025                 | 476,409,134              | 483,641             | 985                    |
| 2026                 | 476,409,134              | 483,641             | 985                    |
| 2027                 | 476,409,134              | 483,641             | 985                    |
| 2028                 | 476,409,134              | 483,641             | 985                    |
| 2029                 | 476,409,134              | 483,641             | 985                    |
| 2030                 | 238,204,567              | 483,641             | 493                    |

(1) The tax expires December 31, 2029 for Dallas County and schools will receive revenues for only one-half of fiscal year 2030.

(2) The assumption for growth in retail sales is based on the 10 year growth of Taxable Sales of approximately 2.00%.

Fiscal Years 2015 through 2019 are projected by the Iowa Department of Education. Fiscal Year 2020-2030 assumes no growth.

Source: District records.

## West Des Moines Community School District

### Estimated Future Tax Revenues (Unaudited)

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Presented below is a table illustrating the estimated collections of the tax for the periods indicated, using the assumptions below:

| Fiscal Year June 30: | Without Growth                    | With Growth                       |
|----------------------|-----------------------------------|-----------------------------------|
|                      | Estimated<br>Collection<br>(1)(3) | Estimated<br>Collection<br>(2)(3) |
| 2016                 | 7,910,206                         | 8,456,436                         |
| 2017                 | 7,910,206                         | 8,610,354                         |
| 2018                 | 7,910,206                         | 8,764,272                         |
| 2019                 | 7,910,206                         | 8,927,244                         |
| 2020                 | 7,910,206                         | 8,918,190                         |
| 2021                 | 7,910,206                         | 8,918,190                         |
| 2022                 | 7,910,206                         | 8,918,190                         |
| 2023                 | 7,910,206                         | 8,918,190                         |
| 2024                 | 8,227,611                         | 8,918,190                         |
| 2025                 | 8,227,611                         | 8,918,190                         |
| 2026                 | 8,227,611                         | 8,918,190                         |
| 2027                 | 8,227,611                         | 8,918,190                         |
| 2028                 | 8,227,611                         | 8,918,190                         |
| 2029                 | 8,227,611                         | 8,918,190                         |
| 2030                 | 4,113,805                         | 4,463,622                         |

(1) FY2015 Tax Revenue is based on Iowa Department of Revenue estimates and includes a projection for the November 2014 reconciliation payment in the amount of \$400,551 which represents the remaining 5% of the collections estimated by the Iowa Department of Revenue.

(2) The District projects future enrollment to remain stable at 9,054. Estimated growth in District's Tax Revenue is reflective of the projected increase in the Statewide Average Revenue Per Student as previously stated.

(3) The Tax expires December 31, 2029 for Dallas County and schools will receive revenue for only one-half of the FY2030.

Source: District records.

## West Des Moines Community School District

### Projected Debt Service Coverage (Unaudited)

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| Fiscal Year June 30: | Combined P&I<br>Payments<br>(1) | Tax<br>Revenue<br>(2) | Estimated<br>Coverage |
|----------------------|---------------------------------|-----------------------|-----------------------|
| 2016                 | 3,083,998                       | 7,910,206             | 2.56 x                |
| 2017                 | 3,047,498                       | 7,910,206             | 2.60 x                |
| 2018                 | 3,032,898                       | 7,910,206             | 2.61 x                |
| 2019                 | 3,030,248                       | 7,910,206             | 2.61 x                |
| 2020                 | 3,026,648                       | 7,910,206             | 2.61 x                |
| 2021                 | 3,996,148                       | 7,910,206             | 1.98 x                |
| 2022                 | 3,962,298                       | 7,910,206             | 2.00 x                |
| 2023                 | 3,944,048                       | 7,910,206             | 2.01 x                |
| 2024                 | 3,926,613                       | 7,910,206             | 2.01 x                |
| 2025                 | 3,919,063                       | 7,910,206             | 2.02 x                |
| 2026                 | 3,931,963                       | 7,910,206             | 2.01 x                |
| 2027                 | 3,954,838                       | 7,910,206             | 2.00 x                |
| 2028                 | 3,971,188                       | 7,910,206             | 1.99 x                |
| 2029                 | 3,993,238                       | 7,910,206             | 1.98 x                |

(1) For parity test calculation requirements of a fiscal year, per resolution, shall exclude any payment of principal or interest falling due on the first day of the fiscal year and include any payment of principal or interest falling due on the first day of the succeeding fiscal year.

(2) FY2015 tax revenue is based on Iowa Department of Revenue estimates and includes a projection for the November 2014 reconciliation payment in the amount of \$400,551 which represents the remaining 5% of the collections estimated by the Iowa Department of Revenue.

Source: District records.

## West Des Moines Community School District

### Retail Sales Within District

#### Last Eight Fiscal Years

(Unaudited)

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| Fiscal<br>Year | City of Clive      | City of<br>Des Moines | City of<br>Urbandale | City of<br>Windsor<br>Heights | City of *<br>West Des Moines |
|----------------|--------------------|-----------------------|----------------------|-------------------------------|------------------------------|
| 2010           | \$ 389,696,001     | \$ 3,107,944,517      | \$ 591,433,940       | \$ 31,458,649                 | \$ 1,483,724,771             |
| 2011           | 408,432,413        | 3,195,128,388         | 605,922,097          | 33,944,113                    | 1,541,230,798                |
| 2012           | 390,334,556        | 3,264,362,488         | 619,399,037          | 40,905,928                    | 1,700,406,372                |
| 2013           | 401,957,952        | 3,325,445,763         | 630,794,708          | 56,851,765                    | 1,636,714,660                |
| 2014           | 414,574,277        | 3,439,860,062         | 672,013,925          | 44,516,033                    | 1,647,831,070                |
| 2015           | 440,106,813        | 3,661,238,466         | 732,119,796          | 36,494,864                    | 1,723,946,833                |
| 2016           | 469,996,335        | 3,789,289,855         | 752,452,126          | 39,242,425                    | 1,768,926,175                |
| <b>2017</b>    | <b>502,265,386</b> | <b>3,851,675,382</b>  | <b>790,710,349</b>   | <b>40,007,863</b>             | <b>1,796,720,183</b>         |

Source: Iowa Department of Revenue website

\* Includes Dallas County and Polk County

## West Des Moines Community School District

### Debt Ratios and Valuation Per Capita

Year Ended June 30, 2017

(Unaudited)

| Debt Ratios:                                          | General<br>Obligation<br>Debt | (1)<br>Debt/Actual<br>Market Value | (2)<br>Debt/Taxable<br>Value | (3)<br>Debt Per Capita |
|-------------------------------------------------------|-------------------------------|------------------------------------|------------------------------|------------------------|
|                                                       |                               | \$ (6,770,287,121)                 | \$ (4,529,501,971)           | (64,104)               |
| District's Total General<br>Obligation Debt           | \$ 21,902,641                 | 0.32%                              | 0.48%                        | \$ 341.67              |
| District's Proportionate Share of<br>Overlapping Debt | 195,403,305                   | 2.89%                              | 4.31%                        | \$ 3,048.22            |
| District's Net Overall Debt                           | \$ 217,305,946                | 3.21%                              | 4.79%                        | \$ 3,389.89            |

(1) Based on the District's 1/1/15 Actual Valuation including Ag Land & Buildings, Taxable TIF Increment and all Utilities.

(2) Based on the District's 1/1/15 Taxable Valuation including Ag Land & Buildings, Taxable TIF Increment and all Utilities.

(3) Population based on the 2010 Census Demographic Summary, U.S. Census Bureau.

| Valuation Per Capita: | Valuation        |    | Valuation Per Capita |  |
|-----------------------|------------------|----|----------------------|--|
|                       | 1/1/2016         |    | (64,104)             |  |
| 100% Actual Valuation | \$ 6,770,287,121 | \$ | 105,614              |  |
| Taxable Valuation     | \$ 4,529,501,971 | \$ | 70,659               |  |

(1) Based on the District's 1/1/15 Actual Valuation including Ag Land & Buildings, Taxable TIF Increment and all Utilities.

(2) Based on the District's 1/1/15 Taxable Valuation including Ag Land & Buildings, Taxable TIF Increment and all Utilities.

(3) Population based on the 2010 Census Demographic Summary, U.S. Census Bureau.



## West Des Moines Community School District

### Demographic and Economic Statistics

#### Last Ten Calendar Years

(Unaudited)

| Calendar<br>Year | Population * | Personal<br>Income<br>(Thousands of<br>Dollars) | Margin<br>of<br>Error<br>(+/-) | Per Capita<br>Personal<br>Income (1) | Margin<br>of<br>Error<br>(+/-) | Unemployment<br>Rate (2) |
|------------------|--------------|-------------------------------------------------|--------------------------------|--------------------------------------|--------------------------------|--------------------------|
| 2008             | 58,275       | 2,512,130                                       | 236,945                        | 39,717                               | 3,243                          | 2.80%                    |
| 2009             | 58,275       | 2,857,592                                       | 299,645                        | 41,567                               | 4,095                          | 4.40%                    |
| 2010             | 58,275       | 2,121,073                                       | 169,040                        | 34,193                               | 2,454                          | 4.20%                    |
| 2011             | 64,104       | 2,755,794                                       | 345,111                        | 38,490                               | 4,180                          | 4.10%                    |
| 2012             | 64,104       | 2,419,733                                       | 209,880                        | 37,134                               | 2,868                          | 3.60%                    |
| 2013             | 64,104       | 3,072,263                                       | 380,488                        | 44,854                               | 5,566                          | 3.40%                    |
| 2014             | 64,104       | 2,917,044                                       | 304,681                        | 42,707                               | 4,723                          | 3.10%                    |
| 2015             | 64,104       | 2,903,856                                       | 279,342                        | 43,304                               | 4,294                          | 2.60%                    |
| 2016             | 64,104       | 2,838,957                                       | 297,020                        | 44,512                               | 4,720                          | 2.50%                    |
| <b>2017</b>      | 64,104       | N/A                                             | N/A                            | N/A                                  | N/A                            | N/A                      |

\* Population figures related to 2010 Census Demographic Summary, U.S. Census Bureau

(1) Source: Office of Social and Economic Trend Analysis [www.seta.iastate.edu](http://www.seta.iastate.edu)

(2) Source: Iowa Workforce

N/A - Information not available

Notes: N/A = not available.

\* Based on a ten-month period, January through October.

# West Des Moines Community School District

## Principal Employers Current Year and Nine Years Ago (Unaudited)

| Employer                                        | 2017          |      |                                | 2008          |      |                                |
|-------------------------------------------------|---------------|------|--------------------------------|---------------|------|--------------------------------|
|                                                 | Employees     | Rank | Percentage of Total Employment | Employees     | Rank | Percentage of Total Employment |
| Wells Fargo & Company                           | 10,550        | 1    | 17%                            |               |      |                                |
| West Des Moines School District                 | 1,235         | 2    | 2%                             | 1,350         | 2    | 3%                             |
| Athene USA Corporation                          | 1,200         | 3    | 2%                             |               |      |                                |
| FBL Financial Group Inc.                        | 1,200         | 4    | 2%                             | 1,164         | 3    | 2%                             |
| Hy-Vee Inc.                                     | 1,121         | 5    | 2%                             | 720           | 5    | 1%                             |
| American Equity Investment Life Holding Company | 516           | 6    | 1%                             |               |      |                                |
| Sammons Financial Group                         | 508           | 7    | 1%                             |               |      |                                |
| The Iowa Clinic                                 | 505           | 8    | 1%                             |               |      |                                |
| Mediacom Communications Corporation             | 494           | 9    | 1%                             |               |      |                                |
| Metropolitan Life Insurance Company             | 490           | 10   | 1%                             |               |      |                                |
| Wells Fargo Home Mortgage                       |               |      |                                | 4,050         | 1    | 8%                             |
| Wells Fargo Card Services                       |               |      |                                | 1,088         | 4    | 2%                             |
| Iowa Foundation for Medical Care                |               |      |                                | 720           | 6    | 1%                             |
| ADP National Service Center                     |               |      |                                | 525           | 7    | 1%                             |
| GuideOne Insurance                              |               |      |                                | 523           | 8    | 1%                             |
| ITA Group                                       |               |      |                                | 450           | 9    | 1%                             |
| BF Goodrich Turbine Fuel Technologies           |               |      |                                | 418           | 10   | 1%                             |
| All other employers                             | 45,132        |      | 72%                            | 40,569        |      | 79%                            |
| <b>Total</b>                                    | <b>62,951</b> |      | <b>100%</b>                    | <b>51,577</b> |      | <b>100.0%</b>                  |

Sources:

West Des Moines Chamber of Commerce  
Iowa Workforce Development

## West Des Moines Community School District

### Population of Cities and Counties Within District Last Three U.S. Census Data Years (Unaudited)

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| Calendar<br>Year | Polk County | City of Clive | City of<br>Des Moines | City of<br>Urbandale | City of<br>Windsor<br>Heights | City of<br>West Des Moines |
|------------------|-------------|---------------|-----------------------|----------------------|-------------------------------|----------------------------|
| 1990             | 327,140     | 7,462         | 193,187               | 23,500               | 5,190                         | 31,702                     |
| 2000             | 374,601     | 12,855        | 198,682               | 29,072               | 4,805                         | 46,403                     |
| 2010             | 430,640     | 15,447        | 203,433               | 39,463               | 4,860                         | 56,609                     |

Note 1: No information is reported for Dallas County as the District is served by 1% and it is made up of rural area.

Note 2: Populations for school districts are not calculated by the U.S. Census Bureau. The population of the city and county within which the District is located best illustrates school district population trends.

Source: U.S. Census Bureau

# West Des Moines Community School District

## Full-Time Equivalent District Employees By Type Last Ten Fiscal Years (Unaudited)

|                                         | 2008           | 2009           | 2010           |
|-----------------------------------------|----------------|----------------|----------------|
| Administration:                         |                |                |                |
| Superintendent                          | 1.0            | 1.0            | 1.0            |
| Principals                              | 14.0           | 14.0           | 14.0           |
| Assistant principals                    | 10.5           | 10.5           | 10.5           |
| Other                                   | 13.5           | 13.5           | 13.5           |
| Other professionals                     | 18.5           | 18.6           | 17.8           |
| <b>Total supervisory</b>                | <b>57.5</b>    | <b>57.6</b>    | <b>56.8</b>    |
| Instruction:                            |                |                |                |
| Teacher                                 | 579.3          | 600.0          | 595.3          |
| Counselor                               | 19.5           | 19.0           | 19.0           |
| Title I                                 | 5.5            | 5.5            | 5.0            |
| Librarian                               | 10.0           | 9.5            | 9.5            |
| <b>Total instruction</b>                | <b>614.3</b>   | <b>634.0</b>   | <b>628.8</b>   |
| Student services:                       |                |                |                |
| Nurse                                   | 3.0            | 3.0            | 3.0            |
| Other professionals                     | 5.1            | 3.9            | 4.4            |
| <b>Total student services</b>           | <b>8.1</b>     | <b>6.9</b>     | <b>7.4</b>     |
| Support and administration:             |                |                |                |
| Clerical/secretarial                    | 57.7           | 63.9           | 63.3           |
| Teacher assistant                       | 211.6          | 220.4          | 202.1          |
| Other support personnel                 | 211.7          | 222.3          | 215.6          |
| Crafts/trades                           | 19.4           | 18.0           | 16.0           |
| <b>Total support and administration</b> | <b>500.4</b>   | <b>524.6</b>   | <b>497.0</b>   |
| <b>Total</b>                            | <b>1,180.3</b> | <b>1,223.1</b> | <b>1,190.0</b> |

Source: District records

| Full-Time Equivalent Employees as of June 30 |         |         |         |         |         |                | Percentage  |
|----------------------------------------------|---------|---------|---------|---------|---------|----------------|-------------|
| 2011                                         | 2012    | 2013    | 2014    | 2015    | 2016    | 2017           | 2008 - 2017 |
| 1.0                                          | 1.0     | 1.0     | 1.0     | 1.0     | 1.0     | <b>1.0</b>     | 0.0%        |
| 14.0                                         | 14.0    | 13.0    | 14.0    | 13.0    | 13.0    | <b>13.0</b>    | -7.1%       |
| 10.0                                         | 11.0    | 9.0     | 8.0     | 8.0     | 8.0     | <b>7.0</b>     | -33.3%      |
| 13.0                                         | 13.0    | 13.0    | 14.0    | 14.0    | 14.0    | <b>15.0</b>    | 11.1%       |
| 15.0                                         | 15.0    | 13.0    | 13.0    | 12.4    | 10.0    | <b>9.0</b>     | -51.4%      |
| 53.0                                         | 54.0    | 49.0    | 50.0    | 48.4    | 46.0    | <b>45.0</b>    | -21.7%      |
| 584.9                                        | 586.0   | 586.4   | 588.3   | 603.7   | 605.2   | <b>611.0</b>   | 5.5%        |
| 19.6                                         | 19.6    | 19.6    | 18.6    | 19.0    | 19.0    | <b>21.0</b>    | 7.7%        |
| 4.5                                          | 5.0     | 4.5     | 4.0     | 5.0     | 7.2     | <b>7.4</b>     | 34.5%       |
| 8.5                                          | 8.0     | 8.5     | 8.5     | 6.9     | 6.7     | <b>6.7</b>     | -33.0%      |
| 617.5                                        | 618.6   | 619.0   | 619.4   | 634.6   | 638.1   | <b>646.1</b>   | 5.2%        |
| 2.0                                          | 2.0     | 2.0     | 2.0     | 2.0     | 2.0     | <b>2.0</b>     | -33.3%      |
| 4.9                                          | 4.1     | 3.1     | 3.1     | 2.4     | 2.4     | <b>2.4</b>     | -52.9%      |
| 6.9                                          | 6.1     | 5.1     | 5.1     | 4.4     | 4.4     | <b>4.4</b>     | -45.7%      |
| 63.3                                         | 62.9    | 63.2    | 66.4    | 58.9    | 59.6    | <b>63.8</b>    | 10.6%       |
| 180.3                                        | 192.2   | 194.8   | 205.4   | 206.5   | 217.1   | <b>238.7</b>   | 12.8%       |
| 210.3                                        | 210.1   | 207.6   | 216.1   | 207.7   | 214.3   | <b>209.3</b>   | -1.1%       |
| 15.0                                         | 15.0    | 16.0    | 20.0    | 17.0    | 14.0    | <b>16.0</b>    | -17.5%      |
| 468.9                                        | 480.2   | 481.6   | 507.9   | 490.1   | 505.0   | <b>527.8</b>   | 5.5%        |
| 1,146.3                                      | 1,159.0 | 1,154.7 | 1,182.4 | 1,177.5 | 1,193.5 | <b>1,223.3</b> | 3.6%        |



**WEST DES MOINES**  
**COMMUNITY SCHOOLS**

## West Des Moines Community School District

### Operating Statistics Last Ten Fiscal Years (Unaudited)

| Fiscal Year | Dallas County | Polk County  | Certified Enrollment | General Fund Operating Expenditures | Cost Per Pupil | Percentage Change | Teaching Staff | Percentage of Students Receiving Free or Reduced-Price Meals |
|-------------|---------------|--------------|----------------------|-------------------------------------|----------------|-------------------|----------------|--------------------------------------------------------------|
| 2008        | 91            | 8,789        | 8,880                | 78,815,508                          | 8,876          | 7.96              | 614.3          | 18.04                                                        |
| 2009        | 85            | 8,757        | 8,842                | 84,710,364                          | 9,580          | 7.94              | 634.0          | 20.90                                                        |
| 2010        | 84            | 8,774        | 8,858                | 86,020,903                          | 9,711          | 1.37              | 628.8          | 23.70                                                        |
| 2011        | 104           | 8,890        | 8,994                | 87,922,521                          | 9,776          | 0.67              | 617.5          | 26.44                                                        |
| 2012        | 94            | 8,956        | 9,050                | 90,287,258                          | 9,976          | 2.05              | 618.6          | 27.59                                                        |
| 2013        | 73            | 9,030        | 9,103                | 94,997,978                          | 10,436         | 4.61              | 619.0          | 27.94                                                        |
| 2014        | 68            | 8,986        | 9,054                | 94,968,196                          | 10,489         | 1.64              | 619.4          | 30.45                                                        |
| 2015        | 65            | 9,081        | 9,146                | 98,089,800                          | 10,725         | 2.25%             | 634.6          | 31.35                                                        |
| 2016        | 51            | 8,962        | 9,013                | 101,836,294                         | 11,299         | 5.35%             | 638.1          | 34.01                                                        |
| <b>2017</b> | <b>40</b>     | <b>8,929</b> | <b>8,969</b>         | <b>101,395,015</b>                  | <b>11,305</b>  | <b>0.06%</b>      | <b>646.1</b>   | <b>32.21</b>                                                 |

Source: District records.

## West Des Moines Community School District

### School Building Information

#### Last Ten Fiscal Years

(Unaudited)

| School                                                  | 2008   | 2009   | 2010   |
|---------------------------------------------------------|--------|--------|--------|
| Elementary:                                             |        |        |        |
| Clive (1952, 1955, 1957, 1959, 1965, 1989, 1991, 2005): |        |        |        |
| Square feet                                             | 67,802 | 67,802 | 67,802 |
| Number of classrooms                                    | 21     | 21     | 21     |
| Enrollment                                              | 464    | 455    | 442    |
| Crestview (1961, 1966, 1969, 1976, 1991, 2009):         |        |        |        |
| Square feet                                             | 59,310 | 59,310 | 66,362 |
| Number of classrooms                                    | 22     | 22     | 25     |
| Enrollment                                              | 473    | 492    | 455    |
| Crossroads Park (1977, 2010):                           |        |        |        |
| Square feet                                             | 60,619 | 60,619 | 60,619 |
| Number of classrooms                                    | 21     | 21     | 21     |
| Enrollment                                              | 546    | 551    | 543    |
| Fairmeadows (1957, 1962, 1976, 1987, 1992, 2006):       |        |        |        |
| Square feet                                             | 51,435 | 51,435 | 51,435 |
| Number of classrooms                                    | 23     | 23     | 23     |
| Enrollment                                              | 487    | 498    | 496    |
| Hillside (2004):                                        |        |        |        |
| Square feet                                             | 81,222 | 81,222 | 81,222 |
| Number of classrooms                                    | 45     | 45     | 45     |
| Enrollment                                              | 595    | 614    | 574    |
| Jordan Creek (1992, 2016):                              |        |        |        |
| Square feet                                             | 82,000 | 82,000 | 82,000 |
| Number of classrooms                                    | 35     | 35     | 35     |
| Enrollment                                              | 728    | 726    | 704    |
| Rex Mathes (1951, 1956, 1969, 1989, 1991):              |        |        |        |
| Square feet                                             | 20,600 | 20,600 | 20,600 |
| Number of classrooms                                    | 3      | 3      | 3      |
| Enrollment                                              | -      | -      | -      |
| Western Hills (1967, 1968, 1988, 1992, 2009):           |        |        |        |
| Square feet                                             | 73,689 | 74,755 | 74,755 |
| Number of classrooms                                    | 25     | 27     | 27     |
| Enrollment                                              | 477    | 505    | 515    |
| Westridge (1990, 2013):                                 |        |        |        |
| Square feet                                             | 81,000 | 81,000 | 81,000 |
| Number of classrooms                                    | 32     | 32     | 32     |
| Enrollment                                              | 686    | 671    | 623    |

\* Information not available

(Continued)



| Fiscal Year |        |        |        |        |        |               |
|-------------|--------|--------|--------|--------|--------|---------------|
| 2011        | 2012   | 2013   | 2014   | 2015   | 2016   | 2017          |
| 67,802      | 67,802 | 67,802 | 67,802 | 67,802 | 67,802 | <b>67,802</b> |
| 21          | 21     | 21     | 21     | 30     | 30     | <b>30</b>     |
| 505         | 539    | 474    | 458    | 539    | 517    | <b>447</b>    |
| 73,414      | 73,414 | 73,414 | 73,414 | 73,414 | 73,414 | <b>73,414</b> |
| 25          | 25     | 25     | 25     | 30     | 30     | <b>30</b>     |
| 565         | 518    | 478    | 469    | 518    | 530    | <b>459</b>    |
| 68,875      | 68,875 | 68,875 | 68,875 | 68,875 | 68,875 | <b>68,875</b> |
| 25          | 25     | 25     | 25     | 33     | 33     | <b>33</b>     |
| 542         | 565    | 548    | 537    | 565    | 546    | <b>536</b>    |
| 51,435      | 51,435 | 51,435 | 51,435 | 55,343 | 55,343 | <b>55,343</b> |
| 23          | 23     | 23     | 23     | 35     | 35     | <b>35</b>     |
| 521         | 535    | 535    | 540    | 535    | 575    | <b>531</b>    |
| 81,222      | 81,222 | 81,222 | 81,222 | 81,222 | 81,222 | <b>81,222</b> |
| 45          | 45     | 45     | 45     | 40     | 40     | <b>40</b>     |
| 600         | 581    | 535    | 548    | 581    | 580    | <b>538</b>    |
| 82,000      | 82,000 | 82,000 | 82,000 | 82,000 | 85,637 | <b>85,637</b> |
| 35          | 35     | 35     | 35     | 40     | 40     | <b>40</b>     |
| 738         | 714    | 689    | 693    | 714    | 781    | <b>685</b>    |
| 20,600      | 20,600 | 20,600 | 20,600 | 20,600 | 20,600 | <b>20,600</b> |
| 3           | 3      | 3      | 3      | 3      | 3      | <b>3</b>      |
| -           | -      | -      | -      | -      | -      | <b>-</b>      |
| 74,755      | 74,755 | 74,755 | 74,755 | 73,689 | 73,689 | <b>73,689</b> |
| 27          | 27     | 27     | 27     | 36     | 36     | <b>36</b>     |
| 571         | 585    | 576    | 570    | 585    | 587    | <b>541</b>    |
| 81,000      | 81,000 | 81,000 | 81,000 | 81,000 | 81,000 | <b>81,000</b> |
| 32          | 32     | 32     | 35     | 40     | 40     | <b>40</b>     |
| 660         | 662    | 587    | 546    | 662    | 753    | <b>648</b>    |

## West Des Moines Community School District

### School Building Information (Continued)

#### Last Ten Fiscal Years

#### (Unaudited)

| School                                                                      | 2008    | 2009    | 2010    |
|-----------------------------------------------------------------------------|---------|---------|---------|
| Middle:                                                                     |         |         |         |
| Indian Hills (1977,1992):                                                   |         |         |         |
| Square feet                                                                 | 115,074 | 115,074 | 115,074 |
| Number of classrooms                                                        | 45      | 45      | 45      |
| Enrollment                                                                  | 617     | 623     | 595     |
| Stilwell (1960, 1962, 1968, 1984, 1988, 1992, 2002, 2010, 2012):            |         |         |         |
| Square feet                                                                 | 95,520  | 95,520  | 95,520  |
| Number of classrooms                                                        | 42      | 42      | 42      |
| Enrollment                                                                  | 706     | 689     | 694     |
| High:                                                                       |         |         |         |
| Valley Southwoods Freshman (1999):                                          |         |         |         |
| Square feet                                                                 | 162,500 | 162,500 | 162,500 |
| Number of classrooms                                                        | 44      | 44      | 44      |
| Enrollment                                                                  | 725     | 704     | 629     |
| Valley (1964, 1967, 1969, 1970, 1989, 1992, 2005, 2012, 2015 ):             |         |         |         |
| Square feet                                                                 | 312,599 | 345,437 | 345,437 |
| Number of classrooms                                                        | 107     | 107     | 107     |
| Enrollment                                                                  | 1,870   | 1,895   | 1,784   |
| Other:                                                                      |         |         |         |
| Walnut Creek Campus Alternative High School (1957, 1970, 1989, 1991, 2012): |         |         |         |
| Square feet                                                                 | 18,052  | 18,052  | 18,052  |
| Number of classrooms                                                        | 16      | 16      | 16      |
| Enrollment                                                                  | (A)     | (A)     | (A)     |

\* Information not available

Source: District record (Reflects Students served as of October 1st of each school year)

(A) Clegg Park Elementary was repurposed as the Alternative High School effective August 21, 2012 and renamed Walnut Creek Campus.

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| Fiscal Year |         |         |         |         |         |                |
|-------------|---------|---------|---------|---------|---------|----------------|
| 2011        | 2012    | 2013    | 2014    | 2015    | 2016    | 2017           |
| 115,074     | 115,074 | 115,074 | 115,074 | 115,074 | 115,074 | <b>115,074</b> |
| 45          | 45      | 45      | 45      | 55      | 55      | <b>55</b>      |
| 640         | 675     | 618     | 610     | 675     | 711     | <b>607</b>     |
| 95,520      | 95,520  | 108,416 | 108,416 | 99,571  | 99,571  | <b>99,571</b>  |
| 42          | 42      | 42      | 42      | 59      | 59      | <b>59</b>      |
| 742         | 692     | 660     | 667     | 692     | 717     | <b>665</b>     |
| 162,500     | 162,500 | 162,500 | 162,500 | 162,500 | 162,500 | <b>162,500</b> |
| 44          | 44      | 44      | 44      | 55      | 55      | <b>55</b>      |
| 704         | 711     | 666     | 614     | 711     | 680     | <b>674</b>     |
| 345,437     | 455,418 | 455,418 | 455,418 | 456,360 | 456,360 | <b>456,360</b> |
| 107         | 124     | 124     | 124     | 125     | 125     | <b>125</b>     |
| 1,964       | 1,951   | 1,800   | 1,854   | 1,951   | 1,974   | <b>1,830</b>   |
| 18,052      | 18,052  | 18,052  | 18,052  | 41,260  | 41,260  | <b>41,260</b>  |
| 16          | 16      | 16      | 16      | 15      | 15      | <b>15</b>      |
| (A)         | (A)     | 166     | 158     | 173     | 156     | <b>119</b>     |

## West Des Moines Community School District

### Open Enrollment Last Seven Fiscal Years (Unaudited)

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| Fiscal<br>Year | Open<br>Enrolled In | Open<br>Enrolled Out | Net<br>Open Enrollment |
|----------------|---------------------|----------------------|------------------------|
| 2011           | 488.3               | 507.0                | (18.7)                 |
| 2012           | 506.1               | 488.3                | 17.8                   |
| 2013           | 565.5               | 548.3                | 17.2                   |
| 2014           | 609.0               | 621.0                | (12.0)                 |
| 2015           | 614.5               | 638.9                | (24.4)                 |
| 2016           | 672.0               | 635.0                | 37.0                   |
| 2017           | 585.5               | 621.8                | (36.3)                 |

Note: Students in Iowa are allowed to choose to enroll into and out of the District. The District's revenues per pupil are adjusted for any net gains and/or losses in enrollment. Listed above are recent open enrollment numbers for the District.

Source: Certified enrollment from state as of October 1.

## **Compliance**



**WEST DES MOINES**  
**COMMUNITY SCHOOLS**

**West Des Moines Community School District**

**Schedule of Expenditures of Federal Awards  
Year Ended June 30, 2017**

| Federal Grantor/Pass-Through Grantor/Program Title                                                   | CFDA<br>Number | Pass-Through                    |                                       | Federal<br>Expenditures |
|------------------------------------------------------------------------------------------------------|----------------|---------------------------------|---------------------------------------|-------------------------|
|                                                                                                      |                | Entity<br>Identifying<br>Number | Passed<br>Through to<br>Subrecipients |                         |
| <b>U.S. Department of Agriculture</b>                                                                |                |                                 |                                       |                         |
| <i>Passed through State Department of Agriculture and<br/>State of Iowa Department of Education:</i> |                |                                 |                                       |                         |
| Child Nutrition Cluster:                                                                             |                |                                 |                                       |                         |
| National School Breakfast Program                                                                    | 10.553         | 77-1737                         | \$ -                                  | \$ 242,487              |
| National School Lunch Program                                                                        | 10.555         | 77-1737                         | -                                     | 1,427,984               |
| Commodities-Noncash                                                                                  | 10.555         | 77-1737                         | -                                     | 305,059                 |
| Commodities-Noncash, Department of Defense                                                           | 10.555         | 77-1737                         | -                                     | 44,999                  |
| Summer Food Service Program for Children                                                             | 10.559         | 77-1737                         | -                                     | 117,061                 |
| <b>Total Child Nutrition Cluster,</b>                                                                |                |                                 |                                       |                         |
| <b>Total U.S. Department of Agriculture</b>                                                          |                |                                 | -                                     | 2,137,590               |
| <b>U.S. Department of Education</b>                                                                  |                |                                 |                                       |                         |
| <i>Passed Through State of Iowa Department of Education:</i>                                         |                |                                 |                                       |                         |
| Title I - Grants to Local Educational Agencies                                                       | 84.010A        | 42-6004525                      | -                                     | 991,560                 |
| Vocational Education Basic Grants to States -<br>Carl Perkins Basic Grant                            | 84.048A        | 42-6004525                      | -                                     | 87,372                  |
| Special Education-State Personnel<br>Development Grants                                              | 84.323         | 42-6004525                      | -                                     | 4,021                   |
| Advanced Placement Program                                                                           | 84.330         | 42-6004525                      | -                                     | 3,838                   |
| Title II - Improving Teacher Quality State Grant                                                     | 84.367         | 42-6004525                      | -                                     | 172,398                 |
| Grants for State Assessments and Related Activities                                                  | 84.369         | 42-6004525                      | -                                     | 17,608                  |
|                                                                                                      |                |                                 | -                                     | 1,276,797               |
| <i>Passed Through Heartland Area Education Agency:</i>                                               |                |                                 |                                       |                         |
| Special Education-Grants to States IDEA, Part B                                                      | 84.027         | N/A                             | -                                     | 475,918                 |
| Title III English Language Acquisiton                                                                | 84.365         | 4644                            | -                                     | 77,834                  |
|                                                                                                      |                |                                 | -                                     | 553,752                 |
| <b>Total U.S. Department of Education</b>                                                            |                |                                 | -                                     | 1,830,549               |
| <b>Total expenditures of federal awards</b>                                                          |                |                                 | \$ -                                  | \$ 3,968,139            |

See Notes to Schedule of Expenditures of Federal Awards.

## **West Des Moines Community School District**

### **Notes to Schedule of Expenditures of Federal Awards Year Ended June 30, 2017**

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#### **Note 1. Basis of Presentation**

The accompanying schedule of expenditures of federal awards includes the federal grant activity of West Des Moines Community School District under programs of the federal government for the year ended June 30, 2017. The information in this schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the schedule presents only a selected portion of the operations of the District, it is not intended to and does not present the financial position, changes in net position or cash flows of the District.

#### **Note 2. Significant Accounting Policies**

Expenditures reported on the schedule of expenditures of federal awards are reported on the modified accrual or accrual basis of accounting based on the fund type of the program. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Revenue from federal awards is recognized when the District has done everything necessary to establish its right to revenue. For governmental funds, revenue from federal awards is recognized when it is both measurable and available. Expenditures of federal awards are recognized in the accounting period when the liability is incurred.

#### **Note 3. Indirect Cost Rate**

The District has elected not to use the 10-percent de minimus indirect cost rate allowed under the Uniform Guidance.



**West Des Moines Community School District**

**Summary Schedule of Prior Audit Findings**

**Year Ended June 30, 2017**

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| Findings                                                                                                   | Status    | Corrective Action Plan or<br>Other Explanation |
|------------------------------------------------------------------------------------------------------------|-----------|------------------------------------------------|
| <b>Other Findings Related to Required Statutory Reporting:</b>                                             |           |                                                |
| <b>IV-C-16</b> Expenditures for the other function exceeded the original budget prior to an amendment.     | Corrected |                                                |
| <b>IV-G-16</b> Variances in the basic enrollment data certified to the Department of Education were noted. | Corrected |                                                |



**WEST DES MOINES**  
**COMMUNITY SCHOOLS**



**Independent Auditor's Report on Internal Control Over  
Financial Reporting and on Compliance and Other Matters  
Based on an Audit of Financial Statements Performed in  
Accordance With Government Auditing Standards**

To the Board of Education  
West Des Moines Community School District  
West Des Moines, Iowa

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of West Des Moines Community School District (the District) as of and for the year ended June 30, 2017, and the related notes to the financial statements, which collectively comprise the District's basic financial statements and have issued our report thereon dated November 9, 2017.

**Internal Control Over Financial Reporting**

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of West Des Moines Community School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that have not been identified. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. We did identify a certain deficiency in internal control described in the accompanying Schedule of Findings and Questioned Costs as 2017-001 that we consider to be a significant deficiency.

## **Compliance and Other Matters**

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2017 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

## **District's Response to Finding**

The District's response to the findings identified in our audit are described in the accompanying Schedule of Findings and Questioned Costs. The District's response was not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on it.

## **Purpose of this Report**

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

The signature is written in a cursive, handwritten style. It reads "Bohnsack & Frommelt LLP". The ampersand is stylized, and the letters are fluidly connected.

Moline, Illinois  
November 9, 2017



**Independent Auditor's Report on Compliance For Each  
Major Federal Program and On Internal Control  
Over Compliance Required by the Uniform Guidance**

To the Board of Education  
West Des Moines Community School District  
West Des Moines, Iowa

**Report on Compliance for Each Major Federal Program**

We have audited West Des Moines Community School District's (the District) compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2017. The District's major federal programs are identified in the summary of auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

***Management's Responsibility***

Management is responsible for compliance with the federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

***Auditor's Responsibility***

Our responsibility is to express an opinion on compliance for each of the District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America, the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination on the District's compliance.

***Opinion on Each Major Federal Program***

In our opinion, the District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2017.

## Report on Internal Control Over Compliance

Management of the District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct noncompliance with a type of compliance requirement of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or combination of deficiencies, in internal control over compliance such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented or detected and corrected on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that have not been identified. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, we identified a certain deficiency in internal control over compliance, as described in the accompanying Schedule of Findings and Questioned Costs as item 2017-002 that we consider to be a significant deficiency.

The District's response to the internal control over compliance finding identified in our audit is described in the accompanying Schedule of Findings and Questioned Costs. The District's response was not subjected to the auditing procedures applied in the audit of compliance and accordingly, we express no opinion on the response.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

*Bohnsack & Frommelt LLP*

Moline, Illinois  
November 9, 2017

**West Des Moines Community School District**

**Schedule of Findings and Questioned Costs  
Year Ended June 30, 2017**

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**I. Summary of the Independent Auditor's Results**

**Financial Statements**

Type of auditor's report issued: Unmodified

Internal control over financial reporting:

- Material weakness(es) identified? ☐ Yes ☒ No
- Significant deficiency identified? ☒ Yes ☐ None Reported
- Noncompliance material to financial statements noted? ☐ Yes ☒ No

**Federal Awards**

Internal control over major programs:

- Material weakness(es) identified? ☐ Yes ☒ No
- Significant deficiency identified? ☒ Yes ☐ None Reported

Type of auditor's report issued on compliance for major programs: Unmodified

- Any audit findings disclosed that are required to be reported  
in accordance with 2 CFR 200.516(a)? ☒ Yes ☐ No

**Identification of major programs:**

| CFDA Number | Name of Federal Program or Cluster       |
|-------------|------------------------------------------|
|             | Child Nutrition Program Cluster:         |
| 10.553      | National School Breakfast Program        |
| 10.555      | National School Lunch Program            |
| 10.559      | Summer Food Service Program for Children |

Dollar threshold used to distinguish between type A and type B programs: \$750,000

Auditee qualified as low-risk auditee? ☒ Yes ☐ No

(Continued)

## West Des Moines Community School District

### Schedule of Findings and Questioned Costs Year Ended June 30, 2017

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#### Part II: Findings Related to the Basic Financial Statements

##### Instances of noncompliance:

No matters were reported.

##### Internal control deficiencies:

###### **2017-001**

Finding: The District did not properly record year-end accrual adjustments for accounts receivable and revenue that are required for financial statements to be reported in accordance with the accounting principles generally accepted in the United States of America.

Criteria: A properly designed system of internal control over financial reporting requires entities to initiate, authorize, record, process and report financial data reliably in accordance with accounting principles generally accepted in the United States of America.

Condition: The District overstated accounts receivable and revenue. When the District's billing system issues an invoice, the invoice is properly posted as accounts receivable and revenue. At year-end, the District posted journal entries to record accounts receivable and revenue for receipts received after year-end that pertain to June 30, 2017 services. The entries were posted without evaluating whether the applicable cash receipt had already been recorded through the billing system. In addition, the District posted a journal entry for a sales tax distribution as accounts receivable and revenue without evaluating the distributions made during the year and determining the District had already received all twelve state distributions pertaining to the fiscal year.

Context: Tuition accounts receivable and revenue were overstated approximately \$1.9 million. Sales tax receivable and revenue were overstated approximately \$700,000.

Effect: Financial statements are misstated and errors are not detected on a timely basis.

Cause: The District posted journal entries for accounts receivable and revenue without reconciling accounts receivable to supporting documentation such as total sales tax estimates and outstanding invoice totals.

Identification of as a Repeat Finding: This is not a repeat finding.

Recommendation: We recommend the District implement a review process that requires the District to determine if the receivable and revenue has already been properly recorded prior to posting year-end adjustments. After posting year-end adjustments, we recommend the District implement another review process that should include following up on year-end balances that have significantly changed from the prior year to ensure all balance sheet accounts have been properly addressed.

Response and Corrective Action Plan: The District will evaluate current processes to determine realignment of duties to improve internal controls over year-end financial reporting processes. In future years, the District will record all receivables through the billing system and not compile through receipts subsequent to year-end.



**West Des Moines Community School District  
eSchedule of Findings and Questioned Costs  
Schedule of Findings and Questioned Costs  
Year Ended June 30, 2017**

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**Part III: Findings and Questioned Costs for Federal Awards**

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

**2017-002**

**U.S. Department of Agriculture  
Passed Through State Department of Agriculture and  
State of Iowa Department of Education/  
Child Nutrition Cluster:  
National School Breakfast Program (CFDA 10.553)  
National School Lunch Program (CFDA 10.555)  
Commodities-Noncash (CFDA 10.555)  
Summer Food Service Program For Children (CFDA 10.559)  
Federal Award Numbers: 77-1737  
Federal Award Year: 2017**

Finding: The District has inadequate documentation for allowable costs pertaining to compensation expenditures of split-funded employees.

Criteria: Title 2 U.S. Code of Federal Regulations, Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance) in Section 200.430 Compensation-personal services paragraph (i) *Standards for Documentation of Personnel Expenses* states... "(vii) Support the distribution of the employee's salary or wages among specific activities or cost objectives if the employee works on more than one Federal award; a Federal award and non-Federal award; an indirect cost activity and a direct cost activity; two or more indirect activities which are allocated using different allocation bases; or an unallowable activity and a direct or indirect cost activity. (viii) Budget estimates (i.e. estimates determine before the services are performed) alone do not qualify as support for charges to Federal awards, but may be used for interim accounting purposes, provided that: (A) The system for establishing the estimates produces reasonable approximations of the activity actually performed; (B) Significant changes in the corresponding work activity (as defined by the non-Federal entity's written policies) are identified and entered into the records in a timely manner....and (C) The non-Federal entity's system of internal controls includes processes to review after-the-fact interim changes made to a Federal awards based on budget estimates. All necessary adjustment must be made such that the final amount charged to the Federal award is accurate, allowable, and properly allocated."

Condition: The District did not maintain documentation supporting the compensation expenditures charged to the program for nine building secretaries that also work for the Nutrition Program. An initial allocation percentage was determined for budget purposes based on a meeting with the Nutrition Department and Human Resources Department. The employee timesheets do not separately indicate the time actually spent on the Nutrition program. There are no signed certifications from the employees to certify the percentage of time allocated is proper. The signed certifications are a District control procedure for documenting federal award time. There is no documentation of periodic evaluations of the time allocated to actual time spent during the fiscal year.

Questioned Costs: \$0

Context: There are nine elementary building secretaries that also work for the Nutrition Program that have a portion of their compensation charged to the Nutrition Program. For fiscal year 2017, the total charged was \$78,743.

## West Des Moines Community School District

### Schedule of Findings and Questioned Costs Year Ended June 30, 2017

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Effect: Noncompliance with program requirements could occur and not be timely identified. The program may not be properly charged for the actual time worked on the activity.

Cause: The employees are building secretaries for the District's elementary schools that have different time record keeping documentation than Nutrition program employees and are supervised by building principles rather than by the Nutrition department.

Identification of as a Repeat Finding: This is not a repeat finding.

Recommendation: We recommend the District document the calculation of the percentage a split-funded employee is charged to a federal program including the interviews performed. This calculation should be updated each semester to ensure any job duty changes have been considered. We recommend the District extend the District's procedure of obtaining signed certifications to these employees. The building secretaries paid with federal awards should sign a certification that specifically requires them to certify the percentage of their daily time charged to the program is accurate.

Response and Corrective Action Plan: The District has obtained signed certifications from all split-funded employees charged to the Nutrition program in the next fiscal year. The District will evaluate current processes to implement that recommendations above.

#### Part IV: Other Findings Related to Statutory Reporting

**IV-A-17 - Certified Budget**: Expenditures for the year ended June 30, 2017 did not exceed the certified amended budget amounts.

**IV-B-17 - Questionable Expenditures**: There were no expenditures noted that may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979.

**IV-C-17 - Travel Expense**: No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

**IV-D-17 - Business Transactions**: No business transactions between the District and District officials or employees were noted.

**IV-E-17- Bond Coverage**: Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to ensure the coverage is adequate for current operations.

**IV-F-17 - Board Minutes**: No transactions requiring Board approval which had not been approved by the Board were noted.

**IV-G-17 - Certified Enrollment**: No variances regarding the certified enrollment certified to the Iowa Department of Education were noted.

**IV-H-17 - Supplementary Weighting**: No variances regarding the supplementary weighting certified to the Iowa Department of Education were noted.

**IV-I-17 - Deposits and Investments**: No instances of non-compliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.

(Continued)

## West Des Moines Community School District

### Schedule of Findings and Questioned Costs Year Ended June 30, 2017

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**IV-J-17 - Certified Annual Report:** The certified annual report was certified timely to the Iowa Department of Education.

**IV-K-17 - Categorical Funding:** No instances of categorical funding being used to supplant rather than supplement other funds were noted.

**IV-L-17 - Statewide Sales and Services Tax:** No instances of noncompliance with the use of the statewide sales and services tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted. Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales and services tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2017, the District reported the following information regarding the statewide sales and services tax revenue in the District's CAR:

|                                          |    |           |               |
|------------------------------------------|----|-----------|---------------|
| Beginning balance                        |    | \$        | 16,572,711    |
| Revenues/other financing sources:        |    |           |               |
| Statewide sales and services tax revenue | \$ | 8,635,006 |               |
| Investment earnings                      |    | 341,979   |               |
| Other local sources                      |    | 340,342   | 9,317,327     |
| Expenditures/other financing uses:       |    |           |               |
| Instruction                              |    | 1,986,042 |               |
| Support services                         |    | 281,275   |               |
| Transfers out, debt service              |    | 3,822,823 |               |
| School infrastructure:                   |    |           |               |
| Buildings                                |    | 6,342,280 | 12,432,420    |
| Ending balance                           |    |           | \$ 13,457,618 |

For the year ended June 30, 2017, the District reduced the tax levy by not having a debt service levy of \$1.91 per \$1000 of taxable valuation as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa.

**West Des Moines Community School District**

**Corrective Action Plan**

**Year Ended June 30, 2017**

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| Findings                                                                                                       | Corrective<br>Action Plan | Anticipated<br>Date of Completion |
|----------------------------------------------------------------------------------------------------------------|---------------------------|-----------------------------------|
| <b>Findings Related to Basic Financial Statements</b>                                                          |                           |                                   |
| <b>2017-001</b> The District did not properly record year-end adjustments for accounts receivable and revenue. | See 2017-001              | Fiscal Year 2018                  |
| <b>Findings Related to Federal Awards</b>                                                                      |                           |                                   |
| <b>2017-002</b> The District has inadequate documentation for allowable costs for split-funded employees.      | See 2017-002              | Fiscal Year 2018                  |